Honasa Consumer (HONASA)

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Honasa Consumer Limited
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| CIN: U74999DL2016PLC306016 |

November 28, 2023

To, To,
Listing Department Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED BSE LIMITED
Exchange Plaza, C/1, Block G, P. J. Towers,
Bandra Kurla Complex, Bandra (E), Dalal Street,
Mumbai – 400 051 Mumbai – 400 001

Scrip Symbol : HONASA Scrip Code: 544014

Sub: Transcript of Investor Call

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the Investor call held on Wednesday, November 22, 2023 on the un -audited financial results and operations of the Company for th e quarter and half year ended September 30, 2023, is enclosed.

The said transcript is also available on the Company's website at www.honasa.in.

This is for your information and records.

Thanking you,

Yours faithfully ,
For HONASA CONSUMER LIMITED

DHANRAJ DAGAR
COMPANY SECRETARY & COMPLIANCE OFFICER
Encl: a/a

"Honasa Consumer Limited
H1 FY '2 4 Earnings Conference Call "
Novem ber 22, 202 3

MANAGEMENT : MR. VARUN ALAGH – CO-FOUNDER , CHAIRMAN AND
CHIEF EXECUTIVE OFFICER – HONASA CONSUMER
LIMITED
MS. GHAZAL ALAGH – CO-FOUNDER AND CHIEF
INNOVATION OFFICER – HONASA CONSUMER LIMITED
MR. RAMANPREET SOHI – CHIEF FINANCIAL OFFICER
– HONASA CONSUMER LIMITED

MODERATOR : MR. RICHARD LIU – JM FINANCIAL INSTITUTIONAL
SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Q2 FY24 Earnings Conference Call of Honasa Consumer Limited, hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Richard Liu from JM Financial Institutional Securities Limited. Thank you and over to you.
Richard Liu: Thank you. A big welcome to all of you and hope everyone is doing great. It's a pleasure for us at JM Financial to be hosting the first conference call of Honasa Consumer as a listed company, and I'm delighted to have with us Varun Alag h, Co-Founder, Chairman and CEO of the company, Ghazal Alag h, Co-Founder and Chief Innovation Officer , and Ramanpreet Sohi, Chief Financial Officer .
Without taking more time, let me hand over to Varun for his presentation, and then we can follow it up with a Q&A. Over to you, Varun.
Varun Alag h: Thank you, Richard. Thank you so much for hosting us. We are super excited and elated to do our first analyst call as a publicly listed company.
This is also exciting because we get to talk about what we really love, which is our business. You've already talked to the team, but we have Ghazal, my co -founder and chief innovation officer, and Raman, our CFO, with us. For the purpose of simplicity, I will take you all through the presentation, and then we will all be here to answer the questions that you have.
I would also like to thank everyone who is attending this call to taking your time out and appreciate the time that you're spending with us. Moving on quickly into the presentation, I hope you can see the presentation and hear us. We'll move on from the first slide.
The agenda for today is going to be covering the business results, spending some time on sharing again the business overview with you because we are young and we would love to tell you what our business is all about, and then sharing some bits about our E SG focus and overall P&L summary . Without further ado, let me jump on to talking about the most interesting part of a quarter to yourself, which is numbers. From a quarter 2 perspective, we have delivered INR496 crores in terms of our net sales revenue from operations.
This is about 21% growth year-on-year on Q2 FY23. If you look at it from a like -for-like perspective, which is if you look at the businesses which we have scaled down and remove them, which is part of our services business, then this is about 24% . The other piece to note is the fact that in Q1 of last year, we had an ERP implementation towards June, which led to a slight depression in the Q1 base and has led to the Q1 growth looking slightly higher and Q2 growth looking slightly lower.

The better way to look at the business performance would be at a half -one level, which is where after sharing the quarter two numbers, we'll also share the half -one numbers with you.
Continuing o n quarter two , we continue to maintain industr y leading gross profits of close to 70% and our EBITDA for quarter two is about 8% and at about INR40 crores. Our PAT is INR29 crores, which is 5.9%. This is significant growth over last year and our growth is actually driven by volume, whereas compared to the industry growth, which is largely driven by price . While doing this, we've continued to maintain capital efficiency in terms of working capital and where we continue to be negative. We are minus five days of working capital.
And hence, while our PAT is INR29 crores, we've actua

lly generated INR41 crores in terms of
free cash. Coming to half -one, like I said, half -one is a better indicator of the company's business performance . These are the metric s which you can also understand and look at how the company will perform in short term in the future as well.
So from a half -one growth perspective, we have delivered 33% growth. Like for like, this is 36%. The gross margins are 70% and EBITDA is 7.2%, INR70 crores. This is almost 500 plus basis points improvement in EBITDA. PAT is about INR54 crores and this is almost 14 times the PAT of last year, half -one.
This is a volume -driven growth like we have mentioned and in terms of cash generation, we've actually generated INR89 crores in cash compared to INR54 crores of PAT , We will double -click in a bit on where this EBITDA improvement is coming from.

And actually, before I move on to that, I'd like to compare how these numbers compared to industry are significantly higher. We have, even in the last sort of conversations, talked about the fact that we will aim to deliver market -leading growth. We have d elivered almost, if you look at a half -one level, 33% growth, which is 3.8 times the average growth that the industry has delivered during the same period, which is FMCG company peers who are in the BPC business. That's the motive and motto with which we'll continue to operate , While doing that and delivering significantly better growth, we have actually become operationally better and we continue to see leverage kicking in in the business.

And from a half -one perspective, if you look at our EBITDA, we have improved by 531 points. Our PAT, we have improved by 513 points with strong growth , EBITDA has been driven from the 1.9% of H1 -23 to a 7.2% of H1 -24 and the three big drivers of the EBITDA improvement are firstly, leverage in marketing and advertising expenses and we have talked about this in the past that as our brands grow, as they improve in their awareness, the marketing bucket becomes more of a value number , and in terms of percentage continues to go down , which is where we're seeing a lot of leverage coming in.

I would like to call out that while this leverage is coming, we continue to invest in building brands and continue to deliver growth because of that. The other area where we've seen leverage kicking in is employee benefit expenses and opex , where we have seen the business leverage as we have scaled up.

And some other parts are procurement synergies, where we've seen leverage as in when we scaled. So those three are the largest buckets which have driven these benefits on the bottom line perspective and in the future also, we'll continue to focus on these areas to drive efficiency.

Coming to a business overview, like I said, we're a young company and we would like to, at the cost of repeating, keep sharing with you what we are building. We are India's largest digital -first beauty and personal care company with a diverse portfolio of six brands . Our journey started with Mamae arth, which is a clean -label , toxin -free, natural, personal care brand.

This brand was launched in 2016. It is yet to turn seven years. It will turn seven years on 5th December this year . In less than seven years, this is the fastest to 1,000 crores brand and we are very happy to inform that it also joined the “Top 15 BPC Brands Club ”, which we'll talk more about. This brand has seen a lot of consumer love because of the cultural nuance -based innovation that we have done, where we have crafted for the Indian consumer by understanding the Indian habits and bringing ranges like Onion , Ubtan, Multani Mitti , which have been loved by consumers.

While building this brand into a strong success story, what we also built was an organization that had different capabilities across brand -building, distribution, innovati

on, sourcing, R&D,
which could be applied to the other consumer white spaces that we were s eeing. In line with that, in 2020, we launched The Derma Company, which is a science -based, active -ingredients powered brand that also has done extremely well . We’ll talk about it.

We launched Aqualogica, which is a hydration -based skincare brand , again a brand which is targeted at Gen Z and has been doing extremely well. We also acquired two brands, BBLUNT and Dr. Sheths in 2022, where we've been able to demonstrate strong growth and also demonstrate the fact that we have muscle to build acquired brands and not just build craft brands , and we also have Ayuga, which is an Ayurveda and natural ingredients -oriented masstige brand for Indian millennials.

And with this diverse portfolio of brands, we are playing to capture the hearts and wallets of consumers in the BPC market. We genuinely are very excited about the growth that BPC will see in India over the next couple of decades. Even in the medium terms, we believe this will continue to be the fastest -growing FMCG category, with an expected CAGR of about 11%, which is going to be driven largely by rising disposable incomes and, very importantly, women joining the workforce as a mega trend, which is going to shape this category.

I think we are equally excited by the sub -segments which are driving growth in this category. We believe premiumization is going to be a core driver of growth in this category and hence, Masstige and Mass Premium are going to grow much faster than Mass.

And all our brands play in that segment. We believe online and digital penetration will be growth drivers of BPC, and that's where almost 60% plus of our business comes from , We also believe that skin and color cosmetics is going to be the strong driver of growth for BPC, and that's where 60% of our revenue comes from.

So that just makes Honasa very well -placed to capture strong shares in this category and we have demonstrated that in the past as well . We have had strong CAGR in terms of our previous year growth s We continue to demonstrate market -leading growth in this year as well at 33% for H1 and our gross margins continue to remain amongst the highest in the industry for the last four years. We've been Adjusted EBITDA positive fo r the last three years, but this year we have been able to demonstrate further improvement on that metric in H1, and we've continued to demonstrate that in Q2 as well.
We have done this in a very capital -efficient manner, whereby our working capital has remained negative for the last three years and for this yea r Half 1 as well, even after scaling the business in offline, which now contributes to almost 35% of business and we've been able to do this because of certain core strengths, which we have developed as a company , Brand -building playbooks, on -trend data -based innovation, strong omnichannel distribution, and purpose -based brands with a strong ESG framework are the four core strengths that I would say have been responsible for us being able to deliver this kind of disrupti ve growth.
I'll be covering a bit on each one of them as we move forward, starting with the first one, which is our brands . Mamaearth, we are elated to say, has entered the coveted “Top 15 brands club ” in the BPC space and this is a large mega -achievement for a brand which is just less than seven years young and is competing with brands which have existed for multi -decades .
In terms of retail sales, this is the data that we have taken f or a reference , we actually are standing at 13th largest BPC brand in the country, where we are also taking into account oral care and personal wash brands , That just shows the kind of strength Mamaearth has as a brand.
And it's also a brand which has showcased the ability to capture share across categories rather th

an in one category because of our why -based and purpose -based position, which is also one of the reasons why it has been able to scale to this level so quickly, and which is why we believe it will continue to scale and become much larger in terms of its franchise in the futu re as well.
This, of course, has happened on the back of strengthening brand metrics , Mamaearth continues to be India's most searched beauty and personal care brand.
Our brand searches have actually gone up by 16% , this is higher than any other BPC brand in terms of the overall number of searches out there. This has been driven by our focus on, like I said, certain Indianized innovations, which we have crafted and developed.
Onion Shampoo, the campaign on that saw almost 21 crores views. ‘Shadiwala Glow ’, which is a campaign around our U btan face wash, has seen – it's an award -winning campaign, which has seen over 24 crores views. Our property, which is a purposeful property, Beautiful Indians, which we executed in half 1, has seen over 11 crores views of the content that was generated from this property.
I think all of these things and the increasing brand strength is leading to not only Mamaearth growing significantly faster than other large -scale brands, but also gaining market share in the offline space, where in shampoos, we have gained 50 basis points. In face washes, we've gained 100 basis points. We'll continue to focus and gain in other categories as well as we move forward.

In other news, of course, The Derma Co., which is our second brand, continues to deliver strongly. It now has hit an annual run rate of INR380 crores . This has been driven by its core categories like face serums, sunscreens, and moisturizers, and our focus on acne -based activation in Q2, which is a season that sees a spike in acne -based concerns .
The brand also saw very strong gains in brand searches. We continue to hold a very strong belief that this brand will continue to grow very strongly in the future as well, and we'll continue to invest in it. The next brand, which has again seen phenomenal growth, is Aqualogica.
This is a brand which is less than two years old, and in just 19 months, it's actually hit a scale of INR180 crores ARR . This is much faster than what The Derma Co. and Mamaearth have taken to hit. I think as we are growing, applying the same playbooks of innovation through which we developed products which consumers love and brand mixes that consumers love and marketing to millennials.
And I think as a company, we understand how to use content, community, and the right kind of mediums to win over Gen Z and millennials, as well as our purpose -based marketing and combination of these three levers, and of course, supported by our distribution playbooks, have helped us hit this kind of a revenue mark so early and we continue to believe that this brand again has a lot of potential in future in the way it's going to shape and is being loved, especially by the Gen Z out there.
Another great news is we have Dr. Sheth, which has entered the INR150 crores ARR club. This

is the fourth brand from Honasa's portfolio to enter the INR150 crores ARR club after Derma Company and Aqualogica. In just less than seven years, the company has now crafted and scaled four brands to that level. This is specifically heartening for us because we acquired Dr. Sheth in early 2022, and we've grown it 30 times to take it to this number, and it just gives us confidence that not only do we have the capability to apply our playbooks to brands that we launch, but also to mixes that we acquire. This gives us a lot of confidence from that perspective, and we'll continue to focus on scaling this brand and capturing share of the active market to this.
The other brand that we had acquired was BBLUNT and we focused on building the styling and care portfolio

in this brand. We are very bullish on professional hair care market and salon -like hair at home kind of a proposition. This is the brand which is playing in that proposition and helping us capture the share of hair care market through that. In quarter two, of course, because of context of hair fall being high, we focused on that and that campaign has done really well.
We also continue to focus on both innovation as well as expanding the distribution footprint for the salons, where we have opened four new salons in half 1 and taking the overall count to 14 salons now. The salon business is helping build the brand equity for the products business, and where the product business alone has grown by about 300% since acquisition.
The second large strength for the company continues to be innovation and we are a data -based innovation company where we capture a lot of data and trends from various sources and apply that to figure out what is the kind of right innovation that the consumers are looking for. In line

with that, all of our brands have seen amazing innovations in this calendar year as well and that innovation has led to 13% contribution of H1 FY '24 revenue.
Some of the core innovations that I would like to talk about is Mamaearth, we launched Multani Mitti range, which is an ingredient which we have been using for hundreds of years, but consumers find it difficult to mix and use, and now it's readily availabl e, and they are loving that.
Rosemary range that we have launched and entering into color cosmetics, lipstick, The Derma Company launched new formats of sunscreen, like the sunscreen stick and we've launched new range of variants in the Detan range for Aqualogica. In BBLUNT, we are launching very innovative hair care products like the Intense Moisture Heat Hair Spa mask, which does self - heating without using any electronic equipment and creates much better conditioning because of that.
And in Dr. Sheth's, we continue to find the right bioactive combination to capture spaces like pigmentation. So, all in all, some amazing innovation done to drive growth for the brands. The third area where we continue to focus on was strengthening our dis tribution. We have been building physical distribution and strengthening our offline scale.
This quarter also, we are happy to share that we have actually reached 1.65 lakh outlets , which is an increase in 47% in terms of distribution over last year. We've also expanded our EBOs. Now, we have 97 Mamaearth exclusive stores, which are out there not just to build imagery, but more importantly, to showcase and sell our overall assortmen t to our consumers.
We have been deepening our relationships in the modern trade channel and have built strong relationships across our customers , and we've also continued to strengthen our leadership and team on the offline side, looking at the future potential of that business. Even on the online side, we continue to focus on not only our core channels, but also our emerging channels.
We have seen Quick Commerce emerging as a great growth driver, which has grown by 100% plus Y -o-Y growth and we've also forged new partnerships with Tira at Reliance Retail, which is helping us grow. The fourth strength, of course, we continue to focus on ESG.
We are a company which strongly believes in building brands with strong purposes, where Mamaearth has a plant goodness initiative. We have planted almost 5,10,000 trees under this initiative and the beauty is that we've actually built a technology through which when you place an order on our website, we actually send you a mail with a picture of the tree, the actual geolocation of the tree that we have planted and connected it back to your order for you to see as a consumer, the contribution that you're making by buying our brands.
We also, of course, continue to remain a plastic positi

ve organization. We have recycled 7,591 metric tons of plastic since FY '21.
We also have other purpose programs where we've inducted over 10,000 plus students in the Young Scientist Program for Derma Co, over 500 families through Freshwater Plants Initiative in Aqualogica and along with this, of course, the corporate governance framework is also

something which is a strong focus area for us. We genuinely believe that the only lasting businesses are the ones which are sustainable and run in a strong governance manner.
And in that light, we have a 50% independent board, strong gender diversity, being a beauty company, 58% of female workforce. We are externally audited by S R Batliboi, which is a member firm of EY and we have an internal auditor in BDO where we continuously review and strengthen our processes.
We've also implemented ERP systems like SAP and DMS and SFA systems like Botree through which we want to enhance the data visibility and control visibility around the business. With this, we would like to end the presentation. We have a P&L summary. This h as been shared as a part of our presentation and I've already captured most of the heads of the summary as a part of my presentation. Thank you so much for listening to us. Would love to answer the questions that you have for us. Thank you.
Moderator: Thank you very much. We will take the next question from the line of Percy Panthaki from IIFL Securities. Please go ahead.
Percy Panthaki: Hi. Good evening. My first question is on the Mamaearth brand. So, if I look at your sales growth for this quarter, it's 21% year -on-year and 7% versus the previous quarter. If you can give some idea on what the Mamaearth growth was for the same period, because these numbers are at a total company level. I just wanted to know how the Mamaearth brand is performing?
Varun Alagh: Yes. So, Mamaearth brand at a half 1 level continues to grow much faster than the l arge sized brands out there that we have showcased as comparatives. And I think we are happy to see that the investments that we're making in the brand building are showing and delivering much faster growth than the industry peers. That's the level of detailing that we'd be able to share.
Percy Panthaki: Understood. Also, if you could share some color on the channel -wise growth between your own e-com channel, the third -party aggregators on e -com, and the general or modern trade.
Varun Alagh: So, actually, at a company level, both online and offline continue to grow very strongly. At brand level, of course, offline continues to drive growth for larger, more mature brands like Mamaearth, while online is driving growth for younger brands, which a re The Derma Co, Aqualogica, etcetera.
Ramanpreet Sohi : So, Percy, if I may add, I think from an H1 perspective, online delivered a 40% growth and offline 33%.
Percy Panthaki: Okay. Very helpful. And just one follow -up on the previous question, if I might be permitted, on the brand -wise growth. So, it's great to know that Mamaearth is growing faster than overall industry. But right now, the industry growth itself is very, very s ubdued. So, that really is not giving us much information. I mean, is it even a double -digit growth on a Y -o-Y basis, or you would not be sort of comfortable sharing that kind of information?
Varun Alagh: Percy that assumption is correct. It is in double digits.

Percy Panthaki: Okay. I'll come back in the queue for more questions. I'm sure there's a long queue today.
Moderator: Thank you. We have our next question from the line of Akshen Thakkar from Fidelity International. Please go ahead.
Akshen Thakkar: Congratulations on your first results. Just a couple of questions. One was on margins. So, very heavy margins here at 8% in the second quarter. Could

we just talk through sustainability of
margins either at 8% or 7% that you've done at H1 levels? Because, there has been some reduction in manpower cost, channel spend, A&P have been lower. How much of this is scale? How much of it is timing? You know, because it's a new company for us. So, pardon such basic questions. But we're just trying to build our understanding? That's question one.
Question two, I think you disclosed in H1, what is the online -offline growth split? Could you just bring that out in Q2 as well? Because I think, like you called out, Q1 was impacted last year. So, growth rates could be misleading just on a going basis. On Q2, if you could, just help break up that number of growth between online and offline, that would be great? Thanks.
Varun Alagh: Thanks for asking questions. I think on the first one, what we're saying is all of that we're seeing is not timing, but scale and structural impact on the business, because of which we are seeing this improved profitability and the Half one level profitability that you see is something which we believe is fairly sustainable.
And in fact, in the future in the medium term, our objective would be to see how we can find more areas of leverage and how we can continue to demonstrate such performance in terms of improvement. I think on your second question, actually, it is much better to look at Half one,

because see, what also happens is because of the ERP disturbances, as the businesses get impacted, channel level skew does get impacted, right? Because it's the B2B billing which can move from one quarter to the other.

And hence, our view would be to look at quarter one and at quarter one, like Raman said, 40% in online and 33% in offline, H1, sorry, 40% in online and 33% in offline should give you a good flavor as to overall how business is sort of shaping in both chann els.

Ramanpreet Sohi : And just to just to complete the point on the margins, like Varun mentioned, of course, the sustainable level margins are more the H1 margins and in Q2, we have a one off ESOP reversal on account of scaling down of operations of Momspresso, which is, hence are, 50 bps, which is on an H1 basis. So, I think, excluding that, that, balances, of course, the structural margin movement.

Akshen Thakkar: All right, I'll fall back in the queue. Let others ask the questions. Thanks.

Moderator: Thank you. We have our next question from the line of Tejas Shah from Spark Capital. Please go ahead.

Tejas Shah: Hi, thanks for the opportunity. So, Varun, you are interacting with the analyst community for the first time where you are allowed to share guidance. So, just wanted to understand, how do

you look at the current growth rate of 20%? Is it in line with the expectation or below or we can do better? Or looking at macro, you will be happy with the current growth run-rate?

Varun Alagh: Like we mentioned, Tejas, I think it's better to look at Half one, where we have delivered about 30% plus growth and that's at least in the short term, the kind of benchmarks that we would want to deliver.

Tejas Shah: And considering that we are in a distribution expansion mode and as you highlighted that offline alone, we had some 47% plus growth. So, how do you measure the like to like growth in terms of repeat purchase? And if you can share some qualitative or quanti tative insights on how are we doing on offline in terms of repeat purchase?

Varun Alagh: So, there are qualitative indicators, of course, especially in our modern trade businesses, and in basis, some of the Nielsen data that we get, and we are actually seeing a very healthy same store growth numbers, be it in our EBO, be it in our modern trade, be it basis, the Nielsen same store growths that we track.

Tejas Shah: Perfect. And last one, with the capital inclusion, and obviously visibility, from industry p

erspective also has improved materially. What are the key priority areas to kind of next three years, five years that you would like to invest from here on to kind of achiev e your near term or long-term milestones?

Varun Alagh: It is, I think, as a business, we are in the business of building brands and hence, the first priority area is going to be brand building, which is delivered through driving awareness and consideration for our brands. So, I think that's the first area where the company will continue to invest.

We have seen that investment leading to much better growth outcomes for the company compared to industry and share gains that we have delivered. So, I think the first area where we'll continue to invest is in brand building. The second area where we'll con tinue to focus on is distribution expansion, like you rightly mentioned, be it in terms of expanding GT distribution, deepening our modern trade tie ups, even improving shares and presence on the online platform. So, we'll continue to sort of do that. The third area of investment will continue to be product and proposition innovation. We believe product and R&D has been a strong strength. We'll continue to innovate in line with the consumer trends that we have seen and that is going to be the third area of investment. Fourth, I think, we'll selectively look at either new geographies or newer category acquisition opportunities that come our way over the next three years to five years, which also potentially could be an ar ea of investment.

Tejas Shah: Anything on human capital?

Varun Alagh: Of course, all of this is underlined by human capital itself. That said, we did invest ahead of the curve over the last two years in building the right leadership team, building the right kind of organization structures , but as a growing company, we continue to deliberate on what's the right organization design to serve the growth that we need to deliver on the basis that we will take the right strategic calls on the human capital front.

Tejas Shah: Thank you. That's all from my side and best wishes for the journey ahead.

Varun Alagh: Thank you.
Moderator: We have our next question from the line of Aditya Soman from CLSA. Please go ahead.
Aditya Soman: Hi. Good evening and all the best for your journey as a company. Two questions from me. Firstly, in terms of innovation, can you give us a sense of what proportion of your sales came from organic innovation? And second question around channels, you indicat ed obviously that e -com and in particular, convenience -based e -com has grown very fast. Can you give us a sense of how the channel economics differ from sort of your own e -com, third -party e -com and then offline? Thanks.
Varun Alagh: Thanks. Hi, Aditya. Thanks for the good wishes and the first question on innovation, we have called it out in the past and we continue to call it out. Innovation is a core growth driver for the company and we genuinely believe that consumers love brands which bring the right kind of on - trend innovations and categories to them before others and we want to be the company that does that. In the first half of FY ‘24, innovation, organic innovations, in fact, has contributed to 13% of the company's revenues and continues to be a strong growth driver for us.
And on your second question, I think from an e -commerce perspective, I think we're seeing growth across all channels and platforms, be it vertical beauty platforms like Nykaa, Purp lle, Tira, etcetera, or horizontal platforms like Amazon and Flipkart. We called out quick -commerce because that's an area which has grown much faster than others and hence, that was a call out. And while that area was expected to grow for categories like grocery, but it also is doing really well for categories like beauty in our business.
Aditya Soman: Thanks. Very c

lear. I think my question was also around in terms of economics for you from different channels. Is there a meaningful difference in the economics in terms of margins or profitability or working capital side? Thanks.
Ramanpreet Sohi: Yes. So, Aditya, hi. Raman here. So, I think on the channel front between, let's say, online and offline, at a contribution level, per unit, the margins are very similar. And so, that's, from an inherent margin drawing perspective, there's not too much of a d ifference in the similar range.
Aditya Soman: All right. All right, sir. Thank you. Thanks for the answer.
Moderator: Thank you. We have a next question from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.
Abneesh Roy: Thanks. My first question is on the pricing, which seems negative 6 % - 7%. So, could you explain which categories are seeing this? And is there a mix deterioration also? And how do you see this negative pricing in the second half?
Varun Alagh: I think, Abneesh, hi. Hope you well. I think you're referring to this basis, the fact that volume growth is faster than value growth. So, it's actually not because of price deterioration, but it is because of the channel mix change. So, in a B2B channel, which is where offline and some of

the other channels like that lie, which is what is increasing as a contribution share, those channels have a lower per unit realization compared to B2C channels, where the per unit realization is higher and as a contribution of those channels increasing is where you're seeing the volume growth to be being higher than value. So, it is not a price deterioration.
Ramanpreet Sohi : And I think, Abneesh, just to add, if you see the numbers, our first half, like -to-like growth is 36%, the volume growth is similar. So, yes, what Varun mentioned does impact the volume growth, but in H1, it's absolutely 100% volume net. So, there is not too much of an impact on business mix as well. But it does sort of play a role.
Abneesh Roy: So, just to clarify in terms of pricing and say discount and mix, there is no like -to-like deterioration in your business?
Varun Alagh: No, no major change.
Abneesh Roy: Now, coming back to the question which has been asked again and again, my question here is, lot of the urban discretionary categories have been explaining slowdown for many quarters now, QSR, Apparel, Innerwear for three quarters. And first time, United Spirits also highlighted that initial signs of slowdown are there. Obviously, every form of consumption, directly, indirectly, some correlation will be there.
So, I wanted to understand how much is the impact of ERP, because ERP impact, normally we see retail companies really highlight that impact. Consumer companies or D2C companies don't really impact, highlight the impact of ERP. So, if you could explain, ER P was the main reason for one is to two kind of a difference, because your Q1 growth seems to be almost double of Q2? Second is, when I see Q3, there are 35 lakh weddings happening from tomorrow. Second is, festivals full benefit is there. In your kind of a business, my sense is festival and marriages should have a good positive impact. So, would you expect acceleration versus a 33% growth, which you're saying should be the number we should monitor? So, would you expect acceleration, because festival and marriage will impact full benefit is there in Q3?

Varun Alagh: Yes, so I think, you know, what I would like to call out is that in the quarter one of FY'23, is where we had done ERP implementation and the most impacted month was actually June. What happens is, because of that implementation, for some part, let's say the last seven to eight days, our billing got impacted. And that billing usually is the B2B billing, which happens for our offline distribu tors, our monetary customers, etcetera, which mo

ved to the first week of next month.

Because of which, the base of quarter one is slightly lower, and the base of quarter one is slightly higher and hence, that H1 level is where we are asking, it looks so it's largely that impact. Otherwise, like -to-like, if you see, the H1 numbers is what, like I said, we would like you to focus on. From a perspective of festivals and weddings, I think, every year th ey happen. So to some level, they're also there in bas e and our businesses does not see as much seasonality on account of either occasions or on account of seasons, because we are a multi category business.

So while one category might see some seasonality in some quarter, the other might be seeing, something opposite. So they take care of each other and hence, we don't see any disruptive impact of some of these occasions.

Abneesh Roy: So if you see the punching up of marriages is definitely there. And we see this happening every four years. Second is again festivals that you really see. This time, it's delayed, the Diwali was delayed. And so every company is saying Q3 will see that bene fit. So I leave that. My second question is on the BBLUNT. So when you say 21% growth was there in Q2, what was the growth ex. of BBLUNT? And BBLUNT obviously has seen a change of the promoter last 10 years twice. So wanted to understand how do we see this business now, because we have been running it now for some quarters, and how has the business done in Q2?

Varun Alagh: So overall, from a Honasa perspective, BBLUNT continues to be about less than 6% contribution in terms of the overall business. So I don't think you would see any major difference sort of putting it out or keeping it in. As a business itself, I think like we called out, while for a long time, it was not growing disruptively. After we have acquired it, we've ac tually been able to grow the product business in almost three times, as stated in my presentation.

And we're seeing our playbooks of innovation, online distribution, actually bringing the brand to a very strong buzz. In fact, even in terms of Google searches, the brand has almost doubled Google searches over the last four quarters. So I think we are ver y happy with the way the brand has shaped and we continue to see strong growth momentum in the brand.

Abneesh Roy: Sure, thanks. That's all from me. Thank you.

Varun Alagh: Thank you.

Moderator: Thank you. We have our next question from the line of Kunal Shah from Jefferies. Please go ahead.

Kunal Shah: Yes. So two questions from my side. First one is on the standalone P&L, if I look at the margins there, that is somewhere around 10% or so. So would it be fair to say that the top four brands, I mean, Derma Co., Aqualogica, and BBLUNT product business would b e at that margin and the losses are coming from the Salon's business and BBLUNT and the other brand, Dr. Sheth's? Would it be fair to look at it this way?

Ramanpreet Sohi : I'll take that. So for all, BBLUNT Salon business is profitable and doing really well. It is a 20% kind of an EBITDA business for us. I think in the September quarter, there is a one -time impact only in the standalone financials for the reversal of derivative liability. This is regarding the Momspresso scaling down of operations. There's a INR10 crores reversal in fair value of derivative liability there because now that we've acquired that business 100%, there is a reversal of a certain amount, which is equal to INR10 crores, which is happening first quarter. And that is making the overall margins of s tandalone higher than consolida ted. So ideally, we should look at consolidated numbers as the representation of our business

Varun Alagh : To further add on to it, Kunal, I think even in the standalone business, Mamaearth, of course, as a mature brand, is at a much higher profitability compared to the averag

e profitability that the

company or standalone business has and the other brands are still younger, are in invest mode. But as they're shaping, we clearly see the same chart that Mamaearth has crafted, those brands will also craft over the next few years.

Kunal Shah: Understood. That's very clear. The second question was just a follow up. So you talked about the ERP implementation in June. So the impact of that on the offline revenues would be much higher, right, compared to the online revenue? Would that be a fair und erstanding?
Varun Alagh: You're correct. You're correct. Yes, that will be a fair understanding.
Kunal Shah: Understood. Understood. Yes, that's all from my side. Thank you.
Moderator: Thank you. We have our next question from the line of Yash Gandhi from Stallion Asset. Please go ahead.
Yash Gandhi: Hi, thank you for the opportunity. My question was, the first half, we've grown like -to-like 36%. And, given a smaller revenue base as well as expanding distribution network, if you compare it to some of larger FMCGP, so can we, sort of aspire to go a bit higher than that, let's say 40% for the next two years? I mean, what's your opinion on that?
Varun Alagh: So, I mean, we would like to continue to focus on building brands in the right manner. I think we're also being cognizant of the fact that as we grow, we need to see windows of efficiency and continue to become better , so that's also a priority now as an organization. I would rather want to play the long -term strong compounding growth story and continue to build this, deliver marketing leading growth for years to come. Rather than just look at the next two years, this is how I would sort of position us.
Yash Gandhi: Okay. So, I mean, what I understand is that, we can expect about at least first half growth, right? In the, in the short term. If I, understand you right, similar to the first half?
Varun Alagh: Yes, that's the end.
Yash Gandhi: So, and my just second question was, this quarter, your advertisement expense is about 35% of your sales. And given, the operating leverage and, and economies of scale as you grow, how should we see that number? Do you think it can go down significantly, i n the next coming quarters or stay at this level?
Varun Alagh: Great. On one hand, you would like us to grow even faster. On the other hand, you would like to see that number falling. See, finally, it's investment in brand building and driving awareness that gets us stat growth. That said, we clearly have showcased th at as we scale, that percentage has continued to go down for the business. In fact, that percentage even today is a sum of parts. For a Mamaearth, which is much lower than this number, for the other brands, which are much younger and in invest mode which is much higher than this number and of course, over time, we do see opportunity and efficiency to bring more leverage on to that as we grow.
Yash Gandhi: Okay, sure. Thank you. Thank you for the answers.

Moderator: Thank you. We have a next question from the line of Vishal Khandelwal from Bajaj Allianz Life Insurance. Please go ahead.
Vishal Khandelwal: So my question was related to your employee expenses. So employee expenses this quarter is around INR37 crores, INR37.1 crores. And you mentioned a reversal of around INR4.7 crores on account of Momspresso. So if I include that your employee expense comes to around INR41.86 crores. So just wanted to understand how has it declined from last quarter? So last quarter, the number was around INR44.5 crores. So this reduction was because of share based expenses reduction or there was a reductio n in your core employee expenses also?
Ramanpreet Sohi: Yes, so I, this is Raman. So see, you're absolutely right. So the reduction is on account of the INR4.7 cro

res. The one time we saw reversal that has happened in this quarter and in terms of, sequential, payout, the payroll number, that's the range that we're looking at in terms of at an absolute level. So I think that's how one should look at it and also, we should also look at the other aspect which is impacted when you say it has come down is apart from we saw reversal, the one -time impact, there is also scaling down of operations of Momspresso, which was there last year . That's also leading to this number coming down. And which was a people heavy services business. So that is an impact that you would structurally see.
Vishal Khandelwal: Okay, understood. Would it be possible for you to share the ESOP related expenses, excluding the reversal number of 4.7? That would not have happened like what would have been the ESOP expenses?
Ramanpreet Sohi: So, sorry, the ESOP expenses that we're referring to is only related to the Momspresso ESOP reversal there is of course, the ESOP expenses, which are regular ESOP expenses as part of our quarterly payroll costs. On average, they range between 0.7% to 0.8% of our sales.
Vishal Khandelwal: Okay, sure. One more thing, as and was there any reduction in your expenses like your freight forwarding charges, sales commission, Q -on-Q, or was more or less flat as in Q -on-Q, those numbers?
Ramanpreet Sohi: Yes, so these are part of our other expenses. And, they've, they are -- these are variable in nature and hence, in line with how we've grown. Some efficiencies we've been able to drive because of scale as well as because of improving regional utilization on that front.

Vishal Khandelwal: Okay, because I remember you mentioning like advertising spends being a lever, but I'm just comparing our second quarter of FY'23 versus second quarter of FY'24. And as a percentage of revenues, this kind of agreement similar at around 35% or so. So, I'm just unable to like, export your commentary.
Varun Alagh: Yes, like we said, better to look at H1 and at the H1 level, you will be able to see that because like we said, like Q2 has, in a base has a slightly higher sort of revenue, while, because of the Q1 ERP implementation . So, at H1 level, if you will see, we'll actually find that impact.
Vishal Khandelwal: Okay, okay. Thanks. Those are the questions from my side. And congratulations once again.
Ramanpreet Sohi: Thank you so much.

Moderator: Thank you. The next question is from the line of Chintan Sheth from Girik Capital. Please go ahead.
Chintan Sheth: Thank you for the opportunity and congrats for the good first quarter, post -testing results. A couple of questions on the new SKU launches and all. If I look at the slide, within Derma Co., Aqualogica and Dr. Sheth's, the brand is towards, obviously, there will be end number of launches we must have done during the quarter, but brand is towards, summer products like sunscreens and all. If you can highlight what kind of new launches we have done this quarter and what is in the pipeline going f orward?
Because that get piece is kind of contributing more. If I look at Q1 of the current year, the new SKU launches have contributed almost 9% as per DRHP. That has moved for the first half to 13%, right? So, if you can provide some color on the pipeline produc ts which we are planning to launch and the concern on the, we are setting into the winter and we are looking at more summer -based products on the pipeline. If you can highlight anything on the product side, yes, it would be helpful?
Varun Alagh: So, actually, I'll talk about two things. One, I think the good thing is India continues to be a tropical country where we don't have extreme seasonality. While you're right, we're getting into winters, we'll probably have two months of winter impact and that too only in north, right? Rest of the places, it's much smaller in

terms of seasonality and hence some of the categories like face washes or even for that matter now sunscreens , continue to see throughout the year usage from our consumers.
They're not as seasonal as some of the categories earlier like talc, etcetera. used to be so seasonal towards summer and hence we're not as worried . On the other front, actually, you pointed out rightly. So, our innovation calendar is in line with consumer contexts, which is the reason why from our H1 perspective, we are talking about the launches that we activated in H1. We were, which were more con textual towards the season is Half one and hence a lot of sunscreens, a lot of acne -oriented products or hair fall -oriented products and you know and accordingly in our innovation pipelines and we ensure that the innovation or the ingredient or the category that we are innovating in is in line with the context that the consumer is looking for.
So, moisturization, for example, would be what we'll focus on in the season where the consumer is looking. So, in line with that and this is not something which we have done just this year. Over the last five years, every year, every quarter, innovation has been a strong driver and it has been in line with our understanding of consumer needs and which is why, you know, it is able to get as much consumer.
Chintan Sheth: And any number of number of products or schemes will be launched during the quarter or first half?
Varun Alagh: Oh, it's actually, you know, continuous business as usual. So, I mean, you know, nothing which will disruptively change. We'll continue to do what we have been doing.
Chintan Sheth: Okay. And if you can just call out what is our services revenue for the first half, would be helpful.

Varun Alagh: Sorry, what is? Services revenue.
Chintan Sheth: Revenue from services.
Ramanpreet Sohi : Yes, that's it. It's about INR18.5 crores. So, 2% of the company's revenue.
Moderator: Thank you. We have a next question from the line of Nirav Rajiv from Aditya Birla Sun Life Insurance. Please go ahead.
Nirav Rajiv: Yes, thank you for the opportunity. Just on the margins front, I mean, we have already seen the clocking around the first half around 7.2% in EBITDA margins and around 8% for this quarter.
So, just wanted to know directionally, can we see, like continue t o see your improvement at least

on an annual basis around 100 bps going forward? Just directionally, any sense on that?
Varun Alagh: Hi, thank you for asking that question. So, from an annual basis, every year we will have endeavor to find leverage opportunities the way we have to look at, you know, the levels at which you talked about are probably even better than that as we grow.
Moderator: Thank you. We have a next question from the line of Mihir P Shah from Nomura. Please go ahead.
Mihir P Shah: Thank you for taking my question. I was also going to ask on margins, but the other question I wanted to ask you was on your manufacturing capability. While I understand your innovation and R&D pipeline and efforts are quite consumer -centric, can you please talk a little bit about your manufacturing capability and any plans to strengthen it?
Do you see that as any risk that you may face in the future as you scale higher?
Varun Alagh: Yes, sure. Thank you for asking that question, Mihir. So, on the manufacturing side, actually, it's important to understand how our innovation engine works. Of course, the conceptualization, as I said, is very data -oriented basis, which we recognize trends an d opportunities. That is then picked up by our internal innovation and R&D team, where we have 50 -odd members team with labs and facilities in both, you know, Gurgaon and Bombay.
And along with that, we have an ecosystem of R&D partners, more than 10 to 20 different partners who also work with us on providing soluti

ons to different problem statements. So, all
R&D happens in -house. And the prototypes that we develop out of those R&D , we do extensive consumer testing.
It's almost like a collaborative effort with consumers that we develop these products on and once we are confident of a certain formulation, then we have a network of almost 30 -plus different manufacturing partners who have expertise in different kinds of manufacturing processes and categories and of course, some of them are far more pareto with us.
The top four partners actually contribute to more than 60% of our sourcing, and some of them have independent units fully deployed for Honasa business. But actually, instead of risk, it's a flexibility that we have, where we are able to, at any point of ti me, scale manufacturing by taking that formula to multiple manufacturing partners, as well as our ability to open up and work on

any new category is very high because we are able to find the right partner and run the process with them. Of course, we have very strong QC standards.
Most of our partners, our own QC teams, work with them to ensure strong quality controls, which is, of course, evident in the love that we've got from consumers.
Mihir P Shah: Got it. Thank you for that very interesting answer. The other question, again, on margin, sorry to harp about it, but any direction that you can give us, I understand that your endeavor will be to improve and get cost efficiency, but what is the level of a d spend that you may think would be on a constant basis, on a steady state basis for you, which can still allow you to grow at the rate at which you grew in the first half at about 35%. Any number, maybe, that you may, or the range that you m ay have in mind that will continue to allow you that rate with that kind of ad spend?
Varun Alagh: So, you know, I think how I would want you to look at things is, it's not like even this year, we have reduced our ad spend in value. Actually, we have spent more marketing dollars to build our brand s and that's a space of investment, which we generally feel is the right space of investment, because that's what helps us build and grow our brands. So in actual value terms, we have actually grown it. But because our revenues grow faster, in percentage terms, it is lower and that's the trend line that we continue and we hope to see over years to come as well.
Because over time, there are two things that happen. One, our understanding of media mix efficiency improves. Because we have more data after doing so much media on a brand, we know which part of the media mix works harder, because of which we are able to keep the brand spend at that a certain value number and deliver the same kind of growth with that and as we deliver that growth, the percentage wise, it actually goes down. So I think that's how you need to see it. We will continue to invest in brand building, but become more efficient and deliver faster than market growth because of that.
Mihir P Shah: Got it. Can you share what is the mix of ad spend that you're spending on Mamaearth versus the other brands?
Varun Alagh: So at least in the, you know, from a Mamaearth perspective, we would say it is almost 500 basis points lower compared to the average company.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now request the management team to answer the text questions posted through webcast. Please go ahead.
Ram anpreet Sohi: Yes, so I think as we see the questions, we've probably answered most of them during the questions that were asked on the call itself. Probably I'll take one or two theme -based questions,

which are more data -led, which is basically people asking questions around what is part of the other expenses, the marketplace commission and fulfillment cost part o

f other expenses. So the answer to that is yes, I think most of our supply chain, logistic fulfillment expenses are part of other expenses. I think apart from that, very similar questions, most of them have been answered

Moderator: Thank you, sir. Any closing comments?

Varun Alagh: No, thank you. This was very exciting to have this conversation with you and share more light on our business and your questions also help us become sharper and think from a first principles perspective. So we love to continue these conversations, both during these calls as well as offline. Thank you so much for taking time out and joining our first call and giving yo ur wishes to us as well.

Moderator: Thank you, members of the management team. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Feb 2024

Honasa Consumer Limited
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| CIN: U74999DL2016PLC306016 |

February 14, 202 4

To, To,
Listing Department Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED BSE LIMITED
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Bandra Kurla Complex, Bandra (E), Dalal Street,
Mumbai – 400 051 Mumbai – 400 001

Scrip Symbol : HONASA Scrip Code: 544014

Sub: Transcript of Investor Call

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the Investor call held on Friday , February 09, 202 4 on the un -audited financial results and operations of the Company for th e quarter and nine months ended December 3 1, 2023, is enclosed.

The said transcript is also available on the Company's website at www.honasa.in.

This is for your information and records.

Thanking you,

Yours faithfully ,
For HONASA CONSUMER LIMITED

DHANRAJ DAGAR
COMPANY SECRETARY & COMPLIANCE OFFICER
Encl: a/a

"Honasa Consumer Limited
Q3 and 9 months FY24 Earnings Conference Call "
February 09, 202 4

MANAGEMENT : MR. VARUN ALAGH – CO-FOUNDER , CHAIRMAN AND CHIEF EXECUTIVE OFFICER – HONASA CONSUMER LIMITED
MS. GHAZAL ALAGH – CO-FOUNDER AND CHIEF INNOVATION OFFICER – HONASA CONSUMER LIMITED
MR. RAMANPREET SOHI – CHIEF FINANCIAL OFFICER – HONASA CONSUMER LIMITED

MODERATOR : MR. MEHUL DESAI – JM FINANCIAL INSTITUTIONAL SECURITIES LIMITED

Moderator: [Ladies and gentlemen,] good day and welcome to Q3 and 9 months FY24 Earnings Conference Call of Honasa Consumer Limited hosted by JM Financial Institutional Securities Limited. As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on you r touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mehul Desai from JM Financial Institutional Securities. Thank you and over to you.
Mehul Desai: Thank you. Good evening everyone. On behalf of JM Financial Institutional Securities, I would like to welcome you all for 3Q FY24 Earnings Call of Honasa Consumer Limited. From the management side, we have Mr. Varun Alag h, the Co-Founder, Chairman and CEO of the company , Mr. Ghazal Alag h, Co-Founder and Chief Innovation Officer and Mr. Ramanpreet Sohi, Chief Financial Officer . I'd like to hand over the call to the management for its opening remarks and then we can start the Q&A session. Over to you, sir.
Varun Alagh: Hi. Hello everyone. A very good evening to all of you. Thank you so much for joining the call. I think I'm going to briefly share an update on our quarterly performance, and we will then open it up for your questions. Overall, as a company, we have continued our grow th momentum with a 28% year -on-year revenue growth.
Especially in this environment, this is something that we believe is significantly disproportionate compared to the industry. Like for like, if you look at our products business, we've grown by 31%. Our operating performance also continues to be robust, and we've delivered an EBITDA of 7.1%, which is almost 400 basis points up year -on-year.
Our nine -month EBITDA has also crossed INR100 crores in terms of the nine months that we have pitched. In terms of P AT, again, in line with what we have been , talking about, so INR 26 crores in this quarter and for the nine months, it's about INR80 crores. Business continues to be capital efficient . We have continued to be a negative working capital cycle company with minus six days of working capital.
All of this has been possible because of our focus on our three strong core levers. First, of course, we need to focus on brand building and Mamaearth continues to get consumer love. Over the last two years, Mamaearth has been into two main categories which are face washes and shampoos.
We have gained strong household penetration by 280 basis points in face washes and 110 basis points in shampoos. This is urban data measured by household penetration . Mamaearth has also shown very strong versatility by entering and making a dent in a new category, colour cosmetics, where we had entered close to about one and a half years back.
And in that period, we've actually reached an ARR of INR150 crores in just the colour cosmetics business. Just in quarter three, we have sold 10 lacs units . This not only demonstrates versatility of the brand, but also demonstrates company's ability to build new categories, which require newer capability building, R&D, etc.

I think we're happy we've been able to achieve this. We continue to scale our younger brands strongly. And in fact, the great news is that our second brand, the Derma Company, has actually become EBITDA profitable now at a nine -month level.
The brand continues to be EBITDA positive. And that just gives us a lot more confidence as we grow, that our playbooks on brand building and as these brands scale, they will start contributing to the profit pool of the company as well. And the investment allocation strategy that we have is clearly

paying off.
Of course, the second very important lever is innovation. We take pride in our ability to innovate and our ability to use data science -based trends in capturing what the consumers are looking for. And we have launched almost 122 products in last calendar year.
And an example of our innovation has been our Rosemary haircare range, where we recognize d the trend before the start of this year, we launched the range towards April before the hair fall and monsoon season. And actually, in just six months, we've been able to take it to a INR50 crore plus ARR. And that gives us a lot of joy.
We of course continued to strengthen and expand our omnichannel distribution in the offline space. As per Nielsen now, we are present in about 1.7 lakh outlets, which is an increase of 37% year on year. In modern trade, we are present in almost 8 ,000 plus stores now across 31 chains. And we also opened our 100 th EBO store, which not only helps drive imagery, but also helps us drive a range execution in the physical world. So , the three boring levers of building brands, providing innovative products and driving distribution have been fundamental to delivering the

growth plans that we have had. And we have done this, keeping our purpose -based philosophy in min d, and all our plans around, planting more trees, providing more safe drinking water, recycling more plastic. and we continue to add to those feeds . And we in fact, very soon will come with our sustainability report as well, in terms of the impa ct that some of these plans are making. And we continue to strongly focus on governance with our strong internal and external audit partners.
We take pride in the fact that we have a diverse organization, 53% of the employees are women. And we were also r ecognized as a Great Place to Work fourth year in a row with our focus on engaging employees in the right way and providing them the right development and learning opportunity. So , those are the highlights of what we want to capture in our quarterly results.
I would love to answer the questions that you might have. Thank you so much.
Moderator: Thank you very much. We have a first question from the line of Vivek M. from Jeffries. Please go ahead.
Vivek M : Hi, good evening Varun and team. A few questions first and in fact, a request to Varun and Raman, if presentation can include, a bit more data on , let's say online, offline, and a bit more data on, let's say, the brands . That will be really helpful to analyse the performance if you can take that suggestion on board.

Varun Alagh: We will evaluate that.
Vivek M : Sure. Now, coming to the questions, firstly, online -offline, can you just give some insights int o how the quarter had been for both these channels?
Varun Alagh: So to answer the question, one, both the channels have grown well. But online has grown stronger, faster than offline for the company. In terms of brands, younger brands have driven and grown strongly in the online channel while growth for Mamaearth continues to be driven from the offline space.
Vivek M : Okay. And in terms of growth rates for the key brands, Varun?
Varun Alagh: So from our growth rates on key brands, our younger brands, of course, have a lower base and are growing much strong er, which we talked about last time as well. But Mamaearth also continues to lead the pack from a perspective of larger brands. It is i n double -digit value and in mid-teens volume growth.
Vivek M : Perfect. Got it. Second, because you are still a very young company from a market perspective, sequentially, how is the seasonality? So, if I look at this quarter, there is a quarter -on-quarter decline. The base also, there's a quarter -on-quarter decline. Does that mean the second quarter is bigger than the third quarter? I would have imagined given the winter

portfolio and the impa ct
of delayed win ters.
Varun Alagh: Yes, it does mean . Yes, we do have some bit of seasonality in the business because our largest categories continue to be face wash, sunscreens, followed by shampoo. And in order of seasonality, sunscreens show the highest seasonality, followed by face wash, followed by shampoo. And which i s why usually H1 is where, for us, the seasonality is higher compared to half-two where winter sort of kicks in.
And this time, the winter portfolio itself also wasn't as exciting in terms of the winter demand. The winter was delayed and some of tha t impact was there. But in general, given the contribution of our categories, we do have some seasonality. It's best to look at it from a year -on-year perspective.
Vivek M : Got it. A couple of more questions , if I may. One is the gross margins, which have contracted both on a Y -o-Y and Q -o-Q basis. Can you just give insights? Other than channel mix, is there anything else? And where should this settle at in the foreseeable future?
Varun Alagh: Actually, channel mix is not the core reason. Good you asked this question, gave us this chance to clarify. So, the gross margin contraction is because of two reasons. One, at a YTD level, if you see, we have the impact of Momspresso , which used to be because it was largely a people -oriented business and high opex , but high gross margin as well. So, that is there in the base. And that, if you remove the impact of it, from a nine -month perspective, there is only about 15 basis points di fferen ce in gross margin. Even there, one of the things which has specifically happened in this quarter, which we will, of course, learn and be better at as we move on, is that while we were taking provisions for our expiry, etc., in every quarter, we chose to do the

destruction of the same for the last three quarters in this quarter itself. Because of which, all of

that sort of came into just this quarter, which should have ideally been divided into the last three quarters.
So, this quarter is a little more depressed because of that. So, I think if you look at the YTD levels, that's really the gross margin level which we are at, and that is what you should expect from us as we move forward.
Vivek M : Okay, got it. And Varun, I noticed, on the volume growth side, so let's say Mamaearth has 200 millilitres of shampoo bottle and let's say 3.5, 4 grams of lipstick. When you report volume growth, does that mean that one shampoo bottle is the same as one lipstick, for ex ample, because your volume growth says that it is on the number of packs ? Is that correct?
Varun Alagh: Yes, you're absolutely right. We treat volume growth as transactions growth, which is the number of units. Because in the beauty and personal care busin ess, like you absolutely rightly pointed, not even 3, a 2.5 grams of lipstick can be more expensive than a 250 ml shampoo.
And hence, tonnage and kg is not the right way to measure and add them all up to see, especially if you're building skincare and colour cosmetics as a business. So, we see transactions growth as the right measure of volume. And there, we've actually grown faster than ever.
Vivek M : Interesting. Okay. Got it. And last question, Varun, since we have the opportunity to hear it from you. There have been obviously investor concerns around this issue of inventories in the channel, etcetera, and I'm sure investors, analysts would have reached out to you. But can you just give your views as to, on the distribution side, how comfortab le things are on the ground and whatever the reports came about, any clarification on that will be useful. That's my last one.
Varun Alagh: Sure. So, Vivek, I think to talk about it, I will need to set some context for everyone out there.
So, we st arted operating in this channel about three and a half years

ago, when we started going
offline, especially GT.
And when you're building a new business in GT, you're really going to partners with no ongoing business. And that led to the kind of partners t hat we were able to attract at that point of time. It was not the best quality partners.
The second thing that of course happened was when we were doing that, when we were a largely online company. And hence, our distribution center was largely one mother warehouse from which we were operating. While to service the general trade distribution system, you need far more number of distribution points, which we could not just open up directly.
And hence, what we did was we went in for a super stockist model, whereby we appointed super stockists as bulk breakers, who would then service our sub -distributors. And they also solved the problem of supplying to smaller, lower quality distribution partn ers who might have had credit risk.
That said, over time, as our business size increased, that layer has led to significant, relatively higher inventory compared to others, FMCGs that we operate. Because they really are inventory

bulk breakers. And the co ntribution of that also increased. And of course, there is a cost associated with it. We pay 5% extra to a super stockist to manage this.
As we speak, I think we are undergoing that transition. Where, one, we want to improve the quality of our dis tributors given this is a channel for growth for us. And hence, there is financial infusion, which will be required by our partners as well as they need to have stronger capabilities on deploying the technology products that we want to deploy for signific antly better visibility of assortment, sales, etc etera .
Now, that whole attempt of changing and tuning some of this did cause some pain , whereby certain associations did raise concerns. And we are actively addressing and working with the system. That said, we believe it ’s structurally the right thing to do , which is finding the right partners over time and actually deploying them with better manpower, capital, as well as better technology capabilities.
And over the next three to four quarters, we will continue to engage and work with the system, whereby we will make sure that both the quality of partners as well as the inventory levels in the system continue to move in the right direction.
Vivek M : Perfect. Thank you for the elaborate answer. Wish you and your team all the very best.
Moderator: Thank you. We have a next question from the line of Latika Chopra from JPMorgan. Please go ahead.
Latika Chopra: Hi. Thank you for the opportunity. My first question was, if you could share the ARRs for the Derma Company and Aqualogica. I think you shared it in the prior quarter at about INR380 crores and INR180 crores , respectively. Any updates on that, please?
Varun Alagh: Those were the numbers that we had shared last time. As we make material gains in these, I think we will surely come back and share. Because ARR ’s benchmarks, ideally , we would like them to be materially different when we actually come back and share with you. Currently they

have grown sequentially, but there is no material difference from what was shared earlier . Hence, we would surely as they hit newer benchmarks, we will come back and share.

Latika Chopra: Sure. The second was, I know you mentioned in your response to gross margins that there was an adjustment for nine months that you made in this quarter , right, i n terms of stock write -offs, probably. So, should we now look at the nine -month gross margin as a realistic gross margin of 69.7 or is it going to be the third quarter of 68.5 which is more realistic? Do you see any risks to this from a product mix perspective or the offline, online channel mix or brand mix going forward?

Ramanpreet Sohi : I will take that, Latika. Like yo

u said, I think the first nine -month gross margin profile is representative. Having said that, of course, the big imp lication going forward would be a significant change in the channel mix, which of course, as we speak, I think the online, offline growth mix will balance it.

I think at least in the medium term, we don't see any major change in how our gross margin profi le will look . And from a nine -month perspective, the only bit of adjustment is that 20 basis points odd which is an account of the office space. So I think outside of that, that 69% is the gross margin that you should expect us to deliver.

Latika Chopra: All right. And any flavour on how should we think about brand advertisement expenses on a Y -o-Y basis as a percentage of revenue? It’s been pretty stable at 34 -ish percent. There is some benefit of 40 basis points odd as I can see on your deck. But where do you think this is going to settle at basis the plans that you have?

And lastly, would it be possible for you to share the offline, online mix? I understood that online grew faster, but any rough sense on whether the Mamaearth portfolio or on an aggregate basis, any rough sense on online, offline mix? Thank you.

Varun Alagh : So, Latika, firstly, to the first question, I'm sorry, I lost the first question. Could you repeat that?

Latika Chopra: So this is on the advertisement spend, as a percentage of revenue.

Varun Alagh : Yeah, got it. Sorry. Thanks for reminding me. So, Latika, we build an annual plan. And like I said, there is a bit of seasonality in the business. There are areas where we want to invest, and we invest. So, I think from a pure P&L perspective, we look at it more as a year and we build an annual plan where we look at how and when we're going to activate which brand. And according to that, we have executed. We've been delivering the gains that we've delivered .

Again, we should look at more from a nine month s perspective because we've delivered it in line with what we had planned them to be. As we move forward, again, we've called out and we continue to support that fact that A &P is the bucket from which we wi ll get the maximum leverage as we grow. And we've called out that every year we will continue to improve on our bottom line performance by using that leverage where we not only are becoming more efficient, but also the awareness levels are getting driven t o a certain level.

So I think what I would say is our objective would be that every year in the medium term , we continue to become better on the bottom line s by leveraging on the A &P.

Ramanpreet Sohi : And I think just to add to that . Latika , if you actually look at nine months, it's a 250 bps plus optimization on the A &P side. So like Varun was mentioning, it's about planned budgets and how we sort of invest behind brands and this despite, as we're building younger brands, we've been able to optimize the A &P spend du ring the year.

Latika Chopra: Sure. And any flavour on online , offline mix?

Varun Alagh: So from an online , offline mix perspective, like we said last time, it continues to be similar to what we mentioned last time. So about more than one third of the overall business continue s to come from offline while the balance is online. But for a brand like Mama earth , it's mostly 50 - 50 and that is where we see it.

Latika Chopra: All right. And one thing, sorry for one more question. I was going through the slides and I noticed that you've mentioned that the online growth has been driven by platforms with strong Tier 2 plus presence. Any comment on the Tier 1 platforms like N ykaa or Amazon or anything that you wanted to say about them?

Varun Alagh: Actually, that point on the online growth is also far more driven from Mama eart

h ’s online growth where we've seen that for Mama earth now the growth is coming more from platforms

which have stronger Tier 2 and beyond presence like Meesho , Purpl le and Flipkart. That's been a learning at leas t in the last 10 months. For younger brands we've seen it to be actually more driven by platforms like N ykaa, Amazon, etc etera . But at a company level , of course , we're gaining share on each of those platforms.
Latika Chopra: Got it. Thank you so much.
Moderator: Thank you. We have our next question from the line of Manoj Menon from ICICI Securities. Please go ahead.
Manoj Menon : Hi, team. Just heard earlier about the formula which you use for volumes. Just curious why not use the underline volume growth formula? I'm sure you know this template. Just trying to understand why not use UVG because it kind of normalizes most of the noise.
Varun Alagh: We'll take that as a feedback. I think we're fairly young and some of these pieces are things that we have still t o take into account and ensure we're able to build it. UVG is a good concept but it's also slightly complicated in terms of execution. Currently our objective was to understand if our consumer transactions are growing and that's the first point w e wanted to keep a strong hold off especially as we also get into B2B businesses.
We wanted to know if the number of times a consumer is engaging with our products is growing and this current method actually is a very good demonstrator of that. It gives us a very healthy picture of how our brands are doing in terms of driving the consumer interactions and transactions, But w e'll take this into account and evaluate how we can move towards that.
Manoj Menon : Thank you. And the only reason I ask ed this because I have observed in the last 10 years, many Indian companies, had actually adopted UVG because they felt, depending on how much they are interested in this phase of evolution , because it kind of normalizes the volumetric aspects.
So the point here is given the stage of growth which you are currently you started as let's say it's a very a high ticket product company to now have a democratically priced the product. That's the only context I was trying to ask that and we will come back in a few quarters on how this evolves.
Secondly, yes from seasonality Q2 versus Q3 is the skincare portfolio should have benefited from seasonality or is it not material in the portfolio currently?
Varun Alagh: So, in fact, even under skincare it depends on what part of skincare forms the largest chunk. If we were a creams -oriented company you are right that part of skincare does see positive gains , But e ven there in fact at least our learning has been it is not daily creams but cold creams,

moisturizers which feel a larger skew towards seasonality , but for us, that's the third segment in skin. The top two segments are face wash and sunscreen which see entire seasonality in Q2.
Manoj Menon: Very clear. Last year some updates on the retail more than an update just help us understand how do you look at retail internally? Is it the funding for retail ramp up comes from your cash budget or you are looking at a separate channel or any evolution ov er the last six months on your thoughts on retail?
Varun Alagh: Manoj, I am assuming you are referring to the EBOs when you are talking about retail?
Manoj Menon: Exactly, offline EBOs. Offline EBOs, that's right. Yes.
Varun Alagh: Offline EBOs . Yes, righ t. So, I don't think we -- and you mentioned cash budget I did not understand that point if you can just clarify that.
Manoj Menon: I think let me just give you an example of working on a recent Lipton tea powder project in Unilever long back where the internal thought process was that these are actually market expenditure, and we would obviously look at this as from a profit

RO CE point of view. So, are you looking at retail more from a brand building po int of view or is it something else. I know these things evolved, that's why I am trying to understand where are you in the journey at this point ?
Varun Alagh: No, we are looking not just at retail from a brand building or imagery point of view. In fact, t he reason for us to get into the exclusive brand store format was one, of course, the imagery piece that you talked about but two very important things and the fact that general trade and modern trade do not allow you to execute your overall assortment.
They are more of a hero product kind of channels and a lot of our consumers were asking for our overall assortment to be seen in one place where they can actually experience and buy more categories , that was the reason why we started this. For us, we ar e seeing that as a clear business the way we evaluate all channels from a profitability perspective.
That's how we look at this channel. In fact, the overall channel , already in very nascent stages is store -level profitab le and we follow that very st rongly and we believe that as it grows the older stores are actually showing much better store -level profitability compared to younger stores. So as a store gets more mature it starts to show better sort of bottom line.
So I think that's how we are lookin g at the channel.

Manoj Menon: Thank you. Just one last question. All the DPS are owned , right? No franchise as of now
Varun Alagh: No, all of them are owned, no franchise DPS.
Manoj Menon: Thank you. Thank you , team. All the very best.
Varun Alagh: Thank you.

Moderator: Thank you. We have a next question from the line of Manish Poddar from Invesco Asset Management . Please go ahead.
Manish Poddar: Hi Varun. Just two questions. So first is on the competitive intensity. Could you probably talk about let's say competition both from incumbents and new age bran ds for the core bran d Mamaearth
Varun Alagh: I think in the last three months, we have seen significantly enhanced competitive intensity. I think till about three to four months back, there wasn't any urban growth concerns that companies were looking at or talking about , but it started with the festive not going as well for the e - commerce players in terms of the overall traffic and growth. It was then sort of followed by a bleaker winter in the last quarter.
And then also parallelly followed by GT not growing as fast for most companies and the consumption in GT slowing down hence inventory increasing etcetera. That has been the scenario which has led to actually a very high discounting that we have seen from most players, be it incumbents or the younger players in terms of number of days of discounts or the steepness of discounts which have gone up.
Now, our view is this shouldn't last as l ong and hopefully post -elections this environment should completely change and focus on the basic penetration gains and growth should sort of come back and hence this need wouldn't be there , but in the short term, we have seen thi s and it does have impact on the consumer and competitive intensity and how one needs to react to some of this.
So I think that would be the long answer to it.
Manish Poddar: So then it is interesting to see the entire growth and the margin perspective. Just one more thing, could you probably talk about distribution expansion for The Derma company and the other brands because in the first leg you had to build the pipeline for both own stores and the GT channel , but what are your thoughts of taking these brands across the channel given that some of these have started breaking in. Thank you.
Varun Alagh: So Manish, I think the plan for us is that next year for example The D erma Co, we do see a stage where we are seeing demand in offline stores. We are more

demand oriented in our approach
and hence taking it slow because while you can put stock in the channels but if there is no demand then it won't move out , but now for last four-five months we have seen active demand coming especially in pharma channel or in modern trade
So I think this year the objective would be to have a targ eted store strategy getting into hypers, getting into the right kind of pharma stores for dermaco and expanding that presence. And similarly for other brands we might go very tactically for one category which is very strong for that brand and take that into selective stores and see how the demand affects those shapes and accordingly expand it.
Manish Poddar: Just one clarity if I can , So would it be right let's say for new products under derma or any of the other new brands you take the feedback loop f rom the BA which you have for your co -brand ?

Varun Alagh: I did not understand, so you mean that is the first port of distribution are B A channels for Mamaearth ?
Manish Poddar: For the new brands. I'm just trying to understand let's say from a feedback loop.
Varun Alagh: You're absolutely right. We have almost a thousand points where we have BA s feeding data every day to us around what's moving what's not moving. So these are the places where we do pilots and understand for the new brands what's moving.
Manish Poddar: Just to understand it. So for this the entire Derma products company perhaps would have already started getting let's say rolled out across this BA distribution channel or that's just on NPD basi s?
Varun Alagh: No, no. Actually, we never take NPDs into offline Manish w e only would take our core products of a brand in offline where we are seeing significant traction and which have become large in the online space. For example in The Derma Co - Face Serums, Salicylic acid, Kojic acid, Vitamin C, Niacinamide have become large in the online space or the sunscreen which is the 1% Hyaluronic acid has become large in the online space , those would be the products that we would lead our offline distribution with and that we would do in the B A channels as well and we would

do in the right imagery modern trade stores as well. But like I said, we always start with a certain universe, see the response there and then expand in that channel.
Manish Poddar: Got it. Thank you so much. And all the best.
Moderator: Thank you. We have a n ext question from the line of Mu dit M from M3 investment s. Please go ahead.
Mudit M: Thanks for the opportunity and really appreciate the c onsumer brands that you're building. So my first question is can you help us understand what's the growth on the base business by the X new launches? So I just want to understand X new launches while we appreciate the nimbleness of coming up with new products , but is the base also getting built and there is traction there?
Varun Alagh: Yes, the base has also seen good growth , we've seen volume g rowth on base as well.
Mudit M: So if I can drill down that even further, because you're expanding your store network very fast , for an outside investor it's very difficult to understand how much is coming from the new stores getting added and how much is from the repeat orders from the distributors , so could you help us qualitatively understand is there a growth in the repeat salience of the business functions in GT?
Varun Alagh: Yeah, in GT it's a bit difficult to track at this kind of size for example, new stores continue to grow at a same store level. As well as if you look at Nielsen data, it is also telling us that same store growth is there as well as distribution growth is there. So finally, the growth that is coming for us in offline is combination of both. It is not that one is at the cost of other. Both same store is growing as well as distribution expansion is addin

g to the growth.
Mudit M: Just two small questions. Can you hel p us explain the percentage of repeat orders on your website that you put in your RHP as well ? What is the tracti on like in nine months?

Varun Alagh: As a cross channel brand, where our products are present not just in our own D2C but also in Amazon , Nykaa, Dmart, Apollo or in a GT store. We have always talked about the fact that the same consumer ends up buying from cross channels. Hence, we are not able to truly triangulate what the repeat sale of that consumer but we have disclosed that almost 55% of our sales is coming from repeat consumers on our D2C platform. That has gone up to 58% now and it continues to be in that zone.
Mudit M: Do you get any differential pricing from e -commerce? Or is it the same that everyone else enjoys?
Varun Alagh: In fact, we would be the most commonly treated in terms of players because we operate as sellers on these websites. When you operate as sellers, you are basically operating with the same framework that Amazon has put out for any seller in the country. Of course, that frame work has slabs where as you increase in size, you can get better logistic costs .
But finally, we are going by that same framework that Amazon or Flipkart have created for any seller in the country. Most other companies operate in a B2B model where there is less transparency , but in our model, it is actually very transparent in terms of the costs that they apply.
Mudit M: That's great. Sorry, operator if I can squeeze one more. Can you also suggest how much in the marketing goes in performance and qualitative aspect, how much goes in performance marketing and vis -a-vis the other brand building activities?
Varun Alagh: What I would say is while we are call ing it performance marketing, it finally is consumer marketing. Just because I serve the consumer from Facebook with the advertisement where I am trying to capture what kind of sales it generated, we call it measured marketing rather than performance marke ting. That's the form of marketing probably 10 years down the line will only exist.
Hence, it's just a form of digital tool and marketing available. We focus more on the content, the messaging, what we are communicating with the consumer. Otherwise, all o f this marketing is also consumer marketing. That's how we like to look at it.
Moderator: Thank you. We have a next question from the line of Latika Chopra from JP Morgan. Please go ahead.
Latika Chopra: Thanks for the follow -up opportunity. When I heard y our comments, you talked about some refresher coming on urban discretionary and it could also be cyclical. Just wondering, we have this aspiration of 30% growth year-over-year, and we have delivered a round those numbers
But if you have to crystal gaze over the next two or three years, where would you peg the revenue growth potential for the aggregate business? I also heard comments looking for a more tactical expansion into other channels for your new branch. Any rough sense on whet her the revenue trajectory is going to be 2 0% to 25% or 25% to 30 %? Where do you think the next year revenue growth potential for the business looks like?

Varun Alagh: Latika – whenever you talked about this in the past, we talked about the fac t that we will continue to grow significantly ahead of the industry peers. We would still retain that as our goal. We talked about the fact that we would be at a 2 x to 2.5x of where the market growth would be. That's where we will continue to be. In the ve ry near term we do expect consumption to slow down. You can see industry is also reporting fairly slow in volume growth numbers.
That is now happening in urban as well, not just in the rural area. From a short -term perspective, the growth benchmark

might itself be on the lower sid e and t hat might impact us in the short - term.
From a medium -term perspective, which is over the next three years, I think that goal of remaining 2 x to 2.5x of the market continues to be there. I think we would look at around that 20% CAGR mark. Because that's the way we see market shifting.
Latika Chopra: Any thoughts on further brand launches or you want to scale up the existing portfolio that have and then look at a new brand launch into any of the white spac es you see in the B PC space?
Varun Alagh: It's an ongoing process for us where we identify opportunities which are white spaces. We action pilots and POCs in that opportunity. Wherever we see that our view in a hunch was right, we double down on that opportunity.
We've also created an organization which can easily support that. We have a separate brand factory team which works on only new brand creation and scale up. While COE focusing was on the old brands. So I think in that line we will continue to look at newer spaces coming up with the right mixes to take on those spaces and build newer engines of growth for future through those trends and spaces.
Latika Chopra: One of the things that you flagged off was colour cosmetics. It's alre ady INR150 crores under Mama earth brand. Do you want to tap into this category via Mama Earth brand itself or the success of this portfolio within mamaearth allows you to look at a bigger target audience at different price points using another brand? Is that something that could be on plate?
Varun Alagh: Yes. The experience with the category has clearly given us more confidence to be able to look at it in a s tandalone manner. We know that globally as well as in India, natural is a very small part of colour cosmetic to the category, performances where the category really lies. But this early success has clearly helped us build capabilities and given us confiden ce that we can play aggressively in that category in the medium term.
Latika Chopra: Sure. And one check on margins, EBITDA margins hovering around 7 %, 7.3%, nine months even in the quarter. Given you alluded to higher competitive intensity in general, how should one think about the time frame for you to reach double -digit margin profile?
Varun Alagh: Again, Latika we will stick forward two to three years perspective, we will stick to what we have said in the past. We will continue to gain every year and ho pefully over the next three years we should be in the double -digit space.

Latika Chopra: All right. And last one for me was any new NPD share to revenue ratio stable at 13% that you saw in first half? And you talked about market shares and face washes and shampoos , are they also trending up on a Q -o-Q basis? I know you shared Y-o-Y they have expanded. Any flavour on that will be useful ? Thank you.
Varun Alagh: So, yes, on the first point, largely yes, stable. Honestly, it should be looked at f rom a quarter based perspective - because there is cumulative gains that we usually get. But stable from an NPD perspective. On the market share front, better to see it from a Y -o-Y perspective although we sequentially also gain . But better to see it from a Y-o-Y perspective because that's really the benchmark. That's the data that we provided , but it’s actually healthy compared to wh at we have reported in the past in sequential as well.
Moderator: Sure. Thank you so much , Varun.
Moderator: Thank you. We have a next question from the line of Chintan Sheth from Girik Capital . Please go ahead.
Chintan Sheth: Thank you team for the opportunity. Just to understand better the gross margin, you say 20 bps on the nine month basis is the impact on the inventory front, right? Just a clarification?
Varun Alagh: No, we ’ll try to explain. Raman if you can pl ease take t his up.
Ramanpreet So

hi: So, I think we are trying to say if you look at a nine month year on year comparison from a gross margin perspective and if you exclude the impact of discontinued business of Momspresso in

the base, then the impact of gross margin YoY is only 15-20 bps. And that's primarily coming
in from certain category mix or channel mix changes. So, that's what we're trying to explain.
Varun Alagh : Just on the Q3 perspective, the same number on a Y -o-Y, even after removing the impact of Momspresso is 120 bps.
Raman preet Sohi : So, I think the impact of the accumulated inventory impact that we took in Q3 is about 1.2% for the quarter and ideally, it should be spread across the first three quarters. So, that's how one should look at it.
Chintan Sheth: That's excluding of Momspresso. Right?
Ramanpreet Sohi : So, there is no Momspresso impact in the current quarter , whatever the impact is in the base quarter. Hence, if we remove that from the base quarter, like for like, year -on–year 9 months. It is only 15 -20 bps impact and specifically for Q3 , it's the inventory one time accumulated impact that we have taken in Q3.
Chintan Sheth: Sure. And in terms of the implied cost, last quarter was favorable and this quarter, we have normalized. What we can expect going forward, are we continue to see trend up in that or there will be some leverage we can expect, at le ast on an absolute basis, whether we can expect the run rate to continue or grow at a near inflation or lower than the things that we should expect.

Ramanpreet Sohi : Just to clarify, so I think when you look at like for like, here also given Mom spresso over the service business and higher implication and former employee payroll costs, the like for like impact is only 1% year on year. In Q3, similar to 100 bps impact. That's how you should see it. We are at 9% and we, I think going f orward also, we should remain around the same as a percentage of sales in terms of our payroll costs.
Chintan Sheth: Okay. It will grow in line with the revenue growth. If you consider 9%, it means the employee cost will grow in tandem with the sales grow th. That's the expectation.
Varun Alagh: Over the next couple of years in the near term , yes.
Chintan Sheth: And lastly on the depreciation and interest caused this quarter, I believe the ramp up which we have seen, largely because of the E BOs, ramping up and impacting the P &L? Or is there any specific s you need to call out?
Ramanpreet Sohi : It's just the EBOs. We don't have any other capital -intensive impact
Chintan Sheth: Mostly lease accounting getting impacted.
Ramanpreet Sohi : Absolutely. It's exactly that.
Chintan Sheth: And that trend will continue, the absolute will grow in tandem with the number of EB Os will continue to open
Ramanpreet Sohi : Yes.
Chintan She th: Okay . Got it. And if you can just call out, you say the Ma maearth brand as a whole grew double digits , right? That's the number in terms of revenue value growth and mid-teens in terms of volume growth. Correct?
Varun Alagh: Yes. That is for nine months
Chintan Sheth: Oh that is f or the nine months ?
Varun Alagh: For YTD , yes.
Chintan Sheth: Okay. Got it. Sure. Thanks. All the best.
Moderator: Thank you. We have a next question from the line of Sahil Chotalia from Mount Bliss Capital. Please go ahead.
Sahil Chotalia: Yeah, so all my questions are answered. Thank you. Thank you so much.
Moderator: Thank you. The next question is from the line of Mudit M from M3 Investment. Please go ahead.
Mudit M : Hi. Thanks for allowing me to ask your questions. Could you also take this as a note or maybe give some highlights? Like you must have categorized some hero products. And what's the growth of those hero products if you could highlight those in subs equent quarters? It would be

good to understand the longevity of franchise and I would like to know the comments on the same ? Then I will ask my next question.
Varun Alagh: Mudit, at least as we stand today and we realize the way market is shaping, beauty and personal care as a market is a very innovation driven trend oriented market. Where especially in online, which is the large majority of our business and fresh innovations and launches is what fuels consumer's excitement and gets you the consumer fran chise going.
So in that sense, for a 90% offline business, it actually makes far more sense to just talk about and focus on hero products. But for our kind of business, which is far more online heavy,

innovation and how innovation continues to add and driv e growth is a far more important metric
that we track.
Of course, we have hero product franchises like U bton, Onion, which are all fairly large
franchises and the GT growth that we're talking about, or the market share gains that we're
talking about are driven by these franchises. But we still feel innovation is a far more important
part of the growth in our business. That's how the categories are organized.
Mudit M: I really appreciate that , but just to get a sense to also understand your GT strategy and the quality
of GT networks. How many of the distributors that you have enrolled are already existing
distributors of large franchises, maybe in adjacent categories are same. So that gives the
confidence that they have a financial benefit and customer touch points ?
Varun Alagh: Mudit, as I talked about earlier , we're a young business in GT and when initially you go to find
a partner and you don't have any, you do not attract the highest quality partners in the market
and that's what s ort of earlier happened to us as well where we were working with a lot of local
cosmetic players, baby products sort of distributors.
It's only over the last one year where businesses become sizable is when we have actively started
moving towards the FMCG distributors as we would call them, and we've been working with
larger FMCG companies and are now interested in working with us and that's an active transition
that we're going through.
I think over the next four to five quarters, our objective is that 80 % to 85% of our distribution
partners should be of that variety as you call it and that's the ongoing strategy that we have.
Mudit M: Maybe last one to my side. How many SKUs will you carry in the modern trade , large modern
trade businesse s, marketplaces, because that's where the mass consumption could drive for your
business. Just want to get a sense of what's the SKU that you could carry in modern trade ?
Varun Alagh: Yeah. Again, differs, but in general, like a D Mart would have probably 20 -odd SKU for us, or
even Apollo would have a similar number , but then possibly in a hyper store of Reliance where
we have a partnership to do a stronger brand block along with assisted sales, we might have 70
to 80 SKUs in that ki nd of a store.
Also depending upon the format, the customer, and the intervention that we ’ve been able to
align, it varies. But in general, about 20 is what you should be looking at .

Mudit M: That's fine. It's really great, and I appreciate your candid a pproach on this.
Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to
management for closing comments , over to you .
Varun Alagh: Thank you so much, everyone, for joining in. We're a young company, we're really happy to sort
of answer some of these questions and engage with you on different times to further strengthen
how we will build this business going forward. We are super k icked and excited with the beauty
and personal care opportunity as it exists and will shape over the next decade.
We continue

to very strongly believe that it is going to be the strongest and fastest growing
FMCG segment with the highest profit. Especially driven by women joining workforce and more
women going to college is a trend.
We believe we genuinely excel at building for Gen Z and millennials and that excellence on
innovation and brand building in that sense, which continue to drive strong gains for the
company in the long term. Thank you so much for your patient listening to us.
Moderator: Thank you. On behalf of JM Financial Institutional Securities that concludes this conference,
thank you for joining us and you may now disconnect your lines.

Call: May 2024

Honasa Consumer Limited
Registered Office : Unit No - 404, 4th Floor, City Centre, Plot No 05, Sector -12, Dwarka New Delhi 110075
Corporate Office : 10th & 11th Floor, Capi tal Cyberscape, Ullahwas, Sector -59, Gurugram, Haryana - 122102
Email: info@mamaearth.in ; Phone: 01 1 - 44123544 | Website: www.honasa.in
| CIN: U74999DL2016PLC306016 |

May 28, 202 4

To, To,
Listing Department Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED BSE LIMITED
Exchange Plaza, C/1, Block G, P. J. Towers,
Bandra Kurla Complex, Bandra (E), Dalal Street,
Mumbai – 400 051 Mumbai – 400 001

Scrip Symbol : HONASA Scrip Code: 544014

Sub: Transcript of Investor Call

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the Investor call held on Thursday , May 23, 202 4 on the audited financial results and operations of the Company for the q uarter and year ended March 31, 202 4, is enclosed.

The said transcript is also available on the Company's website at www.honasa.in .

This is for your information and records.

Thanking you,

Yours faithfully ,
For HONASA CONSUMER LIMITED

DHAN RAJ DAGAR
COMPANY SECRETARY & COMPLIANCE OFFICER
Encl: a/a

"Honasa Consumer Limited
Q4 FY24 Earnings Conference Call "
May 23, 202 4

MANAGEMENT : MR. VARUN ALAGH – CO-FOUNDER , CHAIRMAN AND
CHIEF EXECUTIVE OFFICER – HONASA CONSUMER
LIMITED
MS. GHAZAL ALAGH – CO-FOUNDER AND CHIEF
INNOVATION OFFICER – HONASA CONSUMER LIMITED
MR. RAMANPREET SOHI – CHIEF FINANCIAL OFFICER
– HONASA CONSUMER LIMITED

MODERATOR : MR. JAY DOSHI - KOTAK SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day , and welcome to Honasa Consumer Limited Q4 FY '24 Earnings Conference Call hosted by Ko tak Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jay Doshi from Kotak Securities Limited. Thank you and over to you, sir.

Jay Doshi: Thanks, Rico. Good eve ning, everyone. On behalf of Kot ak Institutional Equities, I welcome you all to 4Q FY '24 Earnings Conference Call of Honasa Consumer. We have with us Mr. Varun Alagh, Co-Founder , Chairman and CEO ; Ms. Ghazal Alagh , Co-Founder and Chief Innovation Officer ; and Mr. Ramanpreet Sohi, Chief Financial Officer .

I'll now hand over the call to Varun for openi ng remarks. Over to you, Varun. Thank you.

Varun Alagh: Hi, thank you, Ja y. Hello, everyone. Good evening to all of you. We welcome you to the quarterly performance update and FY '24 update as well for Honasa Consumer. Like Ja y mentioned, we have with us Ghazal , Raman, as well as Mohit who leads the Investor Relations from our team as part of this call.

The way we have structured this is we have a quick presentation in which for the purpose of simplicity, I will take you through what has been the highlights for the quarter. And we will open up for questions post that. So without further ado, let me just jump in and talk about the highlights for the quarter.

To start with, of course, the quarter shaped up really well. While there has been a lot of conversation of consumption slowdown, Honasa Consumer continues to deliver strong growth. We have delivered 23% like-for-like growth with an underlying volume growth of 27% with a n EBITDA of 7% and the highest ever quarterly profit of INR30 crores.

We have also generated INR80 crores of free cash in this quarter. At our FY '24 level, we have grown at about 31.5% li ke-for-like and our EBITDA is about 7.1%. For the full year, we have generated INR111 crores in PAT and from a U VG perspective, we have grown 41%, which is significantly ahead of our value growth.

And we have generated free cash of INR224 crores this year. And this year, like we have mentioned in the past, we have demonstrated significant improvement over last year in terms of our bottom line. Last year, Q4, we had a negative EBITDA. From there, we have moved to a 7% EBITDA this quarter.

Last year, for full year, we had a 1.5% EBITDA to which we have moved to a 7.1% for full year this year. This is driven by combination of efficiencies in A &P, opex , leverage and other costs, which we continue to work on to make our business more efficient by not compromising on building our brands and taking share.

Coming to the core business updates, I think let me start by talking about a project which we have been executing and talking about in the last couple of quarters as well. We clearly realize that omni -channel distribution and offline distribution is going to be a critical part of how we build this company and capture the beauty and personal care market share. In that regard, we have started the journey of building this channel about four years back.

When we started this, we were largely an online company whereby we only had two locations for distributing our products to warehouses. We did not have any offline business because of which we had to go in for a distribution infrastructure where we had supe r stockists which acted as bulk breakers. Then the super stockists appointed distributors whose quality was not as good as we would have liked

them to be from an FMCG perspective.

Hence, we have taken this project to create a stronger direct distribution infrastructure with strong visibility in technology implementation as a part of which there are three pillars that we have been executing. One is a transition from super stockists t o direct distributors, especially in top 50 cities , onboarding high -quality FMCG distributors with strong direct distribution reach as well as implementing a customized version of DMS and SFA, which is a distribution management system and sales force automation system that we have built over the last one year along with our partners across all of these distributors.

We started this journey in Q3 of FY '24. In Q4 FY '24, we have expedited this journey and made sure that the execution is up and live across the top 10 cities. Over the next three quarters, we will continue to execute this project.

This has had a primary impact on our growth for last quarter by about 200 basis points. We do expect some of that impact to continue over the next three quarters. But given it is a right move from a long -term perspective as well as a financially proven move given super stockists do

contribute to a 5% extra cost of distribution, we are actively transitioning.
But the good thing is that from a consumption and optics perspective, our brands continue to do very well. Mamaearth , if you look at the Euromonitor 2023 data for the calendar year '23, it has grown as the fastest brand amongst the top 15 BPC brands in the country, where average the top 15 BPC brands have grown by 7% while Mamaearth has grown at 21% according to the Euromonitor data which is also visible in the AC Nielsen shares that we captured.
According to Nielsen, we have gained 120 basis points in face wash category last year. And we have gained 40 basis points in the shampoo category last year. And even in the same stores where we are present , the share amongst handlers has actually gone up even faster , so 150 basis points increase in share amongst handlers for face wash and 65 basis points increased in shampoo with a gain in distribution as well.
So Mamaearth continues to be loved by consumers and continues to drive those transactions in core categories across core markets. And of course, this year, we've been also able to demonstrate our ability to build large size brands outside of Mamaearth . The Derma Co has hit ARR of INR500 crores last quarter while being profitable.

And this is a net sales value ARR in terms of G MV, this will be close to INR900 crores. And this is just in four years, we launched the brand in March 2020. This is also a brand which is shaping a new proposition, which is the active proposition that we were able to recognize very early and launch the right categories with the rig ht mix, which has been loved by consumers and demonstrates our potential to build large scale brands in newer evolving propositions as well .
Looking at the portfolio, clearly the House of Brands that we have, we are very excited to see the opportunities and possibilities in those brands. And over the next three to five years, we do believe Derma Co will enter INR1,000 crore s club, Aqualogica and Dr. Sheth’s will enter INR500 crore s clubs and BBlunt should enter a INR250 crore s club. And this whole House of Brands strategy is also helping us dominate a few categories.
And I would like to take an example of category like sunscreen, which is a category which is also growing really fast. But a t Honasa, we have been able to use the power of House of Brands to provide different kind of differentiated propositions in this category, whereby there is a made safe natural proposition in Mamaearth , an active based proposition in Derma Co, a hydrating lightweight proposition in Aqualogica and a bioactive proposition in Dr. Sheth ’s. Ccombination of this has le

d to us being able to gain more than 30% market share in Honasa across the e - commerce platforms that we are present in.
And now we're going to use the same strategy to get into modern trade and then offline to capture this market. This is evident in the ranks that you see on most of the channels like Amazon and Nykaa , where amongst the top five, at least three ranks are held by our brands and that's something which we're going to demonstrate in different categories over time.
Our focus on R&D and innovation, of course, continues to be loved by consumers. This is at the heart of the organization, being able to understand the consumer needs and using our understanding of the Indian skin, Indian weather, being able to craft the ri ght kind of products, which then are loved by consumers. We continue to be on that path last quarter as well and launch some very exciting launches, including Hibisc us range for Mamaearth , a new Sunscreen VIS for Mama earth , a new technology in sunscreens, whereby long -lasting sunscreens, which have six hours stay, which is clinically proven, are a few of the things that we've launched last quarter.
And NPD has contributed about 18% to the FY '24 revenue from operations. We also use this strength to get into newer categories and hence, enhance the TAM that is available to the company. With Mamaearth , we have entered into personal washing with a differentiating product, which is moisturizi ng lotion soaps, a Grade 1 Made -Safe certified formula, which is something that we are executing this summer.
And also looking at the opportunity in colour cosmetic space. We have entered into that area with a different brand called STAZE , which is focused at Gen Z. And again, providing innovative products. We have 3 -in-1 lipstick that we have launched under STAZE , which actually has three shades in one lipstick. This is actually a new -to-world innovation that we've brought to India, knowing that Indian consumers seek value in products that they look at. And

we've also launched Tubing Mascara, which is another innovation that we have brought to this

academy.
And to further strengthen our R&D and our product development expertise, we're glad to announce the acquisition of Cosmogenesis Labs. This acquisition brings in the expertise of Ms. Rohini Manoj , who has been the founder of this company for the last 25 years and brings in very strong industry experience in cosmetic formulations. She and her team have built more than 5,000 formulations in the beauty and personal category over the last few decades.
And as a part of the transaction, we'll also be acquiring, apart from the formulation expertise, the R&D labs, as well as our nano -manufacturing facility. And this is something that further strengthens our ability to innovate and bring the right kind of products to the consumers. Rohini will be joining us as VP of R&D, report ing to Ghazal .
This deal is likely to be closed in the next four to six weeks. And of course, while the business has been good, we've also been spreading a lot of goodness. And we have released our first impact assessment report, whereby all the brands and the impact tha t their purpose programs have had has been captured.
For example, for Mam aeart h, over 600,000 trees have been planted across 3,800 acres of land, which has been green. These are all fruit trees, which we plant alongside farmers. So these will generate 12,000 tons of fruit over the next decade and about 20 crores in income for these farmers.
And of course, 500,000 tons of oxygen to the environment will be generated because of this.
Our Derma Co runs a young scientist program, whereby we have run multiple science classes in schools across Bangalore and Chennai. More than 20,000 students have been engaged in this . Basis quiz, w e have understood that their knowledge has been

improved by 42%. In Aqualogica,
it is a younger brand, but we're deploying fresh water plants across villages. And we have now deployed it across 500 plus households who have access to this.
And we're saving 400 hours daily for women who had to travel hours to get access to fresh clean drinking water. And under B Blunt Shine Academy, we've now certified over 10,000 women in salon and styling courses across 11 states. This is something very close to our heart. And as our brands grow, our impact also grows.
With this, I would come to the close of our presentation. Thank you so much for listening in. We would love to answer the questions that you have.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Dhiraj Mistry from Antique Stock Broking. Please go ahead.
Dhiraj Mistry: Hi and very congratulations on good sense of number and improvement and profitability. So my first question is on distribution expansion, which you are a distribution expansion strategy, what you have implemented? What kind of impact we are seeing in the s hort term? And what are the

likely benefits, like what kind of margin it can be over the long term period, let's say from two to three years period?
Varun A lagh: Hi, thank you for asking the question. So firstly, I think in the short term, the impact that we are seeing is in our primary sales, which is what I talked about, for example, last quarter, about 200 basis points in primary sales is the impact over the nex t three quarters, we believe 50 to 100 basis points every quarter will be the impact on this , Because the transition involves reducing inventory, which is there in the system, given the super stock ist is holding a higher level of inventory compared to direct dist ributors .
From a long term perspective, it is, of course, beneficial from three ways. And one, like you rightly said, the super stock ist left, charges about 5% incrementally in distribution. It is currently at about 50% level that we end this quarter. And our objective will be to take it down to 30% levels over the next three quarters. And hence, that's the financial benefit. But more importantly, the benefit is in increasing direct distribution and quality of execution in the market.
Any store which is covered well by a direct distributor, their frequency of visit and also proper leads results in better share gain compared to what is captured by indirect distribution. And that's the business benefit that we are expecting to see over time because of going direct and building these direct distribution platforms.
Dhiraj Mistry: Got it. And as per your current sales, this 50 cities will be contributing what percentage of your sales?
Varun Alagh : About two thirds of the GT sales is contributed by 50 cities.
Dhiraj Mistry: And ye s, second question is, what will be the contribution of offline channel and online channel during the quarter and for the full year?
Ramanpreet Sohi : Yes. So, at an overall level, offline contribution is about 25% and online, of course, i s the balance.
Dhiraj Mistry: 25%. I heard correctly?

Varun Alagh : No, again, one third would be offline.
Dhiraj Mistry: Got it. And this is same for the full year as well?
Varun Alagh : Yes, this is full year.
Dhiraj Mistry: And how do we see that the margin trajectory in terms of A&P spend is definitely one of the lever which we can always play for the margin expansion. How do we see that the A&P spend when we are focusing much more aggressive growth for Aqualogica, the Derma Co and all, as a percentage of sales when you would like to s tart playing lever of reducing A& P spend for margin improvement?
Varun Alagh: We've already been doing t hat actively over the last 3 years. So, for example, in case of a Mam aearth it is significantly lower compared

to what it was for younger brands. Now, this year,

for example, for a Derma co it has come down as the brand has scaled and every year the objective will be to get better efficiencies while continuing to grow and build the younger brands.
Dhiraj Mistry: Got it. Okay. I will come back in a queue if any question.
Moderator: Thank you. Th e next question is from the line of Vivek Maheshwari from Jefferies. Please go ahead.
Vivek Maheshwari: Hi, Varun and team. A few questions. First is, Varun, what is the outlook on FY25, let's say both on growth and margins?
Varun Alagh: So, Vivek, as we have also mentioned in the past our objective will be to continue to grow at 20% plus CAGR over the next 3 years a nd that's the growth that we would want to hit in FY25 as well a nd that's the plan that we have in place and f rom a margin perspective our objective will be to improve compared to last year, at least by 150 basis points is what we are aiming in FY25 in terms of improvement over FY25.
Vivek Maheshwari: Got it. And in that context we are hearing a lot about, so I think D2C competition, digital first competition was always there, but we are hearing even the traditional companies are focusing quite a bit on the online side of things. Have you seen competiti ve activity picking up quite a bit in the last 3 -4 months a nd how does that impact both from a growth and margin standpoint at least in the near term?
Varun Alagh: So, Vivek we actually had talked about this last time as well that we have seen incumbents being more competitive, more competition from incumbents on the online space a nd it is largely in the form of significantly higher discounting that we have been noticing. This is a category where the consumer beyond a certain level chooses brands that they love and you cannot skew too much beyond a certain level basis price because of which we feel confident that even in face of the competition, we will b e able to deliver the goals that we have set for ourselves.
Vivek Maheshwari: Interesting. The other question is on STAZE . So, look you are entering into new categories and this one is along with the brand. So, category wise I'm guessing that you will keep exploring more white spaces, but from a brand standpoint do you think the architecture is in place that whichever category that you want to get into you have the architecture or you still think that there a re white spaces and you may have to have a couple of more brands? How do you think about that?
Varun Alagh: Vivek, I think the way we are thinking about this is the market in Indian consumer is evolving very quickly. In the past, we used to talk about that something that happens in the US or other countries it takes about 5 years for it to sort of come to India a nd hence category evo lution in India is slower . Now with digital evolution, Indian consu mer is becoming very connected a nd they're also looking at what's happening outside the world, they're getting educated far more quickly compared to what used to be the scenario in the past where category education used to take a lot of time.
Now with influencers and digital availability, category e ducation is also becoming quick a nd trends are getting captured very quickly. And Derma Co is a great example of that nothing

existed a nd now there is so much action happening in the active base brand So I think as a company, we would want to keep a very close watch on our consumers. We would want to clearly see what kind of trends are emerging, what kind of needs are emerging and how they are looking at different categories or spaces.
And if there is an opportunity to disrupt, and that disruption cannot be done by one of our existing brands because of the because of the sharpness or architecture required to do it then we would surely

look at newer brands to cater to that because we have proven our ability to create value
by building a new er brand.
Vivek Maheshwari: Okay got it. And if I may a couple of more, one is on the acquisition R&D capability
Cosmogenesis, can you just elaborate you mentioned, but the comments for a bit brief, can you
just elaborate Varun what is from a capability standpoint, what is the outcome that you are
looking at with this acquisition?
Varun Alagh: So, Vivek, as we have mentioned innovation is critical to the company a nd one of the things that
we take pride in is the fact that we're a company which is crafting for Indian cons umers, for
Indian weather and we were seeking to further strengthen our product development expertise
and we of course currently have a team of over 50 members in our innovation and R&D function.
But we wanted to further strengthen our expertise in the crafting for India domain by bringing
in a team who has been developing formulations for Indian consumers and Indian brands for
some time. So I think the expectation is to further improve and work on the products that we
have to, to increase the acceptance and love amongst consumers to further enhance our
understanding of how to craft for India even better across our newer brands, as well as the
purpose would be to further increase the pace and qualit y at which the company is able to a im.
Vivek Maheshwari: Okay, got it. And the last one, Varun, is this direct distribution changeover, you have quantified
its impact on top line. Does it also have any impact at the EBITDA level?
Varun Alagh: No significant impact, Vivek . We have taken some increased provisions for inventory based on
the return stock that comes in case of transitio n, but the impact is in less than 50 basis points.
Ramanpreet Sohi : Yes, in fac t, just to add there, Vivek like Varun mentioned earlier as we move more towards
direct distribution, we'll unlock some bit from super stockist margins. So it will balance per
years. So we don't see any incremental impact to our ta rgets of incremental margins per years.
Vivek Maheshwari: My question was for this quarter does this have any to call out in this quarter from a margin
standpoint?
Ramanpreet Sohi : So, for the current quarter I think we would have expected a little more leverage to begin given
that we 've had some i mpact on the primary like you mentioned earlier. So, there were some
leverage impacts given as a perce ntage of sale of the business because w e had a lower primary
as compared to what we could have actually delivered.
Vivek Maheshwari: Got it. Perfect. Thank you. And all the best.

Moderator: Thank you. The next question is from the line of Percy from IIFL. Please go ahead.
Percy: Hi Varun, Raman and team. My first question is on Mamaearth . So if I do some back calculation,
it seems that Mamaearth brand at a net sales level has probably grown in single digits this year,
partially because of your primary reduction or any other reasons. Just wanted to know your sort
of realistic estimates for growth on this brand next year and in FY ’26.
Do you feel that it is a realistic target for us analysts and investors to sort of build in a double -
digit growth in the Mamaearth brand? And if so, what are the pluses and minuses to the number
versus what we have done this quarter? Sorry, this year. So , what will accelerate it from this
year? What are the factors for the acceleration? And if there are any sort of decelerating factors
which were not there this year and will come through next year, if you can enumerate that also,
the pluses and minuses?
Varun Alagh: Hi, thank you for asking that. So you're correct, there has been on the primary impact which has
been there. And this is all on Mamaearth because that's the brand which is distributed offline
over the last two quarters. Now

, from a last year perspective, the UVG growth you talk about,
last year till Y -T-D we were in double digit growth. From our last full year perspective, the brand
is at a mid -teens UVG growth in FY’24. And FY’25 -FY’26, our plan is to make sure that the
brand grows in double -digit in terms of value growth as the company growth is about 20% in
general.
Percy: So just help me understand if the UVG growth is around 15, what is the reason that the value
growth this year is probably a little shy of 10?
Varun Alagh: So between UVG and value growth, the one big driver is because of the transition between B2B
and B2C channels. In B2C channels, the per unit revenue recognition is far higher. While in B2B
channels, because of the margin etc, on top, the per unit revenue recognition is relatively lower.
And hence, as the brand is moving towards B2B and the growth is coming from GT and modern
trade. And there is more number of units which are required as well to deliver the same amount
of revenue growth, so which is the biggest reason between the gap in the UVG and value growth,
UVG being higher.
Percy: Understood, but won't this headwind continue into next year as well? And would you see a
scenario where even next year you have a double digit UVG, but then the value growth again
falls short of 10?
Varun Alagh: The other thing that you mentioned, for example, the impact of deceleration in primaries, which

is there in the distribution piece, almost 50% of that is done in the last two quarters. And over the next three quarters, the balance should come in. But once that is done, then that deceleration impact should move away, and which gives us confidence that over the ne xt two years, we should be able to do a double -digit value CAGR.
Percy: Got it, got it. Another question I had was on margin. So, you mentioned that you would be targeting somewhere maybe around 8.5% to 9% for FY'25. My question is, and sorry if I'm splitting hairs here, but do you think it will sort of gradually ramp up over the four quarters? Or do you think that for all the four quarters, the 8.5% to 9% target would be roughly sort of there

across all four quarters? Or do you like start off at 7% and end up at like 10% and therefore the average comes at somewhere around 8.5% to 9%?
Varun Alagh: I do agree on the splitting hairs bit. But no, so my view would be that we would be in a range, and we would address these 50 basis points here and there in terms of quarterly sort of averages. There are quarters in our case which are more seasonal quarte rs, and hence our media plans are slightly more skewed on those quarters. We like to also start strong because of summer season and before summer categories. But overall, from a year's perspective, I believe the variance would be in that 50 -70 basis points.
Percy: Got it, got it. And last question, if I may, on Derma Co. So how do you measure the relevant market share for Derma Co? See, the overall skincare space is really huge, right? But that's not your relevant target. So, maybe the relevant market share would be that out of all the brands which are active -based brands, what is your market share there? So do you look at it that way? And if so, can you give us some idea how big you are relative to that relevant market, and also that relevant market which is active -based sort of solutions? What is the industry growth of that sub-segment of skincare?
Varun Alagh: So, actually, we'll be able to give you a directional response on that because there is no third party which measures these propositions and these brands. And given most of this growth of the proposition, almost in fact 90% contribution of this propositio n, which is active -based, is actually lying in online.
There is no share -based panel as well which comes for it. But giving you a directional view, our view is that this subcatego

ry is already about INR2000 -odd crores in ARR, and of which Derma Co and Dr. Sheth, between the two of them, we have about 33% to 35 % odd share, which largely lies in two core categories, that is face serums and face sunscreens.
And now we are also seeing face washes and moisturizers grow very strongly in this proposition. So that will be another driver. I think overall, this proposition has gone largely from zero to INR2000 crores between the year 2000 and 2024. And the growth continues to be very strong for this proposition in the category.
Percy: Right, Varun. That's all from me. Thanks and all the best.
Varun Alagh: Thank you.
Moderator: Thank you. The next question is from the line of Nitin Gupta from Emkay Global. Please go ahead.
Nitin Gupta: Yeah, thanks a lot for the opportunity. I just wanted to check, like, will you be able to share revenue split across brands?
Varun Alagh: Sorry, Nitin, we don't share the revenue split across brands.
Nitin Gupta: Okay, okay. That's perfectly fine. I just wanted to check, another question is with respect to the BPC category, sort of, we have a fair presence across most categories. So, in terms of any new

category, like how the thought will evolve, like how you want to expand across categories? Will we be open to get into categories like oral care, where we see healthy margin profile, or getting into a home care category ahead?
Varun Alagh: So BPC is the core category that we have. We have chosen to focus on, from a medium term perspective, that's the category where we are building organizational strengths, in terms of understanding the consumer and their skin, hair needs far better. And as well as in strengthening our R&D and marketing playbooks as a company. Now, within that, we -- there is, there are still, some subcategories, where we are not present in -- we would probably evaluate them in the future.
But outside of that categories, like home care, is not something that we would look at. Even categories like oral care, at least in the short term, we are not looking at, but from a medium

term perspective, even if you look at that category, you would look at it from an angle of beauty, which is finally your smile is what makes you beautiful. So, if that sort of, that 's how we would look at possibly the category in the long term, but not in the short term.
Nitin Gupta: Thank you. And the last question, with respect to the baby products, so like we have put out an excellent ad yesterday. So, just wanted to know, how is the salience for baby products?
Varun Alagh: So, baby product category continues to grow well for us and continues to be a strong driver of equity for Mamaearth as a brand. That's the, that's the brand in which baby care is present. And for Mamaearth, the salience continues to be about close to 10%.
Nitin Gupta: Can you repeat the last line?
Varun Alagh: For Mamaearth, baby care continues to have a salience of about 10%.
Nitin Gupta: Okay. Okay. Thanks a lot. Thanks.
Moderator: Thank you. The next question is from the line of Latika Chopra from JP Morgan. Please go ahead.
Latika Chopra: Hi, Varun, Ghazal and Raman. Thank you for the opportunity. My first question was on the margin expansion of 150 basis points that you talked about for FY'25 . Could you walk us through, the key levers for this? Are we, how are you looking at gross margins? Would remain stable at 70%?
In FY24, we saw employee costs were up, just 3%, 4%, and A&P was up about 25%. So do you think employee costs will continue to grow very modestly, even in FY'25? And any incremental thoughts on, what growth you anticipate in A&P given, the new brand inves tments that you plan to do? That's the first question. Thank you.
Varun Alagh: Yes, Latika, so like we mentioned, the combination of all of these levers is what would help us get to that 150 ba

sis points improvement. There is slight improvement, which we expect in gross margins as well, because given younger brands are growing faste r, younger brands have actually got a better gross margin profile.

And that makes change as well as sort of, contributing towards GP and GM expansion. And then the second lever, of course, is A&P. While we do continue to invest strongly in our brands, but as the brands scale, we have clearly seen that the percentage A&P o n that brand sort of continues to come down. We have seen that now in Mamaearth and in Dermac o.
We expect to see that in other brands as well. So that's the second unlock. And of course, the third unlock is leverage, where we expect, be it in terms of opex and other costs to grow slower than where the company is growing. So I think combination of those three will help us get that.
Latika Chopra: Okay. The second bit was just clarifying on, underlying volume growth definition. They were referring to tonnage growth or you're referring to number of units, growth.
Ramanpreet Sohi : Sorry, complete your question. Sorry, Latika, please go on.
Latika Chopra: And the other thing I wanted to check was, are you air -drafting this for Mix?
Ramanpree t Sohi : So our, UVG basically is tonnage growth on previous base periods realization. So it sort of calculates constant turnover based on previous years' realization, which is the typical way of calculating UVG. And hence, the price is taken off, it's pure volume in tonnage terms.
Varun Alagh: And it takes care of the mixes.
Latika Chopra: And the last bit was, any flavor on, how the overall revenue mix is now trending, in terms of key segments, skin, hair, colour cosmetics, you've talked about how sunscreens are growing quite fast, but any rough flavour on, the shampoos, in the overall revenue mix are trending amongst key segments?
Varun Alagh: So, Latika, skin continues to be the largest segment for the company. More than 60% of the value for the company is coming from skin now. And it is also the fastest -growing segment for us. Followed by hair, followed by colour, followed by baby and followed by body.
Latika Chopra: All right. Thank you.
Moderator: Thank you. The next question is from the line of Chintan Sheth from Girik Capital. Please go ahead. Mr. Chintan Sheth, may I request that you unmute your line from your side, please? Mr. Chintan, may I request you to unmute your line? Your line has been un muted.
Chintan Sheth: Hi. Thank you for the opportunity. I hope I'm audible.
Moderator: Yes, sir. Please go ahead.
Chintan Sheth: Yes. Thank you. Congratulations, Team, for this great set of numbers. Couple of questions. One is on the Mamaearth growth. You mentioned the Euromonitor data, the secondary one growing at 21% for the Mamaearth brand. But for the full year, it looks like a single -digit or 9% to 10% growth. The gap you explained partly because of the distribution change. But if we just look at the expectation -wise, whether the brand can grow at a high 18 %-20% growth rate or do you feel there is the online softn ess also coming through, the base is also hitting, which is reflecting in the softer number for us?

Varun Alagh: So, Chintan, as we have talked about, I think from our next three perspectives, we are looking at a double -digit value growth for Mammoth as a brand. But at a company level, we plan to grow at 20% plus value growth CAGR , because our brands will grow faster. And of course, Mamaearth has a large base attached to it. It is, like I mentioned, amongst the top 15 BPC brands. If you actually remove the soap brands from that, it is actually on the top five BPC brands in the country , ahead of brands which have existed for almost two years. And hence, there is the base effect as well. And this is how

we are expecting the brand to grow over the years, whether the company grows by our actions in different categories and situations .

Chintan Sheth: Right. Okay. The second was on the acquisition, this R&D side. There was some concern, you know, that the way we were launching new products, the timeline and the speed at which we were launching new products, the timeline for doing effective, what would you say, the quality -based testing, whether this helped us to ki nd of overcome that aspect for launching new products. Because there were certain media concerns on the way we were launching new products at a quick succession. The issue was th at whether we are kind of you know, overpassing certain quality checks or the regulatory checks, not the regulatory checks per se, but on the quality aspects that it is not given a due required timeline to complete that quality check?

Varun Alagh: So, Chintan, I would like to clarify. We are paranoid about quality in this company . We started as a baby care company, we used to make products for our own babies. And we still continue to test everything ourselves as well. Every launch in our company follows the full quality protocol and testing, which includes all kinds of NABL lab testing, it includes dermatologist testing for sensitivity and includes our internal lab testing. In fact, we are one of the very few companies which even today does batch level production, batch level external lab testing.

So last year, we have done more than 20,000 tests on each of our batch that we have manufactured for quality. And hence that is an area where we are already very, very strong and we are very cautious of. And there is a reason why consumers love our products. There is a reason why we've been able to scale these brands in such a competitive environment. And that is our focus on quality. And this acquisition allows us more knowledge and more idea into commercial formulations, which the team has done, the ability to get into newer categories, which you might not have had earlier, as well as getting into more depth and further im proving our products. But quality as an area has continued to remain a very high priority area and will continue to remain.

Chintan Sheth: So do we have quantitative targets for this acquisition that this number of particular products which will likely or categories which will likely to get into with the help of the already set up R&D setup over the next couple of years?

Varun Alagh: So overall, the acquisition is supposed to help us deliver our goals that we have set for ourselves. And hence, there is no different targets. The innovation targets that we have internally in the company, this acquisition is supposed to further ensure tha t those targets sort of get met because of the capabilities that we acquire.

Chintan Sheth: Sure. And last question on this, the Saudi distributor thing. We already released the press note a couple of days back. What will be the timeline or how should one track this? We are going to the upper court.

Ramanpreet S ohi: Yes. Hi. So we have 30 days to file an appeal. And given that, you know, the judgment that was passed by court of first instance earlier did not really pick up the merits of the case. So we're going ahead and I think we're very confident of reversing this at the next court of appeal.

Chintan Sheth: Sure. Okay. So next hearing will be or next appeal will be in the current quarter?

Ramanpreet Sohi : No, it will be filed within 30 days and then the court will give a date after that.

Chintan Sheth: Okay . So it will take time. Okay. Great. All the very best. Thank you.

Moderator: Thank you. The next question is from the l ine of Amit Purohit from Elara. Please go ahead.

Amit Purohit: Yes. Thank you for the opportunity, sir. Just two questions. One, you highlighted your initiatives on direct rea

ch in top 10 cities. So one query I had is more on a customer thought process. I mean, why would a consumer move from an online to an offline in these top 10 cities, which are already have a good access in terms of internet and now quick commerce as well? Just your thoughts on that ? This is the first question.

Varun Alagh: So our view is that consumers in all of India, of course, in top 10 cities as well, prefer to buy in their channels of choice. I mean, there are consumers, let's say in Delhi, who prefer to buy on Amazon or D 2C or e -commerce. And then there are consumers who still prefer to take their shopping to a D -Mart or a Reliance store or to a GT store nearby.
Because of their higher trust in that channel, because of their wanting to discover and feel products before they buy. Overall, as we see today, still almost 90% of the category sales continue to be in the offline channels. And that consumer is now looking for our brands. And hence, our role will be to provide the brands at the channel of choice where they want to buy products. And hence, it's a mix of different consumers, even in these cities that we're trying to solve.
Amit Purohit: So these would be assuming to be a unique kind of consumers rather than the existing cohort, is that what the assumption is?
Varun Alagh: Yes.
Amit Purohit: Okay. And second is more on to understand your clarification with respect to your comment on active based products. And you said that largely these are dominant in the online channel, right? Much of the market is online when you say DermaCo and Dr. Seth as a market as such, not just these brands for us. So in that context…
Varun Alagh: Yes, they…
Amit Purohit: Sorry, go ahead, please. No, sorry, go ahead.

Varun Alagh: No, please complete your question. I'm sorry.
Amit Purohit: No, no, I just --so if yes, then the thought process was this that I wanted to know is that if that's the case, then which are the brands which you expected to bring it offline, because now you will have a distribution base and a direct reach and that would require a throughput to be much more viable. Would it that kind of give you a thought of entering into some of the mass categories as well and not just restricted to mass tige and the above segment?
Varun Alagh: So firstly, yes, the market for these products from a direct -to-consumer perspective largely lies in online. Some of these products and categories have existed but, in the past, as well , but they've largely existed in the pharma kind of channels recommended by dermatologists, but now it's becoming direct to consumer, and that market largely lies in online. From my ability to take it offline, I think we already with M ama Earth present in the right kind of stores where some of these categories an d brands will also go, especially pharma and modern trade channels. And we will ride on that distribution that we have already built to take these brands to those channels as well.
Amit Purohit: Sure, and just the point on the viability of this direct reach, which should be good enough for us to not, or we would have a thought of entering into a mass or some other segment.
Varun Alagh: Yes, no, we don't have such plans. Okay, thank you.
Moderator: Thank you. The next question is from the line of Manoj Menon from ICICI Securities. Please go ahead, sir.
Manoj Menon: Hi, team. First of all, an observation and a clarification. Congratulations to the team for the UVG metric starting this quarter. I do vividly recall the conversation last time. It's an absolutely excellent metric to follow. Good luck to you. Secondly, on the offline journey, Varun and team, look, you're a young company, started extremely well in online, and in fact, has started off even better in offline. For example, when I think about, let's say, demand forecasting, you are starting on a fr

e sh slate, and you have done and executed largely, I would say, impeccably. So just help us through your last 12, 24 months of your off line journey.
What are the learnings? What are the hits and misses? And how do you see those templates, let's say, helping in the next, let's say, few years? Thank you.
Varun Alagh: Thanks, Manoj. You're right. We did discuss the need for a UVG metric, and we've worked on it based on that feedback. On your second point, I think, firstly, the realization has been around how we are a very data -oriented company, where we like to take almost every decision based on a set of clear data. And hence, the realization was that if we want to execute well in offline, we need to have almost as much data as we collect in online to be able to make even more relevant decisions.
And in that light, the kind of partners that we need should be the ones who understand the power of executing the tools that we provide, as well as in terms of the sales team that we work with, should also appreciate and execute basis that process. And I t hink that was one of the biggest

learnings. And we've in the last year, be it from the right team leader's perspective, bringing in the right leadership.

And then, from that down, building the right kind of team which has this process and data orientation is an action that we have taken. Second realization, like I talked about, has been about the fact that the more direct control you have over your distribu tion, in the lesser the layers exist between the company and retail, the better is the quality of in -store execution, which of course leads to better shares. And that's something that we have implemented in the project that we talked about.

And we'll continue to focus on that in FY '25 as well. I think the third big learning for us has been working with modern trade accounts. And modern trade, like Dmart and Reliance, continue to grow really well in the country and expand presence. And last year, we have actually been able to engage very deeply with our modern trade customers. And whereby now, we have relationships where we collaboratively work on newer opportunities in terms of propositions, pack sizes, categories, which we think is going to allow us to take better shares in the modern trade environment as well. And so I think those would be the key learnings that we have had.

And we continue to learn, though I don't think the learning journey has stopped. In fact, as a team, every quarter, almost 50 managers for the company go and meet distributors, do market visits together. And then we come back and do a degree from the same to further enhance our learning. So we'll continue to be on that learning journey.

Manoj Menon: Sure. Thank you for a very detailed response. Just two quick follow -ups here. One, just around 200,000, let's say, outlets reached in GT currently in offline. Realistically, what's the TAM which you have for the current portfolio? I do understand that every end outlet may not be the same throughput. But just from a market love, simple narrative template, what should be the TAM in terms of the offline outlets, le t's say, for Ceteris Paribus, which you should be having today, subject to execution ?

Varun Alagh: So for two categories, face wash and shampoo is where we capture this through NAC Nielsen , where we know we are in about 50% value -weighted outlets for shampoo and face wash. And hence, probably for those categories, we can say that these contribute to 50% of the category sales according to Nielsen. But even in these stores, almost 150,000 of this 200,000 is indirect distribution.

And we've realized when you go from indirect to direct, you're able to make a significant impact and your SAH sort of improves significantly. So that's the second flavour to that. Hope that answers.

Manoj Menon: Yes, very clear. And last

ly, a while back, I do recall the conversation about the opportunity for you, from your lens, the low unit price pack opportunity, which I don't think you've really dialled up as yet. So where are you at this point in time in terms of the LUP opportunity thought process and execution?

Varun Alagh: Manoj, I must clarify that our LUP is largely actually categorized as MUP. Because we will not get into sachets as a company, given we have aspirational brands, and we would like to maintain

that aspiration. But we want to get into smaller packs so that put -down price, like you rightly said, for our brands becomes lower.

And in line with that, this year, our objective will be to scale up our INR99 price point packs in shampoo and face washes and take that direct distribution higher. And probably next year, we'll look at an even lower price point of the 49 -50 levels and scale that up.

Manoj Menon: Very clear. Thank you so much, and good luck.

Varun Alagh: Thank you.

Moderator: Thank you. The next question is from the line of Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra: Hi, thanks for the follow -up opportunity. A couple of bookkeeping questions. The first one was, is it possible to share the ARR for , Aqualogica and Dr. Sh eth? You have INR500 crores for Derma company in Q4.

Varun Alagh: Latika, as in when the brands hit a newer interesting milestone, we will keep coming and celebrating that with you. The last we disclosed that both the brands were in the INR150 crores - INR180 crore s kind of area. Of course, they have grown from there on. But possibly soon, we'll come up with as they hit a new milestone.

Latika Chopra: Okay. The second one was on other income in the quarter. This was about INR19 crores. In the previous quarter, it was about INR11 crores. Could you let us know what is the expected run rate on this number? This seems higher in this particular quarter.

Ramanpreet Sohi : Yeah, Latika. So, you know, this is largely the impact of IPO proceeds for the full quarter. We've

obviously we've started utilizing it to a certain extent, but not completely. So, from a run rate perspective, give or take a few crores is the quarterly run rate.
Latika Chopra: Okay. And the last bit was on your distribution channels . You said 1/3 of the business is, you know, offline. Could you help us with, you know, how is the salience of modern trade, if it's possible to get some colour on, what's the salience of that in your revenue mix today? And any thoughts on or anything that you want to share on how you're participating in the Quick Commer s channel? Thank you.
Varun Alagh: So, Latika, from a modern trade perspective, within offline, our modern trade and institutional business would be about 40%, you know, and GT would be about 60%. Quick Commer s is growing very fast for us. It, of course, relative to some of the other, e -comm platforms, which are much larger in terms of contribution, as of some, it has already entered top five. But in terms of growth, Quick Commer s is growing much faster compare to other commers partners .
Latika Chopra: Thank you. And is this channel, you know, from a profitability perspective, how does it stack up versus other e -commerce, the mainstream e -commerce channel for you?
Varun Alagh: Relative to mainstream e -commerce channels, it's more profitable for us.

Latika Chopra: Right. Thank you.
Varun Alagh: Thank you.
Moderator: The next question is fro m the line of Jay Doshi from Kot ak. Please go ahead.
Jay Doshi: Hi, team. Thanks for the opportunity. There's a follow up on, you know, TDC, Aqualogica and Dr. Sheth’s . What would be the offline contribution for all these three brands put together today? I know it's insignificant. And, you know, currently your reach for Mamaeart

h is about 188,000
outlets. What percentage of the outlets, either on a weighted average basis or, on an absolute numeric basis, do you think are essentially ready to onboard these brands?
Varun Alagh: Thanks, Jay. So, you're right. Currently, between Derma Co , Aqualogica , and Dr. Sheth’s , the contribution will actually be in low single digits for offline. This is the year FY '25 where we're taking especially Derma Co , which has reached a scale and is now seeing demand into the offline space. Our first port of call will be combination of modern trade and chemist channel stores. And we would actually want to grow incrementally.
And by first putting in the right set of imagery stores, right, seeing the traction there, then adding, another set of stores and making sure that wherever we put the brand, the brand is sort of moving out. So I think plans are there. And we hope this year for Derma Co and we are able to take the contribution of offline to high single digits and then move on from there.
Jay Doshi: Sure. Second is how do you internally track, the repeat of ftakes? And is there a, qualitative or a quantitative sort of colour you can give on some of your three, four -year-old ranges such as Onion Range, Vitamin C?
How have these ranges performed versus, you know, the Mama earth brand, or in FY '24 or over the last two years? So are you seeing far healthier growth in some of those core ranges and the slowdown that we've seen for, you know, the flagship brand is largely because of the long tail sort of, lower repeat of ftakes there ? So how do you sort of internally assess this? And if you can, you know, help us understand it better. Sure.
Varun Alagh : So Jay, given our, we are expanding, especially for Mama earth, the growth is now coming from offline and modern trade where we're expanding. And offline and GT and modern trade are, you know, channels where you're able to execute a few SKUs well rather than execute a long tail. And hence our hero SKUs like Ubtan Face Wash and Onion Shampoo had actually grown in high double -digits in value last year.
And they continue to do well . Vitamin C is in the zone of high double -digits. These are all sort of new ranges and hero SKUs which are present in and are driven in the GT and modern trade ecosystem. We will continue to see strong growth from those.
Jay Doshi: Understood. And the final one, innovations contributed 18% to full year growth in FY24 and overall growth was about 30% odd. So , how will this construct sort of be over the next one or two years when you're guiding 20% plus growth, how much of that increment growth you expect

to come from innovations that will launch during the course of year and how much will be from your existing portfolio?
Varun Alagh: Jay, firstly, one must also understand that in this same growth, there is also the younger brands, which are included, right. And for younger brands, for example, if something is two year old or

one year old, it's still in the stage of range building. It's still in the stage where a lot of innovation drives that growth. So, that is also included in this. But from a future perspective, if you're looking at it, we will continue to look at least 40% to 50% of that being driven by innovations.

Jay Doshi: Sure. Thank you so much and wish you the very best for FY ’25.

Varun Alagh: Thank you so much.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand the conference over to the management for closing comments.

Varun Alagh: Thank you so much, everyone, for asking these questions and your best wishes.

Moderator: Thank you. On behalf of Ko tak Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

Honasa Consumer Limited
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| CIN: L74999DL2016PLC306016 |

August 12, 202 4

To, To,
Listing Department Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED BSE LIMITED
Exchange Plaza, C/1, Block G, P. J. Towers,
Bandra Kurla Complex, Bandra (E), Dalal Street,
Mumbai – 400 051 Mumbai – 400 001

Scrip Symbol : HONASA Scrip Code: 544014

Sub: Transcript of Investor Call

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the Investor call held on Friday , August 09, 202 4 on the un -audited financial results and operations of the Company for the q uarter ended June 30, 202 4, is enclosed.

The said transcript is also available on the Company's website at www.honasa.i n.

This is for your information and records.

Thanking you,

Yours faithfully ,
For HONASA CONSUMER LIMITED

DHAN RAJ DAGAR
COMPANY SECRETARY & COMPLIANCE OFFICER
Encl: a/a

"Honasa Consumer Limited
Q1 FY25 Earnings Conference Call "
August 09, 202 4

MANAGEMENT : MR. VARUN ALAGH – CO-FOUNDER , CHAIRMAN AND CHIEF EXECUTIVE OFFICER – HONASA CONSUMER LIMITED
MS. GHAZAL ALAGH – CO-FOUNDER AND CHIEF INNOVATION OFFICER – HONASA CONSUMER LIMITED
MR. RAMANPREET SOHI – CHIEF FINANCIAL OFFICER – HONASA CONSUMER LIMITED

MODERATOR : MR. JAYKUMAR DOSHI – KOTAK SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the H onasa Consumer Limited Q1 FY25 earnings conference call hosted by Kotak Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Shou ld you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
I now hand the conference over to Mr. Ja ykumar Doshi from Kotak Securities Limited. Thank you and over to you, sir.
Jaykumar Doshi: On behalf of Kotak Institutional Equities, I welcome you all to 1Q FY25 earnings conference call of H onasa Consumer. We have with us Mr. Varun Alag h, Co-Founder, Chairman and CEO, Ms. G hazal Alag h, Co-Founder and Chief Innovation Officer ; Mr. Ramanpreet Sohi, Chief Financial Officer .
I'll now hand over the call to Varun for opening remarks. Over to you, Varun. Thank you.
Varun Alagh: Hey, thank you. Thank you so much, Ja y. Hi and welcome to everyone for our quarterly call for Q1 FY25. We're happy to communicate that our plans are shaping up well and visible in our results. But before we actually double -click on the results, we have a new segment that we want to talk about. It's called 'Crystal gazing in the future of I-beauty ' because we continue to study markets like China, Korea, US and it gives us a lot of excitement in terms of how Indian market is going to shape ,looking at how the markets have shaped in other areas.
And this is a segment where we want to share every quarter , a learning around a new category or payoff in terms of how we expect that to shape over time because the more we know and are prepared for it, I think the higher H onasa's ability to take on these opportunities and shape the beauty and skincare category's future. This time, of course, we want to talk about a category that we are extremely bullish on.
The sun continues to shine on I-beauty . Suncare, in our view, is expected to become a INR5,000 crore s category by 2028. Till almost three years ago this was a category which no one would talk about, right, non -existent CP and the digital evolution that has happened, the amount of education that is happening from brands, from influencers, from dermatologists is now visible in the kind of search trends this category has seen, which is almost 65% CAGR over the last five years and it's also visible in the kind of traction the category has seen in terms of growth.
If you look at skincare in general, as percentage of BPC for other markets is far higher compared to India. And so I think there is a lot of growth that will happen in skincare overall in India. And in that state, the penetration of sunscreen is further lower than other markets. And we are actually a tropical country, our comparison is actually with countries wh ich have very deep winters.
And even in those countries, the penetration of this category is far higher. So India, of course, as a percentage of skincare in this country, category will have higher penetration than these in the longer term.

But I think we are very confident that sunscreen would actually be a INR5,000 crore s market and we, across brands, are investing in that future to be a strong leader in this market over the next decade.
Coming on to the performance in this quarter, H onasa continues to show strong growth momentum with the volume led growth. We've delivered 19.3% Y oY growth and our product business has actually grown by 20.3%. Our gross margin continues to remain strong at 71.7 %, 63 basis points improvement in Y oY. And we have improved on EBITDA by 200 basis points YoY.
And in terms of PAT, we have grown by 62% and these are the highest quarterly PAT and EBITDA numbers that we've delivered in

the past. And this growth is actually transa ction -led
and hence, UVG is actually higher than the value growth and our working capital continues to be negative 12 days.
And we have -- like I said, demonstrated strong improvement in EBITDA and that is led by improving gross margin profile and scale -led efficiencies across our P&L. Our Mamaearth offtake continue to grow strong on the back of consumer love for the brand. In the last quarter, we have gained 115 basis points in face wash shares. We've also gained 50 basis points in shampoo shares. And there is an equity study that we have done on the brand and Mamaearth is now the third most desired face wash brand in the country.
It has reached almost 200,000 outlets and not just the overall share where there is also a distribution expansion that is coming in, but even share amongst handlers is actually going up both for face wash and shampoo. And in fa ct, if you look at the stock in -trade, which is in retail, our stock in trade compared to industry is lower and actually gone down compared to last year, which is an opportunity that we see to further build up shares in the long term.
Our perspective of face washes, of course, we wanted to give you a glimpse last time we talked

about sunscreen but face wash is another very important category for Honasa . And this is a category which sees premiumization across the globe and in India again, the category continues to see premiumization.

If you look at the numbers here, the masstige brands and portfolios actually gained 1500 basis points over the last few years while mass portfolios have lost. And in this, again, we are playing with a house of brand strategy where for the consumers who are looking for natural DIY -based ingredients, we have a Mamaearth . For the consumers who are looking for actives, we have The Derma Co. For consumers who are looking for pop hydration kind of face washes, we have Aqualogica .

So in the overall segment, we have different products suiting different needs spaces which allows us to capture a larger share in the market and it allows us to sort of be more efficient in the way we play category and that's how we intend to play different categories over building -- winning company.

Innovation, of course, continues to be a growth driver for the business. And we continue to look at consumer trends in terms of categories and ingredients and keep coming up with the right kind

of products for the consumers and we've done innovation across brands and new products have contributed to 9% of the revenue from operations in Q1 FY '25.

We've also done a first to India innovation by collaborating with an international doctor, cosmetologist, Dr Vanita Rattan and in collaboration with her, we've actually launched a prestige -priced range, which is actually priced at 2x of the Derma Co average pricing and based on power of peptides and retinol.

This is the range which allows us to enter a different price segment and allows us to experiment and understand how to play that segment right. So that over medium and long term, that's also a price segment that we can open up for our brands and the compan y. It was launched with a lot of excitement and early days, but we're seeing good traction on the range.

Another good news, of course, is BBlunt , which is our fifth brand, has entered the INR100 crore s ARR club and this is a brand which we acquired two years ago. And in two years, we've been able to grow the brand 4x. We have applied the core of our repeatable playbooks to this brand to get where we have gotten.

Starting with the right formulation and innovations and moving on to the marketing and distribution playbooks that we have built, which has led to the brand pull increasing significantly, visible in the brand's Google searches, which have gone up 6x over the last two years. And th

e different kind of exciting ranges that we have launched in the brand, which the consumers are loving. We continue to focus on the brand and we are very confident that this will also break the benchmarks that we've set with other brands in the future.

While that brand has done exceptionally well, but not all bets pay off equally. One of our brand bets, Ayuga, which was based on A yurveda, has not scaled in line with our expectations. We were measuring it through different form of PMF indicators, which we've not seen moving in the right direction. And hence, we have taken a decision to sunset the brand, which we have done last quarter and this quarter, we're just managing the transition . So we will, of course, look at other possible consumer opportunities, which are more exciting a nd focus our energies there, because this allows us for more value.

Our modern trade business continues to do exceptionally well. And this is a business that we've been focusing on for the last two years. And it is clearly visible in the results, Mamaearth is the fourth largest face wash brand in modern trade already. We have started executing our House of Brands strategy in select stores to see how that shows up. And we're also leading in certain categories. So we're trying to own the Suncare category in modern trade as a category leader and trying to co -create the cat egory with our customers.

And this is a place where we're very confident as a channel that our relationships and the amount of collaboration that we're doing with our customers is going to lead to strong, positive results in the future. Project Neev , we talked about our transition in the GT distribution infrastructure last time. It's a very important part of our long term GTM mix and our ability to take our brand into general trade is dependent upon the quality of infrastructure that we have in GTM.

And hence, we had initiated Project Neev . And we wanted to, last time when we talked about it, we did get some inputs that we should talk about it a little more detail . So this time, we have put

on a phased approach in which we are executing it. So the first step was, of course, focusing on direct distributors. We had a model in which super stockists were the main channel through which we were servicing. We wanted to move in the top 50 cities to direct distributors.
And we've been executing that. And it's almost 70% to 80% done. And we have been able to reduce our super stockist reliance from 70% to 50%. But of course, this is work in progress, and will continue to happen. Tech enabled sales through future ready DMS, again, great news on this front, our DMS implementation is going on very well. And 90% of the secondary sales for the entire last quarter are all completely coming in from DMS.
In fact, it's also helping distributors process claims and schemes much quicker than in the prior system where it was more manual. And we have done a NielsenIQ survey for our distributors. And that's a practice that we want to do over the next few quarters as project N eev is getting executed. But 72% of our distributors agree that DMS has eased the scheme management and claims process.
There are 69% of the folks are happy with the progress that we are making on Project N eev in making life easy. And so this is a phase in which we are almost 85% to 90% there. The third phase, of course, was supply chain capability enhancement. We have been a more online company and hence our supply chain has been driven from one city, which is largely north for the entire country.
And this was a step in which if we have to go direct to our distributors in top 50 cities, we need to have much more robust regional supply chain networks. So that's the process which has been on. We have kicked this off in the last quarter. We partnered with delivery for a large mother warehouse transiti

on that we are doing and which will be followed up by regional warehouses as well. It's also live in East.
So this is something which we are already working on. This is , work in progress as a phase. And once this phase is done, there will also be the next phase, which is right -sizing the channel inventory. Because of the type of distribution system we ’ve had , we have ended up carrying relatively higher inventory in the system compared to other industries, which does take investment from our distribution system into our inventory rather than in -market and in -market resources.
So I think our objective will be to bring this down so that we can move on to the next phase, which is basically norm -based ordering system. So that our distribution system is billing on the base of secondary tiers and norm -based ordering, replenishment -based rather than a push -based inventory system, which will be followed by ROI -based partnerships. Currently, because of the current system, we have not been able to have a good quality ROI -based partnership system with our distributors.
This will be positive for the partners as well, as well as us, because it will allow us to get our partners to invest in distribution resources, sales resources, which is an investment which we

have been making directly as a company till now. So I think that's the overall project that we are running in project needs. We also have hired and partnered with Bain & Company for a stronger three -year roadmap of winning in offline. They have worked with many large FMCGs in the country on brand building and offline capabilities.
So we also have taken them as a partner on this journey to help us craft the right kind of frameworks and right kind of strategies to win in offline over the next three years. So that's another focus area which continues to be executed. Our beauty with purpose continues to tread strong and all our programs, Plant Goodness, Young Scientists, Fresh Water for All are treading in line with our goals.
We've launched a new purpose initiative for Dr Sheth ’s. It's basically Healthy India, Healthy You in partnership with Doctors for You. We are taking our clinic on wheels in rural areas to facilitate doctor consultations. The first state that we have started with is Bihar. Here again, the purpose is actually linked back to the consumer. So when a consumer places an order on Dr Sheth's website, they'll actually be able to see a location to which their transaction gets mapped to where a van is sort of heading in and spreading health.
So that's something which we've just launched and we're proud of. With that, I would close our side of the presentation and would love to answer the questions that you have. Thank you. Thank you for listening patiently.
Moderator: Thank you very much. We will now begin the question and answer session. Our first question is from the line of Vismaya Agarwal from Citi. Please go ahead.
Vismaya Agarwal: Hi Varun and team. First of all, thank you for the new segment on the presentation, the insights on the BPC category. I had a couple of questions. So first, can you share some detai ls on the growth rate for Mamaearth , some colo ur on the primary sales for the brand and maybe an update

on the performance for the brand across different channels? I'm asking this in context of the distribution project that's ongoing. So just some colo ur, please.
Varun Alagh: Hey Vismaya, hope you are we ll. Obviously, we've not been sharing brand -wise growth in the past as well. We, from comparative purposes, but I think like we shared in the Mama earth slide, if you look at the Nielsen data amongst the top 15 beauty and personal care brands, Mama earth continues to be the fastest growing brand in face wash and in shampoo. And even in modern trade, we have continued to gain share. So clearly, competitive grow

th is strong and it's going well from a competitive growth perspective.
Vismaya Agarwal: Got it, Varun. So what I meant was not exact numbers, but maybe from some qualitative comments around, say, is it on track to that double -digit aspiration that you've had for the full-year base? So not just the quarter performance, but more on the whole trend, the way this brand is trending.
But I hear you on the market share bit. Yes, and just one more bit here. I do see the inventory levels that you've shared for specific categories for Mama earth, but on an overall basis, I just want to get a sense that slide that you have on Project Neev where you mentioned the 30 to 45

days inventory across the channel partners. Is that the current number or is that what you want to target eventually once this sort of initiative is complete?
Varun Alagh: Sorry. So one, I think the inventory numbers that we shared in Mamaearth for face wash and shampoo, they're retailer -level inventory numbers captured by AC Niels en in a number of days.
And Project Neev, what we are talking about, is distributor inventory, and those are desired inventory levels that we want to get to post we do the correction.
Vismaya Agarwal: Got it. Thank you. The last one from my side is on the gross margins. Now I see it's expanded quite a bit even on a Y -o-Y and on the sequential basis. So can you give some insights on the drivers here other than channel mix? Is there some seasonality at play here as well given what I see on the historical data? 1Q has generally been a higher gross margin. So any comments there?
And also an outlook if you can share further as to where this gross margin should settle for FY25.
Ramanpreet Sohi : Yeah, Vismay a. Hi, Raman this side . So I think the gross margin expansion is the two key levers.
Of course, as we scale, we continue to get some procurement efficiency. So part of that is because of that. And secondly, in terms of brand mix, given our younger brands are a higher gross margin profile, that's also helping bump up our gross margin profil e.
So I think that these are the two key levers. And I think from a, let's say, go forward, you know, expectation, we expect around same levels between 70 % to 71% kind of a gross margin level is how we expect in terms of achieving the gross margin profile for the year.
Vismaya Agarwal: Good. Raman and Raman, anything on the seasonality here? Is 1Q generally a higher gross margin quarter?
Varun Alagh: Well, I think that if you look at Y -o-Y, I guess 1Q has a higher proportion of sun and face wash, so there is slightly higher gross margin like that. But from a perspective of Y -o-Y, and I think we will continue to be at the gain that we have demonstrated in first quarter, I think that gain will sustain throughout the year.
Vismaya Agarwal: Got it. Perfect. Thank you and all the best.
Varun Alagh: Thank you.
Moderator: Thank you. The next question is from the line of Chintan S heth from Giri k Capital. Please go ahead.
Chintan Sheth: Yeah. Thanks. Thanks for taking this question. And I think great set of numbers. The numbers are progressing well. A couple of questions on the distribution side. I understand you are not comfortable sharing brand -wise, but if you can share some data on how the offline -online mix has changed this quarter versus last year, that would be helpful just to check how we are progressing on the offline side .
Secondly, with this project, what are the outputs we have internally benchmarked for this project? Right now, it's close to 65 -35. Where are we looking at as an offline mix , to see as post

the project name gets concluded ? Thirdly, on the Ayuga si de, any write -offs we should expect or its already in the numbers that is on the Ayuga side? Thanks.
Varun Alagh: Thanks, C

hintan. So, on the first question, the contribution of online -offline remains largely in
the same zone as last year, right? Because there is, while there is offline growth, but our younger brands which are growing are only present in online, right? So, because of which, online is actually also growing faster. And hence, that contribution is largely, you know, held , compared to the last few quarters.
Chintan Sheth: So, the mix remains the same, or it's a quarterly comparison, offline -online?
Varun Alagh: Yeah. I mean, from a quarterly comparison, if you will see, then online might be a few on the base points increased because, like I said, the younger brands which are only online, their growth, you know, leads to the online channel expansion, while the off line growth is largely only driven by ME. So, that's what that is. I think the second question was in reg ards to the outcome of project.
I think the outcome of project means is more long -term in that sense, that the right offline GTM ecosystem will be needed for us to drive, not just Mamm aearth, but also, for example, Derma Co, Aqualogica, Dr Sheth, because all of these brands in the long term will be executed in the physical, retail, right? And we need to have a very healthy distribution system where the partners are earning healthy ROIs and their ability to invest in the growth of these brands is high.
So, I think it's an investment in the decade -long growth that we want to see across the channels.
And hence, there is no short -term sort of, contribution change that we would see because of that.
And what we would want to measure, like we're saying, I mean, reducing inventory levels will allow us to get our partners to invest more in in -market or in manpower interventions to increase direct distribution.
I think that, and like we mentioned, we are running a Nielsen IQ -led survey amongst distributors.
I think for the next few four quarters, as this project continues, we will continue to run that to understand how the perception of the company amongst distri butors is improving.
Chintan Sheth: And because recently, we came across, media articles related to certain inventory not getting replaced by the company that was the comp laint for a few associations, so distributor associations. So, that it will be taken care of through project Neev . That's what our target is.
Varun Alagh: Yeah. Some of those complaints we have talked about and we've given our answers, some of those are not, you know, don't have merit. And, you know, we've been, we've had policies, we've been sort of, you know, actively taking care of any damage expiries, et c.
But yes, we have talked about just in the past that our overall inventory level in the distribution system are higher relative to other FMCGs. But finally, the partners that we are now seeking are the FMCG kind of distributors. So, Project Neev aims to help us, get a better business partnership with these distributors and also, of course, take care of all of these concerns which might be out there.

Chintan Sheth: Right. And on Ayuga , the last bit, and I'll jump back into it.
Varun Alagh: Say, Ayuga, , as you mentioned, yes, so we don't, we don't see any write -off risks. We have some inventory which we need to manage, which we have already provided.
Chintan Sheth: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Manish Poddar from Invesco Asset Management. Please go ahead.
Manish Poddar: Hi, Varun. Two questions. So, Varun, if you can highlight, let's say, because of this, you know, distribution transition , what is the sort of impact on sales?
Varun Alagh: Yeah, hi. So, I think, like you mentioned, the phase where we are, where to take the inventory correction, we haven't reached there. We were first, you know, strengthening our supply chain so that even with the relativ

ely lower inventory levels, we are abl e to run the system without fill rate issues.
I think that was our past focus. But over the, this quarter or next, we will be taking that decision where in that quarter we will have short -term impact in sales. But otherwise, in the long term, this won't have any impact. Actually, it will be very positive impact on the market.
Manish Poddar: Okay. And how much -- we were initially implementing in the top locations. Where are we now in the journey? So, just -- the slide has a lot of moving points. I'm just trying to understand, let's say, if I have to monitor one or two variables, I'm just trying to understand how much of the network are we there ? And you're saying it will take another two quarters …
Varun Alagh: So, like I mentioned, the first two phases, we are almost 80% there. So, for example, phase one, which is about transitioning in top 50 cities to direct distribution model, we are done with almost 35, 36 cities . 15 more cities are left, right, in terms of removing SS and moving to a direct distribution partner.
The second phase, again, from a DMS perspective, our rollout has been fairly healthy, 90% of the sales are getting captured there. And the supply chain phase, I think we are about 60 %-70% there. So last quarter is when a lot of the work has happened. And as we speak, it's happening at

a strong pace. The rest three phases, which is inventory correction and norms, etc etera, is yet to be started .
Manish Poddar: Sir, if you've implemented this in so many locations, without a sales loss?
Varun Alagh: Yeah, because we've not taken the inventory correction till now. And then we will do the -- because if we would have done that without having the right supply chain levers , for example, without opening the East regional center, if we would have done the inventory correction in the Calcutta segment, then our fill rates to retail would have dropped significantly. Because our supply chain wasn't ready to supply the distributor on regular purposes, right? Now that we have opened the East regional c enter delivery, we are in a ready state to actually make that transition, right , which is why it's not visible till now. We will take that over this quarter or next.

Manish Poddar: Got it. One last one. So in terms of…
Moderator: Sorry to interrupt. We are losing your audio in between. So if you can repeat your question.
Manish Poddar: Yeah. So, Varun , just in terms of new product contribution to sales, that's at 9%. And so just wanting to understand, let's say , I think this number at quarter 4 was about 18%. So just trying to understand why the reduction, let's say ? And there is, I guess there's no mention on Staze . So if you can highlight how is the progress there? That's it.
Varun Alagh: Yeah. I think firstly, that number was from like innovations which had lasted for the whole year. And even that number, if you look at from a perspective of contribution to growth, 50% of the growth contribution was coming from innovations. And I think even now, 50% of the growth contribution continues to be from innovations.
And on Staze , I think the progress has been healthy. It's a very young brand. It was only launched in February, which is why we're not sort of sharing any major update . The progress is healthy. But only once it hits a certain milestone, which we want to talk about, is when we will share it with you. But the early results in the progress, we are very happy.
Manish Poddar: So if I can get just one clarity. So when you say 9% and there's a hashtag which is Jan to June. So during these two quarters, new products contributed 9% to the sales?
Varun Alagh: Only the products which were launched after January of '24, they contributed 9% in the AMJ quarter. That's what we mean.
Manish Poddar: Okay. And the same number was 18% last

full year, because there's no there's no asterisk there ...
Varun Alagh: Which was for the products which were launched in Jan '23 to December '23 contributed 18% to the Q4 contribution. So 12 months of launch products in the next few months.
Moderator: The next question is from the line of Mehul Desai from JM Financials.
Mehul Desai: I have two questions. One is, obviously, if you can give some flavour on profitability trends in TDC, how is it shaping up? I think we had once spoken about that trend breaking even with now gaining scale, is it set more into positive trajectory? And second on the A &P spend, I think for the full year, the A &P spend were close to 34 -odd percent. First quarter, we have started at 36 -odd percent. So is there a seasonality that first quarter is high on A &P spend? And how do you see A &P spend as a percentage to sales for the full year?
Varun Alagh: On the first question, yes, TDC continues to scale in a healthy manner, both on top line front and even from a bottom line perspective has become better than what it was last year. So it's in the positive even in this quarter. On your second question, yes, we do have seasonality in terms of how we do our brand marketing spend. So we have higher brand marketing and A &P spend that we do in H1 compared to H2 because of sunscreen, face wash being our two core categories. And this is the recruitment period for these two categories and hence across brands. There is stronger brand investments that we do.

Mehul Desai: And do you see some efficiencies coming on A &P spend in FY '25 or you think the competitive intensity is high enough that you might not see efficiencies in A &P, but you will extract more efficiencies on staff costs and other expenditures?
Varun Alagh: So, actually, the observation is correct. Competitive intensity has been fairly high and our focus has been to gain shares. And we would try and ensure that we continue to invest in the brand to gain competitive growth. Of course, our H2 A&Ps will be, like I said, better than H1 A&Ps. But overall, the focus has been to find efficiencies elsewhere and remain strongly competitive on the brand.
Moderator: The next question is from the line of Nitin from Emkay . Please go ahead.
Nitin: Just wanted to get a sense on research and development strategy ahead. So, last quarter, we had

acquired Cosmogenesis Labs where Rohi ni Manoj also joined us. So, anything you want to highlight how we are planning to go ahead with the R&D strategy ahead?

Varun Alagh: Thank you for asking that question. In fact, like we talked about GTM as a foundational lever, we are very, very clear that R&D is a strong foundational lever for long -term growth of our business and winning in the beauty and personal care in India. And he nce, there is continued focus and investment that we will keep doing on R&D side.

Cosmogenesis was one of those initiatives that we took last quarter that, in fact, the completion of that integration is really happening in this quarter and post which we will start focusing on how do we leverage on all the intellectual learning s that they have.

But aside of that also, there is more activity that we continue to do on R&D in terms of even learning and partnering with global active vendors, figuring out what new innovations are happening across the globe, right? And how we can also study the derma t science of skin to understand what can be done further from a crafting for India perspective.

So, I think a lot of focus on that front and you will see that as a continued conversation pillar from our side over many quarters to come because we genuinely believe that' s one fundamental lever that we will continue to strengthen.

Nitin: Thank you. So, like this question was more also from the perspective of recently HUL

is also
talking about the strategizing and launching some of the patented international offerings in India. So, just wanted to get more sense on this, like, do you see this will have any implication to us or you see this as a positive for the overall market development perspective?

Varun Alagh: So, I think I can speak on our behalf and I can tell you that, you know, Honasa will continue to be the edgiest and the most innovative company in beauty and personal care in the next five years to come. And I don't think anybody will be able to beat us when it comes to consumer innovation, it's our c ore and we will continue to get stronger in that.

Nitin: Sure. And do you think there is any merit in terms of patenting products, like some of your competition in active ingredients have sort of started patenting the products, while we have not

yet patented anything. So, do you think patenting has any role to play in the beauty and skincare segment?

Varun Alagh: You said that this is an area of which we have been deliberating on in terms of technology or ingredient, patenting. As of now, we have not actively been pursuing this, but with the enhanced R&D strength that we are accumulating now, this is also an area t hat we will further deliberate.

Nitin: Sure, sure. Thank you. Thanks for giving the opportunity.

Varun Alagh: Thank you.

Moderator: Thank you. The next question is from the line of Jitendra Arora from ICICI Prudential Life Insurance Company. Please go ahead. Mr. Arora, your line is unmuted. Please proceed with your question. As there is no response from the line of current participants, we will move on to the next question.

The next question is from the line of Percy from IIFL. Please go ahead.

Percy: Hi, Varun and team. My question is on the guidance that you had given last quarter in terms of 20% plus growth and 150 basis points margin expansion for the full year. Are we still maintaining that guidance?

Varun Alagh: So, Percy, I think, from there can be one quarter where we execute the project in phase four and where we might be off that guidance. But outside of that, all three quarters, we are maintaining the same guidance.

Percy: Okay. And could you quantify this quarter, what is the impact of the pipeline correction on the total company level sales?

Varun Alagh: So, like I mentioned, Percy, so we have not executed the pipeline correction in the last quarter. So, our supply chain readiness was not in to the level where we could take that chance. Now that we are building our supply chain readiness, we will be taking that correction going forward. We haven't taken that in the past.

Percy: Understood. And lastly, I know you don't give separate numbers for this, but any kind of rough range you can give on Mamaearth brand growth, I mean, our target wa s to bring the growth to double -digit. So, are we at that level this qu arter or, I mean, are we at mid -single, high -single? Where are we roughly?

Varun Alagh: Percy, we talked about this in the Mamaearth side as well, from a perspective of optics, the brand is amongst the fastest growing in top 15 B PC brands in both face wash and shampoo, which are the top two categories for the brand basis the Nielsen offtake data as well as in modern trade, we are gaining share in that. So, overall, from a consumer love and health perspective, the brand is comparatively gr owing and that's the objective…

Percy: I'm sorry if this is a repetition because I joined late, but if basically at the level there is good growth and this quarter we have not taken any pipeline correction, then at a company net sales

or primary sales level also, we should be seeing the same amount of growth. Is that understanding right? Or am I missing something?
Varun Alagh: Percy, from a company pers

pective, again, I think growth in product business is something which is significantly better than what industry at large is delivering. So, I think that is reflective of our brand's ability to capture.
Percy: Sure. Got you. Tha nk you very much. All the best.
Varun Alagh: Thank you.
Moderator: Thank you. The next question is from the line of Jitendra Arora from ICICI Prudential Life Insurance Company. Please go ahead. Mr. Arora, your line is unmuted. Please proceed with your question. And if your line is unmuted from your side, you can unmute it from your side and ask your question. As there is no response from the line of current participant, we'll move on to our next question. Next question is from the line of Dhiraj Mistry from Antique. Please go ahead.
Dhiraj Mistry: Yeah. Hi, sir. Congratulations on a good set of numbers. Sorry for dwelling on this, but on an annualized basis for FY24, if this project Neev , what could be the impact of this on an annualized basis, not from the quarter perspective, but from the annualized basis?
Varun Alagh: Around 150 basis points from a topline perspective .
Dhiraj Mistry: So, when you talk about 20 % revenue growth for the full year basis, does that incorporate this 150 basis point of impact, or this is excluding that?
Varun Alagh: This is excluding. So, our secondary growth will continue to be at the 20 %.
Dhiraj Mistry: Yeah. Okay. And, sir, last quarter, you mentioned that you would be launching INR99 and INR49 pack, not in the sachet. You were not interested in sachet format. Where are we in that strategy? Because if we want to scale up in our general trade channel, we need some lower price point products. Where are we in that part of journey?
Varun Alagh: So, on face washes, we now have a INR99 face wash in vitamin C, face wash, and we have also launched Ubtan 50 -ml pack at INR125 put -down price. Similarly, in onion shampoo, we have launched a 100 -ml pack, and these are all those launches which had happened last quarter, and now we are looking to scale them through our direct distribution.
We'll continue to look at more opportunities across categories where some of our heroes SKUs -- can come in lower prices, and over the years, we will figure out how further lower put -down prices can also be provided to customers.
Dhiraj Mistry: Okay. Sir, can you give some qualitative statement that what would be the percentage contribution in this quarter? Although it's like very new, but can you help us understand with that?
Varun Alagh: No, not material enough as we speak, because it ’s too early, and such packs require deep GT distribution build -up, and only when that distribution build -up becomes strong can then you have

a material contribution coming from these packs. So, I think it will take us three to four quarters to scale up the GT distribution for these pack s, but yes, I think next year same quarter, we should see delta GT share gain coming from these packs
Dhiraj Mistry: Got it. And just to clarify on this, like this price point products are not available in online channels. It's purely for GT channels.
Varun Alagh: Yes, this is purely from our GT perspective.
Dhiraj Mistry: Okay, and just last question from my end. Can you share online and offline contribution for Mama earth brand particularly that whether the offline channel contribution has increased for Mama earth brand not from the company level but only for the Mamaearth brand? That's it from my side. Thank you.
Varun Alagh: It continues to be 50 -50 for both channels.
Dhiraj Mistry: Got it. Thank you very much, sir. Thank you.
Moderator: Thank you. The next question is from the line of Jaykumar Doshi from Kotak Securities Limited . Please go ahead.
Jaykumar Doshi: Hi. Thanks for the opportunity and congratulations on good set of numbers. The first question is j

ust clarification. I know you called out that the impact of right sizing of channel inventory could be 150 basis point or the full year level, which would probably mean about INR30 crores

or so on net sales. Will it have a disproportionate impact at profitability or you seem to be broadly comfortable on delivering your 150 basis point margin expansions guidance at a full year level?
Varun Alagh: Jay, like we said the quarter that we take that adjustment it will have impact on profitability in that quarter. And for the rest of the three quarters, we are confident of delivering that 150 basis points plus margin improvement. So the full year will be a c ombination of that.
But what it allows us to do is then from a next year perspective, a healthy distribution system will allow us to further extract efficiencies making the longer term and medium term picture more healthy.
Jaykumar Doshi: Understood. And when you mentioned channel inventory correct ion does it essentially mean that the level of channel inventory will go down so basically that quarter will see a gap between primary sales and secondary sales? Or will there be some stock returns, which would lead to provisions or write offs as well?
Varun Alagh: So Ja y, it is a combination of the two. In certain cases where there is a closure of a party that has happened or if there was a tail assortment lying with the distributor, we would do RTVs. In which case, like you rightly said there is provision etc. that will also come into play. And in other cases there will be a primary secondary gap in which the secondary spend would still happen as per the plan. But because the primary won't be there that will lead to the margin impact. So I think that's how we're seeing it.

Jaykumar Doshi: Understand. And this is something you'll do in one quarter. It won't drag in the subsequent quarters, right? It will be sorted out in. Okay.
Varun Alagh: That's the plan . Because that is why we wanted to be ready with the supply chain and execute it in one quarter and not sort of extend it beyond. And we are very confident that post execution in other quarters, we will actually be in line or better maybe in terms of our per formance.
Jaykumar Doshi: Sure. One more question. A couple of quarters back, you'd called out that on the marketplaces front, you're doing quite well on platforms such as Purplle. Does that sort of growth trajectory or strength that you are witnessing in tier two, tier three markets continue or there's some moderation or competitive intensity there as well?
Varun Alagh: No, it continues. I think Flipkart, M eesho, Purplle and all of these three marketplaces, which are tier two and beyond focused and are actually growing quite well and faster than our overall e - commerce.
Jaykumar Doshi: Sure. Thank you. Thank you and best wishes.
Moderator: Thank you. The next question is from the line of Latika Chopra from JP Morgan. Please go ahead.
Latika Chopra: Hi. Thank you for the opportunity. Apologies if this is a repetitive question but I wanted to check, what is the salience of broadly Suncare for you in overall revenue pool? And I believe Q1 seasonally could have been higher, right? We dealt with a very hot summer.
Varun Alagh: So, hi Latika. So, salience to the portfolio would be 20 odd percent in that range. And yes, summer is a healthier quarter for Suncare but at least our last year's trendline tells us that the seasonality is not massive. In fact, the usage of Suncare continues into the further quarters as well.
India apart from North actually doesn't even see major winter. So, even in the other quarters, the salience is strong. It is not like it drops significantly. And in any which ways, both Q2 and Q3 see second summer phenomena towards September, October.
So, that of course helps and then in general, the adoption of the category

is happening in a manner
where consumers are not just linking it to heat but just pure sun exposure, which is why markets which are very cold be it European markets or American markets have deep penetration of this category. So, as education is expanding the salience of the category is also fairly well spread.
Latika Chopra: Thank you. The second bit was on channel salience. I remember in FY '24 the offline revenue salience was roughly 35% and 65% was online. I just wanted to understand how is Quick Commerce as a channel evolving for you? Any colour or any flavour on what would be the salience of this channel in your overall revenue mix today? Thank you.
Varun Alagh: So, Latika, I think Quick Commerce as a channel continues to do well for us. In the e -commerce mix it is actually the fastest growing sub -segment for us. Even in last quarter, I would say the channel would have grown more than three times than any other e -commerce vertical that we

have. So, very strong growth and we're still scratching the surface because most of these sales

are coming from top 10 cities right now. So, as the channel expands to the next 50, next 100, we have very strong shares in most categories in this channel. So, we're very positive on this channel.
Latika Chopra: Alright, but is it possible to share any flavour of what percentage of online revenues will now be coming from Quick Commerce?
Varun Alagh: It's more than 10% already. And since it's growing much faster, we'll continue to grow strong.
Latika Chopra: Okay. So, that's 10% of online revenues, right? Our overall revenue?
Varun Alagh: Yes, of online.
Latika Chopra: Okay. Great. Thank you so much.
Moderator: Thank you. The next question is from the line of Ankush Agrawal from Surge Capital . Please go ahead.
Ankush Agrawal: Yes. Thank you for taking my question. So, the final question is on the expense. So, in Q4, the guidance that we gave, we stated that we see at least 150 bits of margin expansion, of which two-thirds will come from expense levels. But I think in one of your replies to early participants, you kind of stated that you want to keep expense at a similar level and want to see margin expansion coming from the other operating costs. So, I wanted to understand, has there been a change in the strategy for this year?
Varun Alagh: No, I think, as mentioned earlier, this year, we've seen significant competitiveness from other folks, which have two impacts. O f course, it leads to higher CPMs and inflation media costs, as well as to protect your share gain plans when it's to invest more aggressively. So, currently, given brand building is something that's our number one priority, we've been investing strongly. It's also, the quarter had summer sunscreen and face wash, which are our core categories, where we spend from a year -long perspective as well. So, that is also a part of it. If we can manage to deliver what we need to deliver without actually reducing our intensity on brand, that will actually be a great place to be.
There is a lot of work that we have been doing on media mix analysis, and coming up with a stronger understanding of the parts of media which work harder for us, which will allow us to be more efficient on this as we move forward.
Ankush Agrawal: Thank you.
Moderator: The next question is from the line of Mehul Desai from JM Financial. Please go ahead.
Mehul Desai: Yes. So, just on this inventory correction, which is yet to begin, I just wanted to say, we have not given any timeline. Do you expect this to be this year, or you will still, before giving any timeline, you will still want to see the progress in the first three steps of your project, and then you might give a guidance on that when you want to start this right sizing?

Varun Alagh:

No, Mehul, we are very clear we want to do it this year itself. So, it will happen in this year.
Mehul Desai: Yes. Okay. Thank you.
Moderator: Thank you. The next question is from the line of Jaykumar Doshi from Kotak Securities . Please go ahead, sir.
Jaykumar Doshi: Yes. Thanks for the opportunity again. As per my understanding, your summer portfolio is much stronger than the winter portfolio. So, could you talk about your plans, if any, to strengthen your winter portfolio ahead of the season this year?
Varun Alagh: So, Jay , this has been an active area of work for us. Our R&D teams, our brand teams for the last three -odd quarters have been working on moisturization as a category, and how we can use the same house of brands power that we have to take share in moisturization. This year in H2, you will see a lot of positive innovation happening from our brands in that space, which will help us strengthen our position so that as we move forward into the later years, we have a healthy mix of moisturization cat egories that we can execute strongly in H2 to drive strong share gain and growth. So, yes, we have a strong focus there, and you will see action from us.
Jaykumar Doshi: Sure. Thank you so much.
Moderator: Thank you. As there are no further questions, I now hand the conference over to the management for closing comments.
Varun Alagh: Thank you so much for attending the call. And like I said, we're super excited to execute our agenda in capturing the BPC landscape of India. There are certain foundational capabilities like R&D, media mix Modelling , GTM that we continue to strengthen and work on because we know that these capabilities will decide our long -term success.
And we'll continue to take the right initiatives on these fronts and continue sharing how we're doing on those initiatives in the quarters to come. Thank you so much for your patience and support. Thank you.
Moderator: On behalf of Kotak Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2024

Honasa Consumer Limited
Registered Office : Unit No - 404, 4th Floor, City Centre, Plot No 05, Sector -12, Dwarka New Delhi 110075
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| CIN: L74999DL2016PLC306016 |

November 20, 202 4

To, To,
Listing Department Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED BSE LIMITED
Exchange Plaza, C/1, Block G, P. J. Towers,
Bandra Kurla Complex, Bandra (E), Dalal Street,
Mumbai – 400 051 Mumbai – 400 001

Scrip Symbol : HONASA Scrip Code: 544014

Sub: Transcript of Investor Call

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the Investor call held on Thursday , November 14, 202 4 on the un -audited financial results and operations of the Company for the qua rter and half year ended September 30, 2024, is enclosed.

The said transcript is also available on the Company's website at www.honasa.in .

This is for your information and records.

Thanking you,

Yours faithfully ,
For HONASA CONSUMER LIMITED

DHANRAJ DAGAR
COMPANY SECRETARY & COMPLIANCE OFFICER
Encl: a/a

"Honasa Consumer Limited Q2 & H1 FY '25 Earnings
Conference Call "

November 14, 2024

MANAGEMENT : MR. VARUN ALAGH – CO-FOUNDER AND CHAIRMAN AND
CHIEF EXECUTIVE OFFICER , HONASA CONSUMER
LIMITED
MS. GHAZAL ALAGH – CO-FOUNDER AND CHIEF
INNOVATION OFFICER , HONASA CONSUMER LIMITED

MR. RAMAN PREET SOHI – CHIEF FINANCIAL OFFICER ,
HONASA CONSUMER LIMITED
MODERATOR : MR. MEHUL DESAI – JM FINANCIAL INSTITUTIONAL
SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Q2 and H1 FY '25 Earnings Conference Call of Honasa Consumer Limited hosted by JM Financial Institutional Securities Limited.
As a reminder, all participant s' lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Mehul Desai from JM Financial Institutional Securities. Thank you, and over to you.
Mehul Desai: Thank you. Good evening, everyone. On behalf of JM Financial, I welcome you all to Honasa Consumer Limited's Q2 FY '25 Earnings Conference Call .
From the management side, we have Mr. Varun Alagh – Co-Founder and Chairman and CEO of the company, Ms. Ghazal Alagh – Co-Founder and Chief Innovation Officer, and Mr. Raman Preet Sohi – Chief Financial Officer.
I will hand over the call to the Management for their "Opening Remarks " and a quick "Presentation ", post which we can open the call for Q&A. Over to you, sir.
Varun Alagh: Hi. Thank you, Mehul. Hello, everyone. Welcome to the Quarterly Performance Call for Honasa Consumer Limited. I will just set some context and highlights. We have released, of course, the results of the presentation alongside. I will quickly recap some of the pieces that we have mentioned in that presentation , and post which we will open up for questions and answers that you would have.
I think if you look at the presentation, we have started by sharing the fact that we acknowledge the fact that the environment, consumer behavior, and distribution are changing quite fast, especially in the Indian context. Some of these trends were already happening. Some of these trends, like the way the media landscape has quickly changed, the way consumer proclivity and propositions have changed, or how quick commerce is impacting consumer behaviors, are things that we are also seeing as relatively new changes to which one's models and thinkings would, of course, need to evolve.
And in light of that, we also talked about the four or five key areas which are areas that we are focusing on, where we believe we need to rethink some of the strategies and calibrate and evolve them in line with how we are seeing the landscape evolve. Of course, the first one is this whole amazing brand building playbook that we have built out. While that brand building playbook has done really well for us in terms of scaling brands from the zero to Rs. 1,000 crores journey, we are seeing that happen for the other brands that we have built as well.

But the Rs. 1,000 crores to Rs. 2,000 crores journey, it seems that we were trying to deploy the same playbooks, where over the last few quarters all of our data seems to be point ing to the fact that we need to evolve those playbooks in line with how to win with the consumer who's buying in offline and the kind of media that they are sort of looking at and the kind of distribution that is required to get that done. And a lot of work is happening on that front.
The other learning that we have had, and which is something that we have already started executing here also is that winning in beauty and personal care, which is a complex sort of a landscape of over 24 subcategories will happen a few categories at a time and we need to dominate in those categories and then keep adding more categories where we become leaders and dominate them. The whole strategy of House of Brands will help us do that but that would also mean we need to focus on investment, innovation, R&D, etc., far more on those categories rather than goi

ng through
others in a phased approach, hence, look at sort of winning in BPC.
Our third area of learning, which we are also again implementing as part of Project Neev has been the entire area of offline GTM. I think this is an area where we have clearly recognized that this is something which needs to be relooked as the need and scale of your business over time changes. I think even if I was to go back and I do not think we would be able to start with a different kind of a distribution system, because at that point with zero business and no regional supply chain

availability, that w as the best system that worked for us.
But clearly now when we look at it from the next four to five-year horizons where multiple of our brands need to go through this funnel, we clearly feel that the distribution system required for that is different and that's the area where we have been, dedicatedly working on. As we build this out, as we evolve , probably another four years down the line we will need to, again, relook at the same from a next five years business need perspective, right, and that is something, which is an evolving muscle rather than a straight -line skill that we have utilized.
The other area which we clearly have learned and are executing is, brands need to remain sharp to what they stand for. But our investments in the brands, depending upon the different consumer cycles, should and would vary. As we speak, for example, in a ch annel like online, the proclivity towards actives and derma brands is far higher compared to naturals and we have different brands to play on to those different proposition s and we need to invest accordingly to win in the category and to make sure that we are able to gain share in the category in the most effective way, while offline might be a different sort of consumer proclivity. But at no point of time we want all our brands to start speaking the same language. We want them to be sharp on their own propositions, but in line with consumer proclivities and change investment strategies to win in the category. I think that is something that we have also sort of realized.
Another area that we have been consistently working on is product superiority and we have been actively investing in R&D capabilities partnerships. Our objective here would be that we build capabilities that in all our focus categories, our hero products actually beat the competition in blind

testing and that's an area where a few of our products are already ther e but it's a constant journey through dedicated investment that we are going to continue to be on from an organization perspective.
Now from a quarter two and half one perspectives, and I think there are two areas where we recognize that our outcomes have not sort of gone in line with our expectations. One of course is the impact of the sales return and the inventory correction that ha s come through, which is higher than what we had imagined it to be because as we went into executing that , we clearly realized that there were pockets of sub -distributors or in -market credits which we have not tak en into account and g iven these are all full and final parting exercises and the impact has turned out to be higher than what we had imagined it to be but we did not want to sort of do it half -heartedly, we wanted it to be a clean execution and hence, we have been aggressive as well as conservative in our approach towards that to take a higher impact.
I think the second area where again our assumptions have not panned out in line has been the growth for Mamaearth. We have been analyzing that, like I said, I think the model that we were trying to execute was very similar to what has worked for the brand in the past. We have recognized that there are a few strong tweaks that we need to make across the mix from a product mix perspective

, in terms of SKU sizing that needs to be sort of promoted; to communication perspective, where we need to become sharper; to even, most importantly on investment allocation, where I think our learning is that we have gone too wide and we need to narrow our focus onto a few categories and go deep within them with our hero SKUs.
There is a very strong and active charter of body of work which is, as we speak, they are all sort of part of and this is absolutely the number one priority for us to recognize what all changes need to be made and action them in form of pilots regionally or at category levels and basis those learnings, put a scaled -up strategy to bring Mamaearth back the strong growth path. For some time we kept sort of imagining this was more because of the base effect of the brand but we clearly recognize that there are structural changes to our execution plan that we need to do to actually make things work and if they start working, hopefully, the brand will actually be able to grow stronger than what we imagined it in the past. I think we are going to approach it from that perspective.
Of course, outside of these two things, the young brands continue to demonstrate very healthy growth . And each one of them at H1 and quarter two level also have grown at 30% +, which is a great sign for the company as they scale and become much larger. These are also brands which are not as impacted by the offline transition. I mean , that is also sort of visible there. In other parts, again, something which is clearly showing result for us is our focus categories strategy , because our focus categories put together have actually done very well.
Our three strongest categories where we have the best shares and ambition also is the strongest in those 2-3 categories which is face cleansing, serum, and sunscreen have actually demonstrated

28% growth in half one and we want to make sure that this focus category approach we are able to extend that to five to six categories over the next three to four quarters, with which we will be able to showcase healthy strong growths across a much larger contribution of our revenue portfolio, where our ambition, again, will be to become a sizable market share player.
I think broadly that's the highlight that we had from our side, and would be more than happy to answer your questions.
Moderator: Thank you very much. We will take the first question from the line of Vivek M from Jefferies. Please go ahead.
Vivek Maheshwari: Varun, if it's okay, I have quite a few questions. Can I go ahead , and if you can allow me to go for some time, is that okay?
Varun Alagh: Sure, Vivek.
Vivek Maheshwari: So, Varun, one thing on Mamaearth as a brand, I heard what you said on the call and, you have been transparent, today. My question to you is, is Mamaearth, the problem is, is it the size which is an issue for Mamaearth, you think? Because, you see, when you started Mamaearth as a brand or the other brands, there are some problems in whichever form and shape FMCG companies are also facing. Do you think Mamaearth also, as a brand, has hit a scale which has become sizable and because o f which Mamaearth faces the same problem that, let's say, some of the larger FMCG company brands also face?
Varun Alagh: Vivek, honestly, I think at least our approach towards this has been, not to externalize it and actually, we genuinely believe that as a brand, given the kind of shares that the brand has in some of the subcategories of operation, it still has a long way t o go and hence , potentially, would the pace of growth be 15%, 17%? Yes, that is probably an area where the pace of growth is lower, but sustainable growth from a long -term perspective, we still believe there is a long way to go for the brand to hit a ceiling, while shor t-term demand pieces could be there, but we wanted to l

ook at it
more structurally and that's the exercise that we have been doing over the last, three -odd months in terms of understanding structurally, where could we be sort of, missing the trick .
For example, one of the areas which I touched upon, which is investment allocation, right, we realized that we were allocating our investments over 10 different categories in Mamaeart h and that was too wide a dispersion of investment which was happening. Our her o SKUs and categories were getting suboptimal investments because of that and t hat's a clear recognition that we have had. As we talked last time that from an offline playbook building perspective, we have got Bain on board to also share some of these learnings and help us see it through that framework perspective. We are clearly seeing some of these areas where we could do significantly better and grow back on track.

So, in my view, I would not want to at all believe that the brand is has hit the ceiling . We are very, very clear and confident that this will become the number -one skincare brand in the country over the next 5-7 years and we just need to get our game right to get it there and that's the body of work which we are actively doing.
Vivek Maheshwari: Okay. And on the same lines, your own presentation slide mentioned that Indian consumers shifting from family oriented to individual centric consumption, which also means that there is a fragmentation happening in the market and platforms are evolving, etc., etc. Do you think that because the entry barriers are low, Mamaearth as a brand, in some ways you have answered partly, but the entry into this category will keep happening from new players, from new brands over time. Does that mean th at you will always be on treadmill, and you will have to keep running and keep launching new products? Or is there also a risk of boredom with a brand because there is something else which has come in the market, on the online side, for example?
Varun Alagh: Vivek, what we are clearly realizing and recognizing is that online and offline are going to be very different ballgames and one-fit-all strategy will not work. To your specific question yes, the entry barriers and hence the competitive intensity in the category is higher, which is visible more in the online world and hence, innovation is important when it comes to online business but when you look at the offline business, which is what we are clearly recognizing and realizing, that's still a very heavy hero product business, where most of the players have hero products and portfolios in specific partitions, which continue to have large shar e. Fragmentation has not happened in the offline space as much as it is happening in the online space.
For Mamaearth, where a large part of the growth delta is now supposed to come from the offline consumers and getting that game right is very critical as we move forward, which is where optimal investments on hero products, getting them in the right sizes, d istributing them in the places and focusing very strongly on that is something that we will need to dial up. I think we have talked

about this in the past as well , innovation is something which is table stakes as we move forward in the online ecosystem. I think companies which are not able to innovate will not be able to win the online game as much. And that is something that we consider our strength and we will continue to do that well. The only thing that we talked about and recognized is that the way we want to look at this business is from category out perspective rather than brand out perspective.
Our objective is to become top three in share in face washes, number one in sunscreen, number one in serums and get into top three in another couple of categories that we define for ourselves. Nationally, not just in online. But in that categor

y, different brands at different point of t imes might have different sort of new roles to play. Like I said, at this point of time, active as a proposition has been in favor with the online kind of consumers. And hence, using Derma Co. and Dr. Sheth's to get share in face wash as a category, while a Mamaearth might be at hold and might be a more beneficial strategy but as long as we are gaining category share is what the investment should be

aligned to is what we are learning from that whole approach. But innovation to a certain extent in all categories is a table stake for all companies.
Vivek Maheshwari: Pardon me for asking this question directly to you, but because you mentioned about offline, you mentioned about playbook, Rs. 1,000 crores to Rs. 2,000 crores and all, you need a different playbook, etc. If I just ask you what is your right to win in the offline space where there are FMCG companies, which have been around for decades or centuries? How would you respond to that?
Varun Alagh: Vivek, finally, almost every couple of decades in almost every category, there is a generation shift that, that sort of happens from consumers and that generation shift is actually an opportunity for brands to sort of take ownership and share in the usage amongst those generations, I think, firstly, there is clearly a lack of brand choice which has been there in the country in the past and that is not just for the online consumers, but across offline consumers as well It's the entire consumer landscape where there has been dearth of brand options and in my view, right kind of brands built on right propositions is something where there is new brands have the right to sort of win there and that is one area.
Second is, of course, we need to provide products and propositions which are emotionally and functionally superior compared to what the consumer is using. In certain cases, that could be because we are specifically crafting for the Indian consumer. For exa mple, the right to win for ubtan face wash in its spaces because there is clear, strong association and credibility that the consumer has with the DIY recipe that has existed for centuries in India and now there is a brand which is offering that in a great easy -to-use format .., this is something that no other international brand is able to offer from their core DNA. And this is something that our brand is built on. And hence is able to offer that and has the right to win from a product perspective.
Similarly, in other areas, we believe from a product perspective, we need to have a concept, which is a winning concept and not a me -too concept. But also in that concept, deliver a product, like I said, which is a blind test winner in terms of product lik eability. That even if you remove the brand, then the product against competition actually does better, right? And that's something that we can actually to work on.
Of course, a third area would be, from a GTM perspective, in which case, at least in the short term, we will need to use a combination of velocity and higher trade margins to get customers to get used to selling and displaying the brands. Because for the customer there is, which is the retailer in this case, there are two key benefits here. One, of course, as you premiumize a category in our ASPs, in almost all categories are higher by 20% to 25%. And that gives the retailer higher bill value per transaction and if your margins are higher compared to what they've been selling in the past, for the retailer, there is a much higher opportunity to sort of, make better money.
Especially in this kind of environment where their overall business is under duress, and a brand which is able to offer them much better returns per unit of sale is something that they would like

to prefe

r. So, I think combination of these three is what I believe will give us the right to win, and we are not even trying to become another deep distribution -based FMCG industry. We just need to get 200,000 direct outlets, right? And yes, if we are able to get that, this is where 80% of the weighted distribution game is being played and that is where almost all of the mass premium proposition consumers are going to buy. So, for us, we do not need to get millions of stores right, we just need to get the 200,000 right. And which in my view, in a focused approach towards that 200,000 that we should be able to demonstrate and build for might be much higher compared to where someone is looking at a much deeper, wider kind of numeric distribution. So, I think those are the things which we want to work on to make sure that we have a right -to-win compared to the existing distribution systems.

Vivek Maheshwari: And just a couple of more, Varun. One is where you are in that cleanup cycle right now? So, do you think the bulk of the cleanup is done and now from here on, it's the buildup phase or there is still a fear of unknown that you may still have as investors?

Varun Alagh: Well, Vivek, bulk of the cleanup is done, and this is also a structural change. So, I do not know if I should call it cleanup , but we just removed the layer from the distribution and that layer, whatever stock that was holding, we had to, first take the impact of that. But from a distribution system perspective, the bulk of the cleanup that we need to do has already been done in quarter two. And, of course, the ramp -up from here onwards is going to be slightly gradual and will take a few quarters because wherever we have, for example, you would define distribution in geographical ward cells, right, even a city might have six to eight ward cell s depending on the size of the city and number of outlets that you are trying to cover.

Currently, in about 70% of them, we have been able to deploy distributors but there are at least 30% of the ward cells where we are still deploying distributors and that will happen over the next three to four months and bases which then coverage in those outlets in form of direct coverage will sort of get built up. So, all of that scale -up would be something that will happen from now onwards gradually, but all of that scale -up is going to be fairly structural, direct distribution scale -up with a much better quality and transparency of execution.

Vivek Maheshwari: Okay. And last one, do you think FY '26 is where you start with a clean slate and the second half FY '25 still will be somewhat volatile, somewhat weakish? Also, in the context of given urban consumption is slowing down, do you think that also adds to the headwind?

Varun Alagh: Yeah, it's not been the best time from seeing the genuine tests and experiments of outputs perspective. There clearly seems to be some form or change in terms of consumer buying in patterns which are visible, but we genuinely want to see that and understand that as a structural change. We want to figure out what kind of things will work in that new environment, what do we focus on and build on. That said, I would agree with you that the buildup from here on would be slightly more gradual. And getting into next FY, we should be far more confident of all the experiments and changes that we are executing as we speak.

Vivek Maheshwari: Varun and team, wishing you all the best and hopefully, you will see a recovery soon. Thanks.

Moderator: We will take our next question from the line of Percy Panthaki from IIFL. Please go ahead.

Percy Panthaki: Hi, Varun and team. I just wanted to know one data point if you can give me. For the GT distribution, see you have a DMS, so you know exactly how much the distributor is actually selling onwards to a wholesaler or retailer. S

o, that secondary sales, so to say, what is the growth in that secondary sales for GT this quarter on a Y -o-Y basis?

Varun Alagh: Hi, Percy. Percy, honestly the Y -o-Y number is not a number that we are ourselves able to also fully track because last year DMS did not exist in the system. It's only this calendar year that DMS execution started and has fully shaped at end of Q1 basis, w hich we were able to do some of these actions in Q2. And so actually that data from a secondary is not available. What is available and what we can share with you is the Nielsen data, which continues to be the same panel which existed. If you look at the Nielsen data in the core categories, which is face wash and shampoo, the brand actually is growing fairly well. It's growing ahead of the other brands which we are competing with, and which is where the brand is actually gaining share as well, right? So, both face wash and shampoo, Y -o-Y, as well as sequentially, we have gained share. And I think that is probably a better indicator of Y -o-Y secondary group trends.

Percy Panthaki: Got it. So, in Mamaearth, you said that is the main sort of area of concern in terms of the slowdown. So, just wanted to understand, within Mamaearth again, what is the area of concern? So, two, three options here. Is it that one particular channel is an issue? Whatever be the products being sold through that channel. So, I mean, your own digital assets, you have anyways been defocusing, and that has been happening for a few quarters now, but despite that, the numbers were not as bad in the previous quarter. So, is it a channel issue, either your own digital assets or even aggregators like a Nykaa, Amazon, where you are seeing a slowdown? So, that is one option. Or as you said, there are some categories like face wash, etc., where you are doing very well. So, is it that the Mamaearth brand is not resonating in some of the other categories, and those categories are seeing a big decline bringing down the brand? Or is it some other issue altogether? So, within Mamaearth, what is the problem area?

Varun Alagh: Percy, let me sort of try and answer this one. So, firstly, of course, GT is the biggest sort of contributor to the drop and decline, because that's a place where we have been going under structural transition, and the primary bases are of a very different sort of kinds, and we now with that transition we have not been able to grow over those bases. So, that's the biggest delta drop. And online, also I would say …

Percy Panthaki: If I might just get some clarification here. This GT is an issue even after you remove the Rs. 63 crores of sales return, or it is because of the Rs. 63 crores that it is pressuring? Because I am keeping that as a one -off. So, if I even remove that, even then that is an issue, right?

Varun Alagh: So, even after we remove it, GT, of course, the issue reduces significantly, but GT still continues to be an issue even after you remove it, right? MT is not but GT is. Because GT is a sort of inch -by-inch, step -by-step, outlet -by-outlet game, right . And if your core distribution infrastructure is not fully in place, and that's an area where we have not been able to hence grow the brand. Even in online, even if you remove D2C, and the brands become more flattish now. And largely what we have experienced is that there is a proposition SKU more towards actives, which is kind of impacted that to some extent, which we believe might be a more short -term wave o ver time. Of course, most countries and geographies that we have seen naturals turns out to be a very long -term consistent proposition.

The other area which you specifically also touched upon, actually, there are certain categories, right, which are declining much steeper and not focused categories for the brand. Which again, will be a turn and that might imp

act negatively in the short term. But as we further strengthen our investments in some of the focus categories and the growth rate of focus categories become even better, I think they should be able to net -net overtake any drop that comes from non -focus categories. Because we have not changed our investment allocation as much, that's something that is not showing up.

Percy Panthaki: And see the other brands, excluding Mamaearth, is there any slowdown in the growth rate for those brands this quarter versus what we have seen over the last three to four quarters or those brands are growing at the same rate as what they have been growing over the recent past?

Varun Alagh: Slight slowdown relatively is there. But in my mind, apart from potentially the demand play, the other factor is that our largest category is sunscreen. And there is a very high correlation that, that category has with the humidity and rains, right? I mean , a negative correlation, of course. And that is specifically one category where we have seen last quarter to be not shaping in line with what we sort of -- imagine it to be because of the weather. But otherwise, the overall growth rates are f airly similar. There is a slight impact of these two things in Q2 compared to Q1.

Percy Panthaki: And one last question, if I might be allowed. You said you need different playbook. Do you need a different playbook for media as well? Because as you said, now you have to look at the online and offline business separately. So, for driving the offline sales, do you think that you need to pivot media also to offline? Or do you think that online advertising can still sort of help with offline sales as well?

Varun Alagh: Percy, that's a very relevant question. This is, again, a body of work which we have been actively doing. So, two parts. Firstly, yes, we do. That's one learning which has come out of the body of work that we have done, that our media deployment strategy needs to change. The changes are not only towards the type of media, but also how we deploy media, where we were very impulse and seasonality -focused, instead of which we need to be far more always -on, in terms of our spread of media on these focus categories. But also on media vehicle choices, where there is a detailed media mix modeling work that we are doing with our internal data science team, as well as MMM data

science expert agency, which is working to tell us what part of our media is the strongest in running sales, as well as brand consideration. And a combination of that will help us come up with a much more effective media strategy that we want to deploy getting into next year.

Percy Panthaki : Thanks a lot for your patient answers Varun.

Moderator: Thank you. We will take our next question from the line of Latika Chopra from J.P. Morgan. Please go ahead.

Latika Chopra: I think a lot of questions are already asked. I want to probably check with you. Is there any rethink on your margin admissions of reaching double -digit? As it seems you need to invest back into reviving growth for Mamaearth?

Varun Alagh: Latika, while in the short term, from a quarter -to-quarter basis to experiment and get some of these media mix and funnels right, we might need to skew things a little here and there. But our view on being able to get to a high double -digit in the medium term for ME continues to hold strongly. And in fact, one of the things that we have also learned from this exercise is that if you are able to build even stronger dominance in a few categories, our ability to generate higher margins in those categories also becomes stronger and if you are able to unlock some of these hero products in GT, that should actually further help the margin cause. So, I do not think from a medium -term perspective that we change this. Of course, to get to that,

the path that we were expecting and earlier, we were just continuing on the same path, we will be able to get there. That path we will need to re -imagine and work on, which is the work that we are doing. But the destination still continues to remain the same.

Latika Chopra: The second bit was, could you share some color on the most recent brand that you launched, Staze, on the cosmetic side? Is this something which is still in the test phase for you? Any thoughts there?

Varun Alagh: I think, Latika, fairly early days on that brand . The big difference between any of our other brands and that brand is that this is an absolutely new category that we are playing in. And not just a category, but also a different price point, to be honest. It's slightly in the mass -plus kind of price area, not a mass -premium kind of price area. And hence, we have actually been learning a lot in terms of supply chain management, category innovation, media deployment, and how to do that for that bran d, that said the brand is scaled in line with our expectations. And it actually is already at a Rs. 25 crores plus run rate ARR. And we believe we will continue to learn on it and get our basics even stronger to win that category in early days, but yes, good signs.

Latika Chopra: That's good to know. And the last bit was on these emerging brands, which grew 30% in the first half. What kind of growth expectations do you anticipate for them over the next two, three years? We did hear you mentioning Mamaearth did see, some impact from actives. So, it seems like Derma Co. should be doing fairly well. Any thoughts on whether this portfolio can maintain a 20%, 30% growth band, given all the lessons learned?

Moderator: I am sorry, Latika. Your voice is breaking , can you just repeat, please?

Latika Chopra: Sorry about that.

Varun Alagh: I got the question.

Latika Chopra: Okay, thank you, Varun.

Varun Alagh: Let me paraphrase. You are saying, what kind of a view do we have on the younger emerging brands? Do you believe they will be able to grow at, at least a 20% + kind of a pace? Actually, we are very confident, right? From propositions, categories, channels, all of that perspective, not only are the brands growing, but they are also gaining share in their own categories of interest. The `Derma Co. especially has been doing phenomenally well and again has a lot of scope to further grow. We just entered the face wash category last year and it is doing exceptionally well for the brand. And that's a category where we can see it becoming much l arger as a play. We continue to sort of work on that.

Similarly, for other brands, there is clearly success that has been seen in one or two categories for each of those. We continue to work on further strengthening and building those categories. But as they grow, there are also other subcategories which will open up for those brands which will continue to fuel the growth. So, as we stand feeling fairly confident of being able to grow all of them very well.

Moderator: Thank you. We will take our next question from the line of Manoj Menon from ICICI Securities. Please go ahead.

Manoj Menon: Quite a few clarifications. Hopefully, nuanced ones. Just on the playbook revisit team, is it fair to make a statement of hypothesis that, look, you are absolutely clear about what doesn't work, but at the same time not very sure about what will?

Varun Alagh: You are right. I mean, we know that at least the last sort of investment in mix model was not generated the kind of growth that we needed it to generate. Now, what we are trying to do as part of pilots is taking cells like, a one state and or one subcategory and implementing a very different kind of a playbook on the same, getting int o all of that is work is planned, starting now in Q4 and then seeing if it generates disproportionat

e results in that cell. And there are 8 to 10 such pieces which we want to activate in action, to actually learn which cells sort of, and hence what kind of strategy works in which part. Like I mentioned, I think we have been working closely with the Bain on this, right? And we are getting some really insightful hypothesis on the basis of these tests, I believe.

Manoj Menon: And moving on to Mamaearth as a brand. Let's when I think about the, let's say, the brand key which you have for the brand. Look, you did alluded to, but I just want to double click on one

aspect that just from a marketing point of view, not from an expense point of view or support point of view which you did allude to. Is it a case of extendibility, let's say, a lot of in freight challenges that you had, went a little too far with the brand. The reason now I am asking this because at least I can't think of too many brands which are successfully straddled body, face, hair, etc., etc.
Varun Alagh: So, there is of course one hypothesis, but I do not think we are taking it in the dimension of brand versatility and extendibility as of now. What we are taking that in the dimension of is that versatility has come at the cost of underfunding core categories and which is something that at this early stage of brand evolution and penetration and should not ideally have been done. It should have been getting to a certain optimal scale in one category, right, and only then sort of looking at investing in others .
So, while the acceptance in terms of versatility we felt was fairly high to the team that, even something like, a Mamaearth lipstick does some Rs. 4 crores , Rs. 5 crores monthly business today. So, versatility was there, but the versatility comes at the cost of, going one in terms of investments. And that has not clearly worked. So, versatility cannot sort of come at cost of sub -optimally funding your core and focus categories is the big lesson.
In the long term, would the brand be able to demonstrate versatility? And I think we still remain confident in that. But we want to get there only after we have fully funded for. And there are multiple examples. I mean, Dove can be a good example, right, t o Himalaya, to even a younger brand like CeraVe , which have straddled across five to seven subcategories well, but the learning around opening one frontier when you sort of, not fully captured another is a learning for us. And that's what we are going to deploy.
Manoj Menon: Understood. Just one last thing on the brand. Let's say, versus Mamaearth, which has been a high growth brand, or rather I would say a high growth phase, even excluding the incident this quarter, etc., versus let's say a reasonably mature brand of similar size, or any other cut you want to take. What is the difference, let's say 100 is the denominator, what is the proportion of, let's say hero brands or rather hero SKUs, I would rather stand corrected, for a Mamaearth versus some of the mature ones? I mean, how much gap that would be currently?
Varun Alagh: No, significant, I would say. For most others, top 10 SKUs would probably, especially in the offline kind of environment, contribute to 75%, 80%, while for Mamaearth, it will be about 40% to 45%. And hence, that's a clear opportunity that we see the brand needs to focus on.
Manoj Menon: And one last thing on the offline piece. Look, I think at least I was addressing investors that look, when a company moves from online to offline, it is fair to assume that since you start on a zero base, to for some incidents to happen, and in a high gros s margin industry or a category, it's always better to overstock rather than understock and lose the lifetime value.

So, that much is clear in my mind, that, demand planning, you learned, right? I

mean, kind of, you started on a zero base and as each year goes by, you learn. The only question which came to my mind was, let's say, a conversation we had a year or two back abou t, let's say, you have reasonable online data, which would have probably helped you to get to the demand accuracy far better than somebody starting in offline for the first time?
Varun Alagh: Sorry, Manoj, we lost you.
Manoj Menon: Completely. Okay. No, no, what I was saying was, I mean, my chats with investors have been that, look, let's say demand planning when you are going for the first time into offline, it is natural to have some incidents, etc., because you started on a zero base, right, I mean, obviously, as each year goes by, you learn the offline demand planning accuracy will improve. The only question there was, the assumption, let's say, we had a year or two back was that, since you had reasonable amount of online data, I would have assumed that the, let's say, the demand planning accuracy is far better than, let's say, what actually happened?
Varun Alagh: Yeah, Manoj. I mean, that's been an area of learning for us as well. Now an year back and after that we have of course corrected on our catalogues. While we had a clear conscious, what do we want to focus on strategy. But we did not limit our distributors or the system from ordering any kind of sort of products which were there in the system even which they will list ed in online. And for a long time , finally , the retailer is also looking at Instagram. The retailer is also sort of, checking on things on Amazon and seeing what is it that the brand is right now promoting and what is selling on online and they all sort of realize that that's a competition and o ur sales teams kept getting sort of, that feedback from dealers. No, no that this product is not there. You should stop this in my shop as well. And this product I am seeing an add -on.

And that led to proliferation of the catalog compared to what we plan the catalog to be. And over time, of course, we clearly learned that offline is not going to be a search and b uy kind of a shopper journey, but it is going to be a journey where the shopper already has some consideration of what they want to buy. They will come in and hence a salience and focus on a few in absolutely relevant need spaces and pay -off spaces is a far more effective strategy compared to having many, but not being salient in one. So, I think that's also sort of been a learning and we have already from systematically curtailed our ordering assortment itself now and this is some of the data and science.
Manoj Menon: One last thing on the distribution , you started with let's say sub-stock ist sort of a model that, if you recall correctly three years back. At least anecdotally what I found that probably now you have a lot of class A distributors, what I mean by is that people have been in the distribution offline for a long period of time and evolve the distributors. Let's say of your overall, let's say, distributor base today. How do you say, I mean so you already achieved where you want to be or that journey is still on in terms of the quality of distributors.

Varun Alagh: That journey is still ongoing. I think all the new partners that we are deploying , of course, that in all the places we are putting our effor ts to work with someone who is existing A class FMCG distributor and who is doing the right kind of coverage going to those store and hence both relationship as well as logistics wise that something which is very natural to them . In eight out of 10 cases, those are the partners that we are finding in working with and in two out of 10, because it's still a younger company because in a lot of these wards the revenue size is lesser and we are still in a place where we have to work with probably a class B for now and get

to a better business
size, which will attract a class and work with us. And so I think that's a journey that we are on.
Manoj Menon: And one very lastly and I will come back in the queue. I saw in the market in August, some Rs. 100 price points Rs. 99, Rs. 79, Rs. 49, which is the, let's say, the LUP equivalent for you, right, which you've called out some time back as an opportunity. And also, recently there was a release in exchange about the canteen stores department. Does these refills break in already , these are already there or these are incremental? I know that all will grow, but at least the first cut, let's say, this quarter, all this has gone into the market.
Varun Alagh: Manoj, so the small size packs, right, is something that we have started executing, since I think two months back. It is when they were actively gone in the market. And we know, of course, need to drive awareness as well on the same. So, on November, ubtan face wash media, we have created an edit which specifically calls out that pack also. And hence I would say, the action has started but very early in terms of where it is.
Moderator: Thank you. We will take our next question from the line of Shrenik B from PGIM. Please go ahead.
Shrenik Bachhawat: Yeah. So, just wanted to understand, we highlighted the bulk of the inventory reduction is done. Can we expect the normal growth path to return from 3Q onwards?
Varun Alagh: Shrenik, I think it will take us a few quarters to get the scale -up of offline going as well as to learn from the experiments in sales that we talked about on Mamaearth and execute the same and like I said, rest of the portfolio continues to do well, but these two and turning them around over the next few quarters, will be critical from a long -term growth perspective. So, our entire focus is on that. That's said we expect the recovery to be gradual and not sudden when it comes to sort of getting back on the growth path that you talked about.
Shrenik Bachhawat: Sure. Also, Varun, can you throw some light on the Dubai case that is ongoing, getting some updates on that. So, what is the status as of now on that?
Varun Alagh: So, the case is ongoing. We have a favorable judgment in Indian High Court, but in the first appeal in Dubai, the judgment has not been as favorable. That said, our lawyers are very confident on the construct of our case. It's a simple parting with a distribut ion partner with the due notices that has been done. And even in terms of the quantum of business was not as large as the damage claim has been ascertained to be. Our documentation is also strong there. So, at least from our lawyers,

we still continue to get strong confidence that the final decision should be in our favor. We have filed for an appeal in the high court in Dubai, while the high court appeal, which was already in our favor. And we continue to sort of discuss that as well.
Moderator: Thank you. We will take our next question from the line of Yash from Stallion Asset. Please go ahead.
Yash Gandhi: So, I just wanted to understand on your Slide number 13, where you have given the bridge for inventory correction impact of Rs. 63 crores. Now, I see that because of this, there's almost a

negative 10% EBITDA margin, right? So, I am just trying to understand how has just about Rs. 63 crores, which is like about 12% of your Q2 FY '24 revenues. Because in Q2 FY '24, you had Rs. 496 crores, and your reported EBITDA margin was 8.1%. But because of this inventory correction impact, I think that whole margin is gone . So, why is there such a big loss? I am just trying to understand that.
Raman Preet Sohi: This is Raman this side. I will dig that up. So, the Rs. 63 crores inventory impact means this is returns coming back to the company. So , it's impacted our primary sales to an extent, and hence we make 70% gross margin.

So, we lose that 70% gross margin on the return inventory. And along with that, given that inventory is coming from trade , we have also provided for certain inventory - related provisions, so that if there is inventory which is coming back, which is in a certain condition, we are adequately provided for. And hence, so there's a loss of gross margin, there's an inventory provision and also, we provided certain, trade loss related provision on top of it, which is impacting this close to 10.7% impact from a year -on-year perspecti ve on our EBITDA margins. So, that's what it's.
Varun Alagh: I would like to further add to that. Like we have shown, even if this would not have happened, the adjusted EBITDA is also lower compared to what our plan was, and that's largely on account of our OpEx planning and some of the other costs, etc., on account of the short -term supply chain transition, etc., have been there, and the revenue and the scale that we expected has not, shaped up. So, that is also one of the reasons why it has been more severe than it should have been. And as some of that sort of stabilizes over the next quarters as well, we should be back to the normal averages and then start going from there as brand growth comes in.
Moderator: Thank you. We will take our next question from the line of Manish Poddar from Invesco Asset Management. Please go ahead.
Manish Poddar: I have two questions, so I will take them together, given this one -question thing. So, just two minutes. First is, if you look at the last quarter commentary, I think the called -out thing was, there is a Rs. 40 crores impact from this inventory correction. I think the number is significantly higher. So, can you help me understand what explains that?

And the second thing is, let's say, the call happened sometime August mid, the last quarter call, and that time I thought, we were quite acquainted with this inventory correction and, we were wanting to put steps in place in terms of this project and other interventions. And that time we were guiding for 20% growth for the rest of the year adjusting for this sort of inventory correction. So, what really has changed in the last, let's say, three months, give or take, I have heard the commentary, but I am still not able to gather what really has gone dramatically wrong or, what is really the underlying concern? And is it possible, can you really call out, let's say, among the brands in Mamaearth , let's say, there was a Rs. 100 crores brand, which just gone down to, let's say, Rs. 10 crores. Are there cases like that? Is able to understand and appreciate the situation much better. But otherwi se if I look at the commentary of Q4 and Q1 and now, every quarter there's a different commentary and delivery. So, I am just trying to understand it better, I am not trying to push you towards the one. Thank you.
Varun Alagh: Hi, Manish. So, yes, we had called out the inventory impact of Rs. 40 crores to Rs. 50 crores. And as we were sort of planning for this, like I said, the actual impact has been higher largely because most of our understanding was from the system inventory which we were seeing just for the super - stockists. But during the same period when we have actually executed this, they've also taken inventory from sub -stockists which owed them money, as well as to some extent in certain cases trade. And all of that has resulted in a higher net inventory take back compared to what we had estimated it to be.
And from a planning execution perspective. We after sort of the communication of this, we realized that the current system was gotten fairly aware of us wanting to make this transition and hence we started seeing significant friction in them wanting to execute the agenda that we needed to execute, because of which we were seeing almost a stalemate kind of a condition. And earl

ier we had planned, we will be able to probably phase it out and do it in a certain way, but we clearly realized that we would need to do this with a certain sense of urgency, otherwise we will be in those stalemate positions longer that we are expected to be. I mean, from a brands perspective. Of course, our objective was to execute the plans that we had right, and hope was that the same plans should result in a different outcome when it comes to ME growth. And there's been clear recognition and acceptance on the fact that, okay, this is not working.
And rather than trying to do the same things and expect different results, we probably need to step back, sharpen the saw, look at doing different things because our long -term objectives continue to

remain the same. And to get there, if we need to take a d ifferent path, we must sort of, take that. And in line with that, we have made some of those corrections and adjustments. Our view, like I said, still is that, from a medium to long term, the destination continues to remain the same. This is just sort of a slingshot to correct course and evolve in line with how things are sort of changing. And things do seem to be changing faster than what we imagined them to be it in terms of on consumption landscape or distribution landscape from Q -commerce perspective and consumer

productivity. And that we want to make sure that we look at them all together, do the right kind of hypothesis testing and sort of, build a model which is able to deliver growth even on a brand like the size of Mamaearth sustainably and structurally.

Manish Poddar: Can I ask one more question, if you can, second?

Varun Alagh: Yeah, sure.

Manish Poddar: Yeah. Just to understand, let's say, Mamaearth sale is Rs. 100, of this, let's look at half year basis, just to get some sense, or let's say I am fine with trailing twelve months also. Just to get some sense, in this Rs. 100, there are bits and pieces which should be growing, right? Or there are bits and pieces which would be declining. Just to get some caricature, let's say, if you have to divide the portfolio in, let's say, four or five -broad categories or, percentage of portfolio which should be growing versus declining. I am just trying to understand are there pockets which need to course correct or this is broad based at a brand level. Because I think in the earlier part you me ntioned, somebody mentioned the channel levels. I am just trying to look at more from a, let's say, portfolio product level, so it's possible. Thank you.

Varun Alagh: Manish, my view on that would be like, I would rather let us look at it and figure out or solve where we need to solve the same to generate the right kind of output which will help brand growth and more. I do not think sharing that level of gravity is going to help either you and me. We understand the pockets where those issues are. We are, like I said, taking concentrated approaches to figure out how we will resolve those issues and turn them around. And in a couple of quarters, I think we will be fairly confident in being able to share in what all ar e the big changes that we are making. And implement them at scale to get to where we need to get.

Manish Poddar: Sorry, let's just say, sitting out. How does one judge, let's say the intervention you are taking and let's say the input output of it, other than, let's say, the quarterly results which come out. So, that's where the question was from. But yeah, thank you so much.

Moderator: Thank you. As there are no further questions, I now hand the call over to the Management Team for closing comments. Over to you.

Varun Alagh: No, thank you. Thank you so much for asking these questions. I hope we were able to provide clarity on the interventions and changes that we are sort of looking at. Ghazal and I still continue to be super e

xcited and confident about the opportunity that is ahead of us and our capability as a company to actually capture that opportunity. This is more of a sharpening the saw kind of a moment for us where we are clearly correcting certain structural pieces to make sure that we win structurally and sustainably in this space. And we are very confident that we will really come out with the right kind of answers and execute them in the best manner possible to get there.

Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

Honasa Consumer Limited
Registered Office : Unit No - 404, 4th Floor, City Centre, Plot No 05, Sector -12, Dwarka New Delhi 110075
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Email: info@mamaearth.in ; Phone: 01 1 - 44123544 | Website: www.honasa.in
| CIN: L74999DL2016PLC306016 |

February 19, 202 5

To, To,
Listing Department Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED BSE LIMITED
Exchange Plaza, C/1, Block G, P. J. Towers,
Bandra Kurla Complex, Bandra (E), Dalal Street,
Mumbai – 400 051 Mumbai – 400 001

Scrip Symbol : HONASA Scrip Code: 544014

Sub: Transcript of Investor Call

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the Investor call held on Wednesday , February 12, 202 5 on the un -audited financial results and operations of the Company for the quarter and nine months ended December 31, 2024, is enclosed.

The said transcript is also available on the Company's website at www.honasa.in .

This is for your information and records.

Thanking you,

Yours faithfully ,
For HONASA CONSUMER LIMITED

DHANRAJ DAGAR
COMPANY SECRETARY & COMPLIANCE OFFICER
Encl: a/a

"Honasa Consumer Limited
Q3 & 9M FY25 Earnings Conference Call "
February 12, 202 5

MANAGEMENT : MR. VARUN ALAGH – CO-FOUNDER , CHAIRMAN AND
CHIEF EXECUTIVE OFFICER – HONASA CONSUMER
LIMITED
MS. GHAZAL ALAGH – CO-FOUNDER AND CHIEF
INNOVATION OFFICER – HONASA CONSUMER LIMITED
MR. RAMANPREET SOHI – CHIEF FINANCIAL OFFICER
– HONASA CONSUMER LIMITED

MODERATOR : MR. SUMANYU SARAF – JM FINANCIAL
INSTITUTIONAL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Q3 and 9 months FY '25 earnings conference call of Honasa Consumer Limited, hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is be ing recorded .

I now hand the conference over to Mr. Sumanyu Saraf from JM Financial Institutional Securities Limited. Thank you, and over to you.

Sumanyu Saraf: Yes, thank you. Good evening, everyone. On behalf of JM Financial, I welcome you all to Honasa Consumer Limited's Q3 and 9M FY '25 earnings conference call. From the management, we have Mr. Varun Alagh, Co -Founder, Chairman & CEO of the company; Ms. Ghazal Alagh, Co-Founder and Chief Innovation Officer; and Mr. Ramanpreet Sohi, Chief Financial Officer.

I will hand over the call to the moderator, and we can start with the Q&A. Thank you.

Moderator: Ladies and gentlemen, we'll take our first question from the line of Dhiraj Mistry from Antique.

Dhiraj Mistry: So one question is, on our -- where are we in our journey with our inventory correction in general trade channel, and when do we see that -- in how many quarters it should be done and we can see normalized growth going ahead?

Varun Alagh: Dhiraj, thank you for asking the question. Hello everyone. Welcome to the quarterly call for Honasa Consumer. Dhiraj, to answer your question, the inventory correction that is happening is happening in our distribution system, not in the retail system. And like we had said last time, majority of the correction, almost 85% plus was already taken care of in the last quarter itself. Now the journey has been to gradually scale up the new distribution system, which is something that we have been actively doing.

And our view is, this is the quarter where we have at least been able to, in top 50 cities, appoint the Tier 1 distributors, and we're also seeing direct distribution scale up starting to sort of happen. Over the next couple of quarters, we believe that the full effect of this transition will start coming into play, and the GT system should start coming back.

Dhiraj Mistry: And sir, second question, if you can split your growth, I understand that the Mamaearth is one of the brand which has been largely impacted because of this transition, what kind of growth we have witnessed in non -Mamaearth brand, The Derma Co and all? And how is the growth rate compared to the previous quarter whether, where other FMCG companies been reporting there has been very muted demand in the urban market? And how do you see that panning out for your brands, for the non -Mamaearth brand s?

Varun Alagh: Dhiraj, so for non -Mamaearth brand, the growth continued to be solid. In fact, we have talked about that in our presentation as well, that the younger brands continue to grow at 30% plus

growth at a YTD level. And that's the kind of growth that we've seen during Q3 as well, and these brands have continued to also gain on contribution. Now more than 40% of the company's revenue is contributed by the younger brands, and we're quite happy wit h both the execution and scale up of these brands.

Dhiraj Mistry: So 30% growth rate continues for non -Mamaearth band during the quarter as well, is my understanding right?

Varun Alagh: Yes.

Dhiraj Mistry: And third and last question from my end that the FMCG company has been reporting that there has been slowdown in the urban market, and it may take some couple of quarters for them to recover in terms of urban market demand coming back. H

ave you witnessed s imilar thing or anything different for your brands?

Varun Alagh: See, this is because we are going through our internal transitions. I wouldn't sort of comment as much on the demand scenario. Of course, the metros have been affected by both the combination of wage inflation gaps as well as because of the distribution ch ange driven by quick commerce et cetera. And we are all watching that out, but I would rather not sort of attribute some of the actions that are happening internally to that. What we are doing is largely absolutely by design from a long -term p lay and fundamentals perspective, and we are focusing on just getting our playbooks right. And for us, share gain is the big agenda, and we believe that the right fundamentals we want to continue doing that for years to come.

Moderator: Next question is from the line of Nitin from Emkay.
Nitin: Just want to check like, what I can see is like under project name, we have achieved 100% distributor appointment in top 50 cities, which is actually reassuring. Can you please help me with the distributors count now in top 50 cities? Also, how many have b een appointed in last 1 year? And wanted to gauge your comment, like, if the growth remains slow, do you see any risk of attrition here?
Raman preet Sohi: So I think in the top 50 towns, we've appointed 150+ distributors in the last 6 to 7 months.
Varun Alagh: Nitin, since these are new partners and the quality of business in terms of being the FMCG distributors, they've been appointed largely over the last 6 to 9 months. So, we can assume almost 80% plus of them would be new partners for us.
And these partners, the ROI mechanisms that we have, right, are actually fairly strong because of both the margins and now the inventory levels as well as the credit extended by the company, and we are making sure that we continue to focus on scaling businesses with them quarter -on-quarter, which will give them the comfort of both growth and strong return in their investme nt. We are going to closely watch and ensure that these partners grow along with us.
Nitin: Next question is, again, offline channel, so I just wanted to gauge like how much of our revenue is coming from premium beauty outlets. So this is supposed to be a big channel where, like we had, or we have been having a BAs to drive growth faster. So in t his lens, I want to check how

are we strategizing to drive growth and profitability in this channel? And plus, wanted to gauge how big is premium beauty channel for us?
Varun Alagh: If I understand correctly Nitin, by premium beauty, you are largely talking about those fancy cosmetic counters?
Nitin: Yes, the counter where we have our BAs, beauty advisors.
Varun Alagh: Yes. So actually, in general trade , BA channel is not a very large sort of channel for us. We only have close to, actually less than 500 BA counters, which exist, and they contribute to less than 20% of the GT sales. Rest of the sales comes from -- so chemist is a very important channel fo r us, new modern trade et cetera.
And we're focusing on all of these channels. Of course, modern trade is an important channel for us. So the growth in action is fairly distributed across these. And of course, our focus from next 3 to 4 quarters perspective is on top 200,000 stores in India, of which also 20,000 are far more critical from premium skin and hair care battle perspective. So we have been watching and focusing on them closely and ensuring that we end up giving share in all of them.
Nitin: And last question is with respect to quick commerce. So last quarter, you had highlighted 4% to 5% of sales coming from quick commerce. So I just want to know, like, how much is the contribution now, given the fast growth happening in this channel? And by any measure, we have

any market share data, like, how much of the market share we command in the quick commerce space?
Varun Alagh: Nitin, see, now basis last quarter, we could say that it's grown to about 7% to 8% of our business. It's the fastest growing channel for us as we speak. The market share data we have, but they're more internally measured , but that's a metric that we are very closely chasing. On market share, the data that we have is based on our internal relationships and it is a nondisclosure data, we cannot share that. That said, we very closely are watching that data, and our goal is that our quick commerce market share should be higher than our e -commerce market share, and that's the vision in which we're sort of approaching.
Moderator: We'll take our next question from the line of Mehul Desai from JM Financial.
Mehul Desai: First question, obviously, last quarter you did mention that several initiatives will be taken as far as changing the brand strategy, as far as Mamaearth is concerned. I know, it's a short period since then, but anything that you would like to call out as to if you have done any test marketing or any SKU changes, or any initiatives that have been taken, as far as Mamaearth is concerned? And if any kind of results or qualitative comments that you would like to give in terms of the output that is coming from those changes?
Varun Alagh: Mehul, thanks for asking the question. Mehul, that's absolutely an area of very, very strong focus for us in Q4 and the 3 areas where we are executing those changes have been areas of product, messaging and media mix. And we'll recognize these areas as well as specific actions that we need to take in quarter 3, and then started work on development of newer differentiated communications and started work on further improvement of our form ulations to deliver like

best winning products and as well as to design the right media mix experiments, which can only be done once the messaging et cetera is ready.
All of that pre -work has been done over the last sort of 90 days. It's only in the last couple of weeks that we have now started mounting these pilots, so very early to comment on the outcomes of the same. I think, when we meet next time, we would have mor e structured learnings that we will be able to share with you.
Mehul Desai: And lastly on the margin side, obviously, one of the strategies is also to increase spends obviously, and increase more focused spends on Mamaearth and on SKUs, do you think A&P spends will increase in coming quarters because now the prework is done, and now maybe you will -- the A&P spends might go up in coming quarters? Or you think this 5% EBITDA margin that we have registered in this quarter, this is the base case -- I mean, it should not go below this in case of in the coming quarter?
Varun Alagh: So Mehul, in Q4 specifically, because we are doing a lot of experimentation and these experimentation will involve some wastages because that's what you're trying to check what does not work and what works. So in Q4, we do expect the marketing spends to be higher and more aggressive. And then Q1 onwards, they will again start to normalize. So Q4, it should be seen as in a quarter where we will be doing slightly increased investments to ensure that we are able to learn. And then Q1 onwards, we s hould be sort of back to the trajector y and start improving so
Mehul Desai: Understood. And lastly a bookkeeping question. Raman, what is the tax rate that one should look for FY '25 and FY '26 going ahead?
Raman preet Sohi: Yes, Mehul, so I think this quarter, we have a deferred tax credit . Actually we have t aken a deferred tax asset of about INR 5 crores, which is basically coming in from our subsidiary, Fusion Cosmeceutics, which is basically -- that subsidiary is actually

merging with our business.
We're expecting that to come through by April, May of next year. Also, given the reasonable certainty of profits on that subsidiary, we'll be able to set off the accumulated losses against the future tax number has come in, in the quarter. But otherwise, we'll move back to normal tax rates that you witnessed so fa r in the previous quarters.
Moderator: We'll take our next question from the line of Percy Panthaki from IIFL Securities.
Percy Panthaki I'm sorry, I joined late, so apologies if this has been repeated. But can you throw some light on the Mamaearth brand in terms of the sort of performance YoY? Is it in the same ballpark as what we saw in Q2 adjusted for the one -off?
Varun Alagh: Yes, Percy, it's in the same ballpark because no different actions were taken in Q3. Q3 was a time when we understood and analyzed both from a consumer and our internal investment perspective what was happening and what was going wrong, based on which the pilots and the revised strategies have been buil t into Q4 where we are testing some of those to understand what to scale. And hence after Q4 and Q1 is when we will be able to sort of, we believe we'll be able to come back on a sustainable sort of trajectory based on the refined playbooks that we learn from this. So Q3 is very much similar to H1...

Percy Panthaki: And within the Mamaearth brand, again, the different channels are also at a similar level like GT, for example, was the main issue last quarter in Mamaearth, which saw a big decline, whereas modern trade had seen a decent growth. Online was maybe approxima tely flattish or something like that. So do those trends channel -wise also remain the same?
Varun Alagh: Very similar. And so I mean online continues to be flattish while modern trade we have grown in offtake as well as in shares, and general trade continues to be the place where we declined most.
Percy Panthaki: Understood. And distributors that you have, have you seen any attrition in the distributors? Are any of the distributors sort of have given up their distributorship or anything of that sort?
Varun Alagh: Percy, since the new distribution system is something that we have put into place only over the last 6 to 9 months. So I mean, business as usual, there is no major sort of attrition. In fact, like I was mentioning earlier, our terms of trade with our distributors, be it in terms of the credit extended or the margins is actually much better than industry. And we are confident that as we scale this sys tem, our partners will end up making much better return on investments compared to the industry.
Percy Panthaki: Sure. And just delving a little deeper into this, the GT decline that we are seeing, is it significantly higher on a primary sales basis rather than a secondary sales basis in the sense that are the distributor days coming down and that is why we are seeing this sharp decline? Or is it that ev en on a secondary sales basis, the decline is the same as the primary?
Varun Alagh: No, Percy, secondary is better than primary.

Percy Panthaki: Okay. But still at a decline YoY, right?
Varun Alagh: Actually, the problem is because Project Neev was instituted largely from Q4 onwards, which is when the DMS implementation was rolled out right across the system. And hence, the secondary sales data for the system is not comparable …
Percy Panthaki: What is the other way if I look at the number of distributor days that you have in the system as of December, how many days is that? And is it different from what you had at September end?
Varun Alagh: It has gone down. It is now in the range of anywhere between 30 to 40 days.
Moderator: We'll take our next question from the line of Mudit M. from M3 Investment.
Mudit M.: I wanted to understand what's your quick commerce strategy given your earlier e -com strategy

was to play long tail and keep innovating for new products, whereas quick com is more of a limited SKU business model where repeat purchases drive sales. So how are you going to play this? And what's your take on that? And correct me if I'm wrong, if I'm...
Varun Alagh: So you are right. Quick commerce is a more focused assortment play. That said, quick commerce is also a platform where consumers are discovering new brands. And we have very strong and healthy relationships with our quick commerce partners. We still contin ue to strongly believe that brands are built in the minds of consumers and purchased on platforms. And I think our

focus continues to be on the consumer and using the right mediums to build our brands in their minds. And on platforms, our focus is to ensure that our market share continues to sort of be strong and increase on quick commerce as they also continue to grow
Mudit M.: Sorry to harp on the Mamaearth's growth again. Just wanted to understand if your rest of the business has grown by 30%. What exactly is the growth rate in ballpark figure for Mamaearth? And how do you see that shaping up?
Varun Alagh: So like I mentioned, it continues to be in the same zone as H1, it is on a decline, not a growth rate for the 9 months YTD. Over the next couple of quarters, we are refining the strategy. We are very confident that we will be able to unlock the right inves tment allocation media and messaging combinations, which will help us sort of get the brand back to sort of growth levels, but will take a couple of quarters for us to sort of …
Mudit M.: Right. And continuing on previous participant's question on the distributor level inventory and we -- can you share some qualitative colors on, have -- are there being reorders and the quantum of reorders from the distributor, which gives you reassurance that the secondaries are happening? And could you show -- share some colors on reorders and repeat purchase eventually by end customers?
Varun Alagh: I think the best indicator of end customer demand from retail would be the Nielsen share data that we have provided. If you look at the Nielsen share data we -- in our core categories, we continue to gain share as well as if you look at the STO, which is t he sales turnover ratio, actually, it is lower than the category and has further decline, which means that our stock rotation is faster than the category average and our stock pressure is lower than the category average, which is again a healt hy sign from a brand perspective. And of course, the distributors continue to order on a regular basis.
Moderator: We'll take our next question from the line of Venkat from 3Sigma Financials.
Venkat: And a good set of numbers at least in this challenging market for all other FMCGs. So my question is in the last call, you mentioned that the sales organization is going to be kind of like revamped. And you just mentioned that the trials are happening and you are evaluating. So at the end of t his particular what you call execution, would we see -- are we going to see some improvement in EBITDA and PBT? And what -- can you quantify those numbers?
Varun Alagh: Venkat, thanks for the question. So all the efforts that we are sort of doing is in line with our long-term plans. And we genuinely believe that these pains that we are taking are going to pay off handsomely in the long -term. And our -- the benefits of thi s, of course, will take time to show. But on channel EBITDAs, on profitability et cetera, the impact of these should be fairly large .
Venkat: My next question is on -- I'm hearing that there was a Nielsen report recently that the rural sales have started improving. Are you seeing any improvement in sales if you compare with urban and rural sales mix? Are you seeing any uptick in that? Or is it like flat similar to what it used to happen?

Varun Alagh: Venkat, unfortunately, we are an urban only business largely, almost more than 80% of our sales comes from the top 100 cities, top 200 cities. And hence, we would not be able to comment on the rural sales.
Venkat: Yes. I was interested more from like e -commerce. You don't see those pin codes happening actually from rural, you don't see the demand coming, right?
Varun Alagh: Yes. I mean what is defined as rural in HCCA and NCCS that's actually a very deep pin code against the contribution from those pin codes for our business is very less. And I don't think we should be sort of used as a benchmark for growth there.
Moderator: We'll take our next question from the line of Agam Shah , an individual investor.
Agam Shah : Sorry, I just missed your opening question. So majority of my questions have been answered. But just a quick maybe follow -up, you might have answered. But on the distribution front on the various strategies and whatever steps you have taken from last quart er. So where are we there? I mean, can we say you're seeing green shoots and are we done with it? Will we be done with it or maybe another couple of quarters more?
Varun Alagh: So from a setting up of the fundamentals is what I'd say, yes, we are there. But from a scale up perspective is what we are seeing happening over Q4 and Q1. So it will be right to say that it will take a couple of quarters for us to sort of get into growth mode in that channel.
Agam Shah : So when you say growth mode, so in your presentation, when you said, when the margins from 8% gone to 5%, so when this strategy everything is over, so that time we should get the 8% levels with operating leverage? Or is it fair to assume that, or no?
Varun Alagh: So the timing is something that I would not be able to comment, but fair to assume that within FY '26 itself probably towards H2, we will be able to hit those levels.
Agam Shah : And also, on the breakup -- so how much is Mamaearth of the contribution of INR 500 crores?
Varun Alagh: Like I mentioned, younger brands are now contributing more than 40% to our business. So that's how you can only tell.
Agam Shah : And what was this number YoY?
Varun Alagh: So last year, this number would be in the 35% zone.
Moderator: We'll take our next question from the line of Mudit M. from M3 Investment.
Mudit M.: I wanted to understand given your direct competitor in actives has been acquired by global giant. So would you comment about how would you see this competitive intensity shaping up? And in general, how is the competitive intensity shaping over the younger e-com guys and -- because I have seen the heightened competition of like INR 1,000 to get 8 products and things like that. So could you comment on that, please?

Varun Alagh: Yes. Firstly, I would like to congratulate the Minimalist founders for building a great brand that got a very good outcome with the acquisition. In our case also, Derma Co has had a phenomenal journey. In fact, Derma Co is larger, faster growing as well as better at the top levels compared to sort of where Minimalist is. It's a good performance by both the brands.
Apart from that, competitive intensity in this category is something which is sort of always remained high. It increases in the cycles of, sort of, funding and then sort of becomes more strenuous later on. That's something that we worry less about.
Our focus is always on consumer because we genuinely believe that if you do the right things by consumers, they will reward you, sort of, for our efforts. So, I think our focus continues to be on getting our consumer prework's products proposition right.
Mudit M.: Understood. Also, if you could -- how do you aspire to grow like in medium and long -term, say, 5 -- 3, 5, 10 years? I mean what's your aspiration? Bec

ause earlier, you were tracking growth of like 2x the industry. Now your -- so what's your long -term aspir ations given that you will have a certain portion of mature brands and you'll always keep seeding the new brands. So what's the growth rate that you aspire maybe after fixing all the teething issues? What's your medium to long-term view for the b usiness and your aspiration?
Varun Alagh: Thank you so much for asking that question. It's rare that we get asked about our long -term goals. Our long -term goals remain absolutely intact. We are very confident that after these transitions and figuring out the fundamental playbooks, we will get back to the industry breathing growth that we have talked about.
We are very clear that we need to continue to remain in market share gain mode, especially for the 5 core categories that we have pointed out. And our -- towards the end of the decade, we would like the company to be more than INR 4,000 crores in revenue.
We would like the company to sort of double from here on. We would also like to see Honasa being nationally, sort of, top 1 or 2 player in multiple of the focus categories that we have identified. So all of those completely remain intact

Moderator: We'll take our next question from the line of Kimberly Paes from Envision Capital.
Kimberly Paes: Sir, just a follow -up on the margins. Like you said that next quarter, we expect some aggressive marketing spend. But just what is the longer -term outlook or aspiration on the margins, say, for FY '26, FY '27 once most of the Mamaearth playbook reinventing is sort of done?
Varun Alagh: So from a '26 perspective, we believe we should be back to the '24 levels if you look at the overall year. And then from '27 onwards, we should start sort of improving on that base as we had sort of pointed out .
Kimberly Paes: And sir, this INR 4,000 crores kind of aspiration -- revenue aspiration that you have, do you think that we could get to a double -digit margin by then?
Varun Alagh: Yes, Kimberly, that will be the plan and ambition .

Kimberly Paes: And just one more question. What would the ARR on the makeup brand space right now? I think last quarter, you mentioned it was around INR 25 crores.
Varun Alagh: Yes, it continues to be in the same zone. It's a PMF stage brand, so we are still sort of tweaking what part of the brand, which subcategories, what model because it's also a lower priced brand and hence it is a newer play for us and newer category for us. So we'r e still sort of establishing PMF on that.
Moderator: We'll take our next question from the line of Binoy from Sunidhi Securities & Finance Limited.
Binoy : Can you just help me with the sales mix between the offline and the online channels? And within the offline channel, how much does GT contribute?
Varun Alagh: So actually, the mix varies for different brands. And for younger brands, of course, the contribution of online is more than 90%. And for Mamaearth, the contribution of offline is almost 45%. And of which 40% is modern trade institutions and 60% is general trade .
Binoy : I have a follow -up. Between the channels, online as well as offline, are you -- EBITDA break - even in the offline channel? Or is there some burn?
Varun Alagh: Actually, EBITDA of our offline channel is actually very good. It's actually better than the online business because the allocation of digital marketing media happens largely in the online business. So it's actually better than online business.
Moderator: We'll take our next question from the line of Pooja Kubadia from JM Financial.
Pooja Kubadia: I just wanted to understand what were the margin levers for the gross margin expansion we saw this quarter? Was it driven by the transition that's happening in the distribution channel? Or are there any additional levers?
Varun Alagh: So it is actually l

argely the brand mix change, right? Because the younger brands is -- which are growing faster also have a better gross margin given we are focused in skin care category. So that's the largest lever of gross margin expansion.
Moderator: We will take our follow -up question from the line of Binoy from Sunidhi Securities & Finance Limited.
Binoy : Once your distribution related changes settle down and the sales are back to normal, which is pre-project Neev related changes, right? Where do you think the EBITDA margin in offline channel would settle?
Varun Alagh: I think better to look at some of those things from an overall company perspective. Like we have talked about how that journey should be starting next year to the long -term journey over the next 5 years to get to double -digit margins. I think that's what w e would like to focus on. In general, like I mentioned, offline is better sort of margin channel comparatively. So growth in that should be one of the levers which will lead to improvement in the overall company as a result.

Moderator: As there are no further questions, I now hand over the call to management for closing comments. Over to you.
Varun Alagh: Thank you so much for patiently asking questions and listening to our responses. We'll continue to work on our fundamental levers and make sure we are able to sort of deliver a long -term vision. Thank you. Thank you so much.
Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines

Call: May 2025

Honasa Consumer Limited
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| CIN: L74999DL2016PLC306016 |

May 28 , 202 5

To, To,
Listing Department Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED BSE LIMITED
Exchange Plaza, C/1, Block G, P. J. Towers,
Bandra Kurla Complex, Bandra (E), Dalal Street,
Mumbai – 400 051 Mumbai – 400 001

Scrip Symbol : HONASA Scrip Code: 544014

Sub: Transcript of Investor Call

Dear Sir / Madam,

Pursuant to Regulation 30 of the S ecurities & Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the Investor call held on Thurs day, May 22, 202 5 on the audited financial results and operations of th e Company for the quarter and year ended March 31, 202 5, is enclosed.

The said transcript is also available on the Company's website at www.honasa.in .

This is for your information and records.

Thanking you,

Yours faithfully ,
For HONASA CONSUMER LIMITED

DHANRAJ DAGAR
COMPANY SECRETARY & COMPLIANCE OFFICER
Encl: a/a

"Honasa Consumer Limited
Q4 FY '24 Earnings Conference Call "
May 22, 202 5

MANAGEMENT : MR. VARUN ALAGH – CO-FOUNDER , CHAIRMAN AND
CHIEF EXECUTIVE OFFICER – HONASA CONSUMER
LIMITED
MS. GHAZAL ALAGH – CO-FOUNDER AND CHIEF
INNOVATION OFFICER – HONASA CONSUMER LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Q4 and FY '25 Earnings Conference Call of Honasa Consumer Limited hosted by JM Financial Institutional Securities Limited.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.
I now ha nd the conference over to Ms. Poo ja Kubadia from JM Financial Institutional Securities. Thank you, and over to you.
Pooja Kubadia : Good evening. I would like to welcome you all to 4Q FY '25 and FY '25 Earnings Conference Call of Honasa Consumer Limited. Today on the call, we have Mr. Varun Alagh, Co -Founder, Chairman and CEO; Ms. Gazal Alagh, Co -Founder and Chief Innovation Officer; a nd Mr. Ramanpreet Sohi, Chief Financial Officer. We will start the call with opening remarks prepared by the management followed by the Q&A session.
Over to you, Mr Varun.
Varun Alagh: Thank you. Hi, everyone. Welcome to the Q4 performance update for Honasa. I'm going to spend the next few minutes just taking you through the update that we've shared, and then we will open it for your questions. Starting with the first segment of our pres entation, which is basically crystal gazing the future of I-Beauty.
It's a segment that we've been sharing for the last 4 quarters as well on what our view of how Indian B PC segments are going to shape is. And today, we're going to talk about hair care, which we believe is a large category that's growing -- and there is a lot of growth that's going to happen because of premiumization in this segment.
And our view is shampoo conditioners, hair styling categories which are going to grow faster than others in the segment. And even within these categories, we believe there are 4 areas which are going to drive premiumization.
Within shampoos and conditioners as a category, there are 3 clear emerging spaces where the consumers are willing to give premium for brands. The first one which has already existed and has been taking this share has been the naturals segment. Naturals as a category has actually grown 2x compared to the rest of the category over the last 5 years as well, and we expect naturals to continue to take share from non -naturals over the next 5 years as well.
There are 2 newer spaces and one which has already emerged, which is the space of professional hair care, be it in salon or at-home use. This is also a market which we expect that will grow much faster in coming times and will help premiumize the category. We have Blunt as a brand which plays in this.
And the second big trend that we see shaping over the next 5 years is the way actives have taken share in skin care as a market. Scalp is the new skin , hence, actives in hair care is a trend that we expect to see over the next 5 years. And our brand Derm a co. will participate in the category

in that trend. And overall, I think premiumization is something that will continue to drive this category.
Moving on to our financials of quarter 4 and FY 25 we have been working on certain fundamental changes and improvements, be it in our distribution system or in our investment allocation. We've started to see green shoots which are showing up and which are now visible in our results as well. In Q4, Honasa grew by 13.3%, a healthy double -digit growth.
And the UVG growth, which demonstrates our consumer traction was healthier at 21.2%. Gross profit has improved Y -o-Y and EBITDA remained stable compared to last quarter, even after some of the experimentation that we have done in this quarter, and we gener ated almost INR74 crores of cash bein

g a negative 24 days working capital for the company.
From FY '25 perspective, we've grown at about 7.7% to deliver INR2,067 crores in revenue. Gross margin improvement has been there. Profit did take a hit because of the project Neev

execution and corrections that we had to sort of take. But overall, I think some of those fundamental changes have actually added beautifully to the company's future, and we're already seeing green shoots of the same.

If you were to double click on some of the highlights of the quarter, the first that I would start with is our core brand Mamaearth. This has been a strong focus area for us, and we made certain changes to make sure that the brand gets back on its growth path, which is where we would like to see it.

We have decided to focus on a few big categories, which is facewash, shampoo, sunscreen, moisturizer and baby. We also changed our investment allocation mix towards this and deployed a better media mix which is more effective and happy to share that we are seeing early green shoots of this change in strategy.

And these focus categories, which contribute to about 70% to the brand in Q4 itself in channels like e -commerce and modern trade, where you see the impact of any of your actions earlier than other channels where there can be a lag and have actually grown in double digit for Q4, which is a healthy sign.

We will just remain consistent with what we've been doing and also sort of continue to drive our distribution and product superiority agenda and we are very confident that over the coming year, we'll be able to turn around the brand fortune as we have sort of planned.

This is also visible, of course, in the retail Nielsen shares. Brand has gained about 100 basis points Y -o-Y in face wash as a category becoming top 5 brands in face washes basis Nielsen in the offline market as well now. Even in shampoos, we have gained 22 basis points in value market share. So the changes that we have done in our GT system are also sort of starting to stabilize and show up in some of the Nielsen shares.

Coming to the GT distribution system update and overall offline update, I think we are seeing the changes now deliver stable, consistent sort of outcomes. It's a step -by-step journey, and we need to build this back inch by inch, but we are clearly seeing t hat happened the teams have been

consistently adding direct distribut ors. For FY '25, our direct distribution has now reached about 102,000 outlets, which used to be at about 45,000 to 50,000 before we started this year.

All of this has happened because of the direct distribution transition that we have done. Our direct distributor contribution has gone from 38% to 71%, which is what we had planned for as we ended the year. Our modern trade offtakes also in Q4 on account of the investment changes that we did have become healthier at about 20% plus for our key accounts.

Younger brands, of course, continue to drive good growth momentum for FY '25, young brands have grown at 30% plus Y -o-Y. There is new categories and portfolios that each of the brands are building, and we are focusing on making sure that they win and build in these portfolios, both from product superiority and right consumer insigh t.

Derma Co continues to move from strength to strength. It is the largest brand in the country and continues to grow strongly. This quarter, because of the improved distribution system where we clearly called out that improving that pipeline will also allow us to bu ild our other newer brands as they scale.

We have actually seen that goodness coming in Derma Co now in offline, which is GT plus MT in March has done INR100 crores ARR. This is a healthy sign that the distribution system is able to distribute more brands as well as the brand is seeing traction in offline, and that will also become one of the levers of growt

h for the brand in coming years.

Of course, online continues to enjoy the consumer love that it was in terms being the best seller. It's face cleanser business, which was the third category apart from Serum and sunscreen that we were building has now grown about 100% in Q4. Innovation capability continues to be our strong area of focus. But now we are deploying it very sharply across our focus categories for Honasa to drive both newer partitions ingredients as well as to drive premiumization.

And we have done some really breakthrough innovations in the prestige category to build premiumness for our brands. And these are first to India innovations. Derma Co the first Indian brand to launch a micronedle -based serum shot and the first brand to launch Vitamic C -based ampoule kit in serums.

Dr. Sheth ’s is the first brand to launch Pdrn as an active in India. So clearly, we are looking at how we can bring the best of global actives and technologies to India and also at a prestige pricing for our brands to become more premium.

R&D and product superiority continues to be an agenda which is very high priority for the team. This year, we've done a fair bit of strengthening across our R&D capabilities via the acquisition of Cosmogenesis and then further strengthening our R&D muscle. It's already showing in our product improvements and superiority that we've been driving.

These are 2 examples of what we've been able to achieve over the last 12 months with this new R&D method. We have improved our serum by working on a new technology, which is based on certain penetration enhancers and using nano particle actives sizes, which is shown in

consumer preference as well where in blind testing, Derma Co serums were preferred significantly over leading Indian brand and a leading international brand.

Also in cleansers, Mamaearth gel face washes have finally beaten the market -leading gel face washes in blind testing , again, something which is an area that is going to be an area of continuous focus for us. And we are not stopping here. We will continue to work on these areas and further improve and extend these gains as well as deliver them in other different categories as well.

AI is something which is clearly not a buzzword anymore. It's become a genuine technology that is going to make a significant difference in terms of how organizations can become both more effective and more efficient. Agentic workflows is something that at Honasa, we are taking extremely seriously, and we have got a dedicated team who is working on different agentic workflows, which can help make our different functions more effective across marketing, supply chain, finance, etcetera .

These are some of the examples of things which we've already executed on skin analyzer, purchase assistants, which can actually talk to consumers in any language and answer any kind of questions around products . Social listening has been taken to a next level based on the learning models . Content evaluation and generation, which is being done by generative AI as well as in customer service, multilingual capabilities and have already been moved. I think this is an agenda where in this year, we want to focus a lot on and build a lot of internal Agentic workflow tools, which will help our teams execute better.

Aside this, our purpose agenda continues to remain strong. As our brands grow, their contribution to the community also grows. This year, we expect Mamaearth to hit the 1 million mark that we had sort of set out 4, 5 years back when we started this initiative. Rest all the brands also continue to touch the communities across India and add value in whatever little way we are able to. With this, I come to the end of the presentation. Thank you so much for listening and would love to answer your questions.

Moderator: We will take our first questi

on from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: I just wanted to understand the Mamaearth growth on a primary basis, has it turned the corner and come to a positive Y -o-Y growth because last couple of quarters, I mean, the growth was -- I mean, it was a decline rather than a growth. So have we reversed that? Or are we still marginally negative?

Varun Alagh: Hi Percy , as I mentioned, in Ma maeart h, our entire focus is now on certain set of focus categories. In those focus categories, yes, our growth is positive, and it is in double digits in specific channels like e -commerce and modern trade . Those are the categories that we will continue to sort of focus on, and track and we'll continue sharing updates on those categories as a sum with you going forward as well. Those categories currently contribute to 70% of the brand. And we believe with the kind of efforts we want to put in over the next 2 to 3 years, they should get to 85% to 90% of the brand's contribution. So that's the strategy implement and that's the

early results that we've seen because we have only implemented our efforts starting February onwards.

Percy Panthaki: Got it. Got it. So Mamaearth as a whole, including the non -focus categories, when do you think that comes into a positive Y -o-Y growth territory? Will it be like in 1 or 2 quarters? Or could it be longer than that in your view? Because I understand the str ategy overall, and I agree with that.

But just the fact that the non -focus parts declining does put a pressure on the overall top line growth. So just wanted to understand from that point of view that as a brand as a whole, when does it come to a positive Y -o-Y growth in your view?

Varun Alagh: It's difficult to comment. I wouldn't even want to sort of comment on that because the math is that these focus categories where we are putting in the effort, they did show the right kind of green shoots. And now it's only been sort of 2 to 3 months of execution of those strategies. Hopefully, the growth momentum in these categories continues to become better and the decline in non -focus categories , we can't comment on how much or how that will take shape. But from

a strategy perspective, I think our whole goal will be that these focus categories continue to grow in double digits as we move forward.
Percy Panthaki: Got it. On the other brands, apart from Mamaearth, you've mentioned that they are at 30% plus. So just a small clarification here. Is it that as an aggregate, they are 30% plus or each of them individually also is 30% plus?
And if there is any sort of differential performance in terms of some of the brands sort of doing significantly better at 50% and some of the brands being slightly slower at, let's say, 15%, 20%. I mean, without quantifying, if you can just call out any su ch differential, if at all, there is one, that would be great.
Varun Alagh: No, the number actually refers to aggregate. We're not disclosing brand level performance. But of course, that aggregate is arrived by certain brands being above that and certain brands being below that.
Percy Panthaki: Got it. Got it. No, my only question was that do we feel that each of these 4 or 5 different brands are sort of doing well on their own? Or is there any of these brands where you think that this is a little bit iffy in terms of that particular brand's grow th trajectory?
Varun Alagh: Percy, I think every brand has its own journey. Every brand sort of goes through a different kind of category creation and development. So our agenda depending upon what kind of category and proposition the brand lies and how consumers sort of traction on that sort of category or trend line is . Our investments also vary according to that and the growth will also vary according to that. as long as the overall cohort sort of continues to do well and ga

in share, I think that's what we should probably watch on.
Percy Panthaki: Fair enough. Last question is on the GT sort of disruption that we had. I mean, where are we on that now? And would you say that stock levels have stabilized or are very close to stabilizing

and, let's say, from next quarter, within GT, we would have primary equal to secondary or it will take a few more quarters for that?
Varun Alagh: Yes. in terms of transition , In terms of our inventory levels cleanups and all of that is completely done. And now as we move forward, it's just about building on that strength. And every quarter, we'll continue to sequentially build on that strength.
It's a bit of a physical inch by journey and where a lot of on -ground execution is required to get better. But as we have shown in the last 3 quarters also how the team has been able to build direct distribution, I think that agenda will continue to thrive over the next 2 quarters as well.
Percy Panthaki: Yes. My comment was just in the context of your comment in the PPT saying secondary has grown faster than primary, which means that you're still sort of bringing down stock levels with the distributors. So is that something that will still happen over the next few quarters? Or we are at the end of that process now?
Varun Alagh: Yes. I mean we are almost at the end of that process. Some of that secondary -primary gap is BAU because on an ongoing basis, there is also sort of damage expiry that you take back and sometimes secondary -primary gap is because of that also. But now it's not because of inventory levels, our inventory levels are absolutely in the right range. So going forward, that is not something that we see as a n issue.
Moderator: Next question is from the line of Vivek M. from Jefferies.
Vivek M. : So Varun, continuing from the previous participant, so in terms of journey, what we saw second quarter was probably the trough and what you answer percy in terms of inventory levels are fine now. So do you think the -- let's say, the second quarter marked the trough, things got better in third quarter, even got further better in fourth quarter.
From here on, the cleanup bit is done and now it's more around growth. Is that fair from your energy perspective, from management's time and bandwidth that is where you will be spending time? Or the other way of putting it is, are there any areas which require serious attention or it's more around growth that you'll be focusing on?
Varun Alagh: Vivek, so I think the management bandwidth is now fully dedicated to getting our strategy into execution. Our strategy has two parts to it. The first part was where to play, which is identifying the right categories and partitions in which we want to play. And second was how to play.
I think the where to play piece of our strategy, we clearly have been able to arrive at and that part is done. The how-to-play part is where we believe we are 70% there. All the experiments, pilots, etcetera , that we were doing and most of them have clearly sort of delivered learnings. We are 70% there.
I think over the next 2 to 3 months, we should further strengthen the how -to-play strategy and sharpen that. And then onwards, it's actually just pure execution of that, which we intend to do vividly and make sure that we get to our long -term goals that we had set out for. So that's how we look.

Vivek M. : Okay. That's good to know. In terms of FY '26, both on growth as well as margins for, what are your, let's say, expectations? I wouldn't say guidance, but what is it that you're thinking right now for FY'26?
Varun Alagh: The plan would, of course, be that we deliver a double -digit growth in FY '26 in terms of value. We intend to continue to use every quarter to build that; go from strength to strength in term

s of our execution. Even in terms of EBITDA, of course, compared to last year, of course, we will see significant improvement by about 250 basis points over last year in FY '25 . And by the exit, we hope in terms of EBITDA profile, we should get back to our FY '24 levels
Vivek M. : Interesting. Interesting. And the other bit on TDC, where TDC is in its journey, this INR100 crore ARR is in the offline channel is probably way ahead , way-way ahead of where Mamaearth was. Is my understanding correct that whatever measures you have taken on the distribution side on the offline bit has obviously helped or corrected Mamaearth, but it actually serves as a platform for, let's say, TDC now and th en Aqua Logica and other brands in future?
Varun Alagh: I would say absolutely the correct understanding, Vivek. That was the whole intent of making those fixes going to that pain and building out this distribution system as well. This is supposed to be a pipeline for all of our brands in the future. And the he althier, cleaner, broader that pipeline, it will be able to carry more business into the offline distribution channels, which we are already starting to see. So yes.
Vivek M. : Okay. Got it. And last question, Varun, is Mamaearth, when you say the focus categories, which is 70%, that has grown double digit. Is that you're talking about the basket as a whole? Or you are talking about this on e -commerce and modern trade, this 70%.
Varun Alagh: So this 70% on e -commerce and modern trade has grown in double digit. And this is only in Q4, right, whereby February is when we really started executing our strategy. So I would call it a good green shoot because these are the channels where the impact of whatever you do shows up earlier while other channels might have.
Moderator: We'll take our next question from the line of Mehul Desai from JM Financial.
Mehul Desai: Congratulations on a good set of numbers. First question, Varun, just on the A&P spend side, how do you see your A&P spends going into FY '26? What we have seen as a percentage to sales in Q4, do you think that is what is will be maintained? Or do you see leverage benefit coming in on the A&P side also in FY '26, '27?
And second, apart -- I mean, I understand that, obviously, Derma Co is doing fine. Other brands, other newer brands and other than Derma Co , which are the -- I mean, if you have to take any 1 or 2 names which you think that can see a journey like Derma Co in FY '26, '27, which would be that brand? These are the 2 questions from my side.
Varun Alagh: Yes. Thanks, Mehul. So from an A&P perspective, like we have mentioned in the past, that's the bucket where we see potential leverage and we will drive effectiveness to that end. And hence, if there is EBITDA improvement that will happen, that will be one of the buckets, which will add to that improvement.

From a perspective of your second question, which is the way Derma Co has performed, which are the brands -- I mean, honestly, our attempt will be all our brands move in that dimension over the next 3 to 5 years.
And we are very confident that the spaces that we have chosen are spaces that are very consumer -oriented and our investment in these brands should also pay out with a similar kind of trajectory in these brands that Dermo has seen. So attempt will be on all fronts. Let's see which horse sort of break through for us.
Mehul Desai: Sure. And just on Derma Co , if you can give some flavor on how was the margin trajectory for Derma Co ? And last question would be on what are your targets on the distribution expansion on the offline side for FY '26?
Varun Alagh: So from a derma co perspective, last year was the year when the brand became EBITDA neutral. This year, the brand has become single -digit EBITDA positive. And I think we will continue to strengthen its EBITDA pro

file going into next year and the next, that 's the trajectory that we want to see for the brand. Your second question around -- could you repeat that?
Mehul Desai: Your target for the distribution.

Varun Alagh: Yes, sorry. Yes. So in the coming year, we would like our GT channel to add at least 50,000 more outlets into our direct distribution from a 12 -month unique coverage perspective. So we would want to see this number which is 100,000 to get to 150,000 as we exit the next year , 12 months from now .
Moderator: We'll take our next question from the line of Neil Doshi, an Individual Investor .
Neil Doshi : Actually, I wanted to ask with regards to more direct -to-consumer Mama Earth stores and shops, which can be made open in malls, etcetera , high streets. So what is the view regarding that as well as export contribution with regards to Middle East and other regions that we export to.
Varun Alagh: We have our EBO channel. Mamaearth currently has over 100 stores across 20 -plus cities in the country, most of the A-malls and prime malls locations Mamaearth has EBO stores. And these stores serve both the purpose of bringing our larger assortment and categories to life in the physical world as well as purpose of building imagery for the brand. But we don't have significant plans on sort of using that as the co re business or distribution channel , the expansion is fairly limited on that front. Our distribution and business channels continue to be GT , MT and online, which we focus on.
Our international focus also while it continues to be there as a business, and it's not a key management sort of focus and agenda. Our focus continues to be on India market and cracking that for Honasa overall and building brand for Indian Gen Z and millennials. And that's what sort of will remain focused. We do get demand from other markets, and we have a strong international team that services that demand, but that's a bout it .
Moderator: We'll take our next question from the line of Jitendra Arora from ICICI Prudential Life Insurance.

Jitendra Arora: Varun congratulations on the set of numbers you delivered this quarter. My question is more around understanding the construct of the growth, given that we have called out a top line growth of 13%, whereas UVG growth is 20%. And my own perception was the g rowth is getting driven by brands like the Derma Co mpany, Aqua Logica, which my perception was are more premium in nature. So just want to understand this gap between UVG and top line growth.
Varun Alagh: Thanks for asking that question. So there are actually two sort of core reasons of why this sort of growth is higher in terms of UBG versus. We have 2 types of businesses, right? We have a B2C business and we have a B2B business. And our business on market places like Amazon, Flipkart as well as our D2C business falls in the basket of B2C businesses.
And then the entire business of modern trade, quick commerce, GT and falls in the space of B2B business. Now B2B businesses have lower realization on revenue compared to B2C businesses. So for each unit sold, you make lesser revenue in B2B compared to B2C. And the contribution of B2B businesses for us has been going up.
Of course, in e -commerce, it's because of the quick commerce growth that has been happening, and that's the B2B business transition from an e -commerce platform that we've seen as well as beauty platforms growing faster. That's the transition that has also led to B2B to B2C.
And then in offline side, again, because MT has grown well as well as GT sequentially has done better. And those are contributing to a shift towards more B2B -driven growth, which is why UVG is higher than value.
Jitendra Arora: Okay. One more question would be, Varun, given that you called out that we are amongst the top 5 brands in shampoos, if I'm not mistaken, right?
Varun Al

agh: Yes sir.
Jitendra Arora: And we've also improved our market share in shampoos by around 20 bits.
Varun Alagh: Yes. Yes.
Jitendra Arora: So just want to understand, given that shampoo large volume and maybe slightly lower value will also be through low unit packs where perhaps we may not be participating as of now. So if we were to look at where we are participating, how would the share be?
Varun Alagh: Actually, the shares that we mentioned is in bottles only. And the share that we talk about actually is in bottles because LUPs is not in area that we participate in. So that's the share that we sort of talk about.
Moderator: We'll take our next question from the line of Ishpreet Kaur from Relax Capital.
Ishpreet Kaur: I just wanted to understand the advertising number that you shared of INR766 crores. Is it possible to get a breakup between the spends online and offline?

Varun Alagh: We do not share such breakups. And there is -- actually, there's no online or offline spends because these are A&P spends. And a large part of our spends are in the digital mediums and some, of course, with our customers. So this is the sum of all of that.
Ishpreet Kaur: This also includes the discounts or the offers that are there on the product?
Varun Alagh: Not really. The discounts and offers, etcetera , are net off from our revenue.
Ishpreet Kaur: Net revenue. And how is this number likely to be like going forward? Is it going to be in line with the revenue or lower growth?
Varun Alagh: Like I mentioned, this is a bucket from which we see leverage in the coming years. And hence, we want to drive effectiveness and make sure that as a percentage, it keeps going down over years.
Ishpreet Kaur: Okay. And is there a metric maybe for us to better understand as to the spends that we do on the digital marketing as to how much is the spend and how much is the kind of sales? Is there any metric for us to better understand this?
Varun Alagh: Not really. We are investing in brand building, which is a long -term investment to build these brands and awareness of these brands. And that's the core investment in this business, and that's what we are doing.
Moderator: We'll take our next question from the line of Chockalingam from ICICI Prudential Asset Management.
Chockalingam : Varun, how are you all thinking at the Board level about dividends as a policy and how to balance because you guys are generating decent amount of cash flows. So how are you all thinking about it?
Varun Alagh: So honestly, don't have a definitive answer for you yet. At this point of time, we would love to also find opportunities of allocating this cash and investment towards more growth opportunities. Of course, in due time, given the company will continue to ge nerate cash, we will come together and deliberate on this and share a view as it forms on how we would like to distribute that cash …
Moderator: We'll take our next question from the line of Manoj Menon from ICICI Securities.
Manoj Menon: Three quick clarifications from my side. One, I'm sorry if I missed this in your earlier comment while I was listening. The Mamma online, offline piece, particularly in the offline, where are we currently? And just on the Mamma piece because that's where w e started off with and the rest of the brands are like Dermo Co , etcetera , happening currently or rather in the last year or so. Just the online offline piece, some numbers are heard about, if I remember correctly, I think 70% is through dedicated distributors versus, I think, 30 -odd percent earlier, etcetera. Just some of those journeys and how do we look at the milestones you have for the next 12 months on the off-line distribution to begin with? That's the first one.

Varun Alagh: So from an offline distribution perspective

, again, our focus will continue to be on the focus categories that we have called out on Mamaearth. In modern trade, these categories have already started showing good growth, like we said, we are in double -digit growth in Q4 itself.
In GT also sequentially, they are getting better, and we'll continue to track them sequentially and continue to build on them. And every quarter, the focus will be that we further enhance distribution of these focus categories in both GT as well as drive d ouble -digit growth in MT.
Manoj Menon: Varun, is it fair to, let's say, make a statement of hypothesis that material part of incremental growth for Mamaearth will now will actually come from offline? Adjusting for obviously, I'm not concerned too much about the one -offs for the next few quarter s, maybe even for a year of the defocus, etcetera , that's a transition.
Adjusting for that on a like -for-like basis, is it fair to say that for the Mamaearth as a brand in totality, let's say, a significant portion, if I have to put a number there, let's say, 80%, 90% of the incremental growth will come from the execution in o ffline, particularly in GT, again, like -for-like without taking, let's say, a normalized growth for a GT -- sorry, for an MT or an e -com?
Varun Alagh: To be honest, Manoj, our objective would be that our 3 channels of focus in terms of growth are e-commerce, GT and MT. We would like the focus categories to grow in double digit across these three channels, not only one.
And like we had highlighted the investment allocation piece would not only deliver healthy growth in offline, but also help us deliver that growth in e -commerce, which is also a sizable channel for the brand. And hence, I do believe that apart from offline , e-commerce also the focus categories will deliver double -digit growth going forward.
Manoj Menon: Okay. Okay. Okay. Fair enough. Secondly, Varun, maybe just about a year back, you had, let's say, experimented with low unit price packs at the price point, let's say, relevant for what Mamaearth stands for. Let's say, things close to 12 months now, if not longer. What's been the, let's say, learning from those experiments? Is it worth ramping up or it's?

Varun Alagh: No, actually, very healthy learning and a very relevant sort of question as well. Like, for example, to give you a reference, in face washes, most of the brands which are bigger than us in terms of share today, the 50 ml to 100 ml ratio of is skewed almost 3x towards the 50 ml pack. While in our case, currently, the pack is actually smaller than. In the last 1 year, we have seen a very good traction on our execution on that pack.
Of course, it got a little disturbed because of our execution breaking down because of GT changes, etcetera . And now that we are back to that early traction in PMF is actually established. That's actually the core focus area in terms of road and that we will be driving with because we clearly see a lot of headroom in those small packs that we have launched, and we'll continue to double down on them. 4
Manoj Menon: Understood. Can I take a few more questions? Is that okay? I need to get back in the queue?
Varun Alagh: You can...

Manoj Menon: Okay. Varun actually, let's say, take -- let's say, again, 6 to 9 months back, there is one comment about, let's say, the -- in the learning cycle, the necessity to increase the salience of Euro products for Mamma Earth in offline. Are you -- along with th e segments you want to operate in, that's probably a marketing decision. From a sales vector point of view, have you now, let's say, are you clear about these are the, let's say, SKUs for each of those segments in Mamma Earth as we speak? Or i s it still in an active mode?
Varun Alagh: Manoj, like I mentioned, I think the where to play was the work that we were doing for the last 6 months. I think a lot

of clarity has emerged, right, on that front. We are very clear about a few hero SKUs, be it in facewash, be it in shampoo, be it in be it in moisturisers that we want to drive and build.
And some of them are already scaled and we are just doubling down in terms of growth and share on them. And some others are very young and new that we've sort of introduced to get into a certain partition. Those will be build journeys as well as within the se categories, we have recognized a few partitions for the brand and where the brand currently is either not present or very weak. And those are partitions where we will innovate with a winning mix and commit to building them over the next 3 to 4 years. So that's how we see that...
Manoj Menon: Okay. Last two questions or clarifications. Any changes to the customer acquisition cost which you have to make in the last 12 months, again, on a like -for-like basis? And how do you see that -- the reason I'm asking because the comment about, let's say, 4 Q FY '26 margins is where it should be similar to FY '24. I believe that you alluded to this because FY '25 had one -offs.
So adjusting for that, probably it's better. I'm just trying to understand is, given that, let's say, if you grow double digits, there should be some leverage, which should also kick in. Given that, let's say, within that, let's say, if offline outpaces, l et's say, the other channels, again or the GPU is what I mean in offline, again, it should also add to margins.
So is there any changes to the CAC or let's say, there is a willingness probably to spend more on the newer brands? How do I think about the margin algorithm here linked to CAC?
Varun Alagh: Manoj, we do not honestly think in terms of CAC because we are a fairly multichannel sort of brand strategy. We think more in terms of brand awareness, reach and frequency for our brands and investing in brand -- of course, the reality has been that the yo unger brands have been growing faster, and these are brands which do require higher A&P spend because they are young, they're 3 to 4 years old and hence, the awareness is low.
So that's something that we are investing in building and we will continue to invest and build.
And even from a channel perspective, while GT continues to get better. But given our young brands are still 90% online, that growth is largely driven from onlin e as a segment. So there, the investment continues to be strong in terms of driving relevance.
And that's how I would suggest you see. But yes, that's an area which we do see leverage arising out of as channel mix, brand mix as well as effectiveness of comes into play over...

Manoj Menon: Understood. And lastly, a creditable performance team for, let's say, improving working capital by about 7 days, right? I mean from minus 11 to minus 18 is what I saw after the results came if I got into the call. If you could just talk about -- in fact, i t's a very good performance given what has happened to the channel mix during the year and probably the other focus areas you might have had as the top management.
If you could just help us understand what are those drivers which was -- which, let's say, the

unlocks which helped you achieve this? And let's say, how much more you could do to take out
in the medium term, probably 2 to 3 years?
Varun Alagh: Manoj, you're asking about working capital efficiency, right?
Manoj Menon: Yes, that's right.
Varun Alagh: Yes. So yes, I think from a cash generation perspective, I think Q4 obviously has been a good quarter for us, both from a profit perspective and also working capital improvement generation.
it's a mix of, of course, how our channels have scaled and also ef ficiencies from a receivable cycle and extending the payable cycle in some cases.
So I think that has been a consistent focus for the last 3, 4 years, and I think we've had some

directional improvements there. And hence, what I see is that this is probably a trend which would sort of -- it will not probably be difficult to continue from here. We would want to retain the cash generation cycle at these levels as we move forward. Optimization on the inventory side has happened during the quarter, which has led to better for us.
Moderator: We'll take our next question from the line of Nitin Gupta from Emkay.
Nitin Gupta: Just one question. How are we going to go about around 30% of your non -focus categories under Mamaearth?
Varun Alagh: Nitin, I think strategically, we're just activating them, serving them, being tactically present wherever the sort of be it in online or offline these categories exist. We don't intend to invest marketing monies in them and sort of that's how we see it in terms of that cluster size also, we want that contribution to reduce from 30% to 15% and contribution of focus categories to increase significantly over the next 2 to 3 years. So I think new investment, tactical availability is the only thing that we expec t to do on the categories.
Nitin Gupta: So this means like a gradual sort of reduction in the portfolio rather than rollback of certain category offerings?
Varun Alagh: Yes, Nitin. In fact, it's not really roll back. I mean, to give you an example, a category like body lotions, which is a non -focused category. Now in season, because the brand has natural traction and awareness and we have relationships with our modern tra de accounts, there is demand that comes in for that category, we just serve that demand .
I mean it won't grow, it might even sort of not stay where it is due to which if the brand grows and it stays where it is, the contribution will keep sort of going down. But it's a category that

will generate that gross margin, which we will invest back in the focus categories to win back share and then I think that's how we see some of that.
Moderator: We take our next question from the line of Mudit Minocha from M3 Investment.
Mudit Minocha: Great bounce back from last quarter. Just a few questions. I wanted to ask what is your like next year growth revenue and EBITDA guidance, then I'll go to next 1, 2 years.
Varun Alagh: Honestly, we're not sharing any guidance from our next year perspective.
Mudit Minocha: Right. So on the serum category, is the category still growing 30% plus? And how is our share shaping up? And how do you feel about serum category in the next 2, 3, 4 years?
Varun Alagh: We're actually pretty bullish about that category. We have talked about that category in one of our presentations in IT as well. It's still -- we expect the category to grow at close to those 30% kind of numbers in the next year as well. And we want to mak e sure as a company, we gain share in that category.
So we want to grow faster than that in the category. And we will put all our sort of efforts. We've already launched a superior product portfolio to take on that category. Now it's more about communicating to consumers and ensuring excellent execution to g ain share in that.
Mudit Minocha: Right. So in your presentation, you have said that your secondaries have been good, better than primaries. And just wanted to understand from the new set of distributors that you have enrolled, how many of them have placed repeat purchases? And how many of you are confident that these have built a decent franchise in the cities?
Varun Alagh: I think that's honestly a monthly exercise which sort of continues to happen. The fact that our over dues are nail, the fact that our secondaries continue to sort of climb and GT distribution continues to climb from a direct perspective and are all signals that these new partners are fairly strong and stable in helping us deliver our execution agenda.
From a perspective of quality, like we had sort of mentioned,

I think 70% to 80% of our sales
are in green in terms of the scorecard and quality that we expect from our partners and balance is work in progress that we will keep doing over the next few year s.
Mudit Minocha: On quick commerce, if you are tracking your market share versus peers, is your market share in quick commerce per se better than the incumbents like the large ones. So to just directionally say that your presence in quick commerce is better or you're able to crack this channel better?

Any nuances that you have picked or your focus there?
Varun Alagh: Actually goal as well as North Star metric is more internal there because it's a new shipping channel. And we wanted our shares to be higher than what our overall e -commerce shares are. And that's the metric that we are chasing. In most of the categories a s we speak, our shares in QC are actually higher than our overall e -commerce share. So that's a healthy sign because if the channel grows, our overall share will sort of grow faster. So that's the metric that we are tracking.

Mudit Minocha: Great. And if you could also elaborate about the few experiments that you are trying in different geographies and any color that something is positively shaping up and that you want to take it to them in the pan country, just for our understanding. That's my last question.
Varun Alagh: Like I mentioned, I think there are so many of them that we tried, I won't be able to sort of share elaborate details. But the fact that Ma maearth where most of those were done has seen certain green shoots in our core channels and focus categories points to the fact that these experiments have been showing positive results.
Some of the experiments still continue to be on. We will learn from them over the next 2 to 3 months based on which, like I said, we will have a holistic effective how -to-play playbook that we will deploy in coming quarters to continue winning in the market.
Moderator: As there are no further questions, I now hand over the conference to management for closing comments. Over to you, sir.
Varun Alagh: Thank you so much for all the interesting questions. Thank you.
Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

Honasa Consumer Limited
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| CIN: L74999DL2016PLC306016 |

August 20 , 2025

To,
Listing Department
National Stock Exchange of India Limited
Scrip Symbol : HONA SA To,
Listing Department
BSE Limited
Scrip Code : 544014

Sub: Transcript of Earnings Conference Call held on August 12, 2025

Dear Sir/Madam,

Pursuant to r egulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed a copy of transcript of Earnings Conference Call, held on August 12 , 2025, on the unaudited financial results of the Company for the quarter ended June 30, 2025 .

This disclosure will also be hosted on Company's website viz. www.honasa.in.

Kindly take the same on record.

Thanking you,

Yours truly,
For Honasa Consumer Limited

Gaurav Pandit
Company Secretary and Compliance Officer

Encl. : As above

"Honasa Consumer Limited
Q1 FY26 Earnings Conference Call "
August 1 2, 202 5

MANAGEMENT : MR. VARUN ALAGH – CO-FOUNDER – CHAIRMAN AND
CHIEF EXECUTIVE OFFICER – HONASA CONSUMER
LIMITED
MS. GHAZAL ALAGH – CO-FOUNDER AND CHIEF
INNOVATION OFFICER – HONASA CONSUMER LIMITED
MR. RAMANPREET SOHI – CHIEF FINANCIAL OFFICER
– HONASA CONSUMER LIMITED

MODERATOR : MS. POOJA KUBADIA – JM FINANCIAL

Moderator: Ladies and gentlemen, good day, and welcome to the Honasa Consumer Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Pooja Kubadia. Thank you, and over to you, ma'am.
Pooja Kubadia: Good evening, everybody. Welcome to 1Q FY '26 Earnings Conference Call for Honasa Consumer Limited. Today on the call, we have Mr. Varun Alagh, Co -Founder, Chairman and CEO; Ms. Ghazal Alagh, Co -Founder and CIO; and Mr. Ramanpreet Sohi, Chief Financial Officer.
I'll now hand over the call to Mr. Varun for his opening remarks. Over to you.
Varun Alagh: Thanks, Pooja. Hi, everyone. Welcome to the Q1 FY '26 call. I'll take you through the presentation for the next 10 minutes and then we will open for FAQs. Starting with the first section which we have been capturing in the past as well, which is our view on how the future of Indian beauty and personal care is shaping up.
In the past, we have talked about sun care, serumization , premiumization of face care and hair care. And today, we are talking about growth of color cosmetics category. We believe there are three core macro reasons which are leading to the growth in this category. The first, of course, being increased women participation in the Indian workforce, which is a phenomena that continues and I think the next couple of decades will be a strong tailwind for this category.
The second is how the adoption of this category is becoming younger over decades. A few decades ago in the last century, this used to be 'after marriage ' category and which is why bridal sets used to be the biggest sort of beauty color cosmetic drivers. Over time, it went to 'first job', then through college, right, and now is reaching school levels in terms of the adoption of this category.
We believe , looking at the global trends, the category adoption will continue to become younger as well, as the category -- the width of category adoption will continue to beco me wider. It used to be just a two product category in last century, which was lipstick, kajal and probably some compact. From that, the category has evolved quite a lot. And now a lot of different types of lip produ cts, lip liners, concealers, et cetera, are also becoming mainstream.
A combination of these three levers will ensure that this category grows the fastest amongst all cohorts in BPC over the next decade or so. We believe that by '28 itself, this is going to be a INR17,000 crore s category. By 2030, this should be more than INR20,000 crore s category, of which lip should be the largest sub segment and that's the sub segment that we are actually currently focusing on strongly with our play in Staze as well as in Mamaearth and we are quite optimistic and bullish on how both the c ategory and our play.
Outside of this, coming back to the quarter 1 FY '26 performance, we've delivered our highest ever quarterly revenue and PAT in the history of the organization, which is also a short history

of about 8.5 years. But in that journey, this is the highest quarter in terms of revenue and PAT that we have had.
This is a 7.5% Y -o-Y growth, 11.6% sequential growth. Gross margin has seen improvement by 48 basis points. EBITDA at 7.7%, which is a sequential improvement of 260 basis points. The quality of growth is actually even healthier because, again, UVG is at 10 .5% is 300 basis points ahead of the value growth. So it's volume led growth. Working capital continues to be negative

.
This growth could have been higher if the early onset of monsoon would not have taken place. There is some impact in our largest category, which is sunscreen that we have seen on account of softness in sunscreen category in June. But overall, this is the p erformance that we have had in Q1.
If you look at it from an EBITDA perspective, sequentially, we have gotten 264 basis points better. This is on account of gross margin expansion, increased salience of the offline channel as well as the scale leverage that we've seen coming in overheads. W e'll continue to work on efficiency and effectiveness levers to make sure that our bottom line grows faster than our top line as we move forward from here.
From a highlights perspective, I think the first key thing for me to talk about is the strategy of focus categories. I think while overall value growth is in single digits, but focus categories which contribute now already to about 80% of our revenues, have grown in double digits. And that's a healthier indicator of our strategic shift that we can see. And this is actually across, be it in online or in o ffline where we've seen the focus category approach working for us.

We'll continue to double down on this approach, and we are confident that this will lead to even better results in the future. Mamaearth was a clear area of focus that we have talked about over the last few quarters and continues to be a strong area of focus for the company. In Q4, we talked about how in modern trade and e -commerce the focus categories have turned positive.
Now in Q1, the focus categories in these channels have actually turned double digit. And the focus categories across all channels have now turned positive. So again, the change in strategy that we have done is showing results. And this growth is also now competitive growth because if you look at Nielsen shares in offline or our e -com shares, they are actually growing Y -o-Y and sequentially, respectively.
So we are seeing healthy green shoots of the strategy that we've implemented, which is basically a three pronged strategy, focused on sharp category partitions and in those category partitions have superior products, awareness led brand building, right, and an always -on media strategy. This is what we've been executing starting February, and we are seeing hea lthy results of the same.
In fact, in the latest Kantar Brand Health Tr ack amongst the online buyers, Mamaearth is now perceived as the number one face cleanser and shampoo in the Brand Power survey that Kantar does, which is again a healthy sign of the brand pull and confidence that we are building among consumers.

Apart from Mamaearth , the GT distribution has been a continuous area of focus, and happy to say there also the green shoots continue . The strengthening in terms of infrastructure quality is now paying off in terms of -- earlier the secondary sales growth was healthy in terms of sequential. Now even on Y -o-Y basis that growth is becoming healthy.
From a direct outlet reach perspective, we've gained by 50%. Nielsen also is showing a growth of 20% in terms of our distribution numbers and modern trade offtakes are also healthy. All in all, the pain that we sort of took is starting to pay off in terms of fruits . We are still continuing our work on fundamental infrastructure improvement because this is going to be a long -term lever of growth for us and that work, both in terms of capability processes and infrastructure, will continue to take shape.
Apart from this, the young brands continue on strong growth trajectory with a 20% plus growth in Q1 as well. In all of the young brands, we are looking at now building 'plus 1' categories out of their core categories or partitions. In BBlunt hair fall as a partition; Aqualogica, moisturizers as a portfolio; Dr. Sheth's serum as a portfolio; and Staze

lipstick as a portfolio is what we are
focusing on building and we are seeing strong green shoots in all of these.
The Derma Co, of course, continues its strong trajectory. We are very confident this is going to be our next INR1,000 crore s brand over the next few years. The two categories which were strong for the brand and had a INR200 crore s plus run rate were serum and sunscreen. We are happy to inform that we now have a third category within the brand, which has touched more than INR100 crore s run rate and is growing at 100% plus in terms of growth with acne as a partition, being the partition where the brand is do ing well.
And in Q1, we've also entered in hair care as a category, which itself is a INR13,000 crore s category with hair fall as a partition in peptide -stem cell as a technology that we have used to enter into that partition. Our objective will be, like face cleanser, to build this into a strong category for the brand.
We continue to strengthen the offline channel with strong focus on offtakes and expansion in chemist outlets. But overall, the brand continues to deliver superlative growth rate .. Innovation continues to be a strong pillar for us. We have now aligned it more towards, again, the focus categories that we have called out.
Within those categories, entering into new partitions, strengthening our current partitions is the role that innovation is clearly driving. Across the brands, we've done effective innovations with strong launch rational, which you can see here . Apart from innovation, of course, renovation continues to be a very strong focus area. We have talked about product superiority being something that is on our minds all the time, and we are trying to enhance and improve product chassis across our portfolio s.
In the past, we have talked about how in serum and in face wash, we have tracked blind test winning commercialized formulations, which are beating the core competition in blind test. I'm happy to inform that we now have a shampoo formulae as well, which ha s beaten the leading

global brand in blind testing by a decent sort of margin and we are now commercializing this across our shampoo portfolio in Mamaearth.

We have also taken pride in the fact that as a company, we are 'India first ' and we build for Indian consumers, right, and contexts. Taking clue from that, our innovation team has been working on this technology called anti -pollution factor. India has a pollution problem. And of course, in the next H2 this will become a large problem across cities.

And we wanted to make sure that our sunscreens, which provides sun protection, not only provide protection from sun, but also provide from pollutants. And that's the technology that we have been able to launch in Aqualogica called APF, which is an anti -pollution factor technology that provides 80% protection from external pollutants. And now we have that as part of our sunscreen portfolio.

We've also been listening to consumer conversations around need for skin type -based skin care. In line with that brand like Derma Co where we have our 1% hydronic sunscreen portfolio that we have extended into different skin types now with a different suns creen for dry, normal and oily. And this is also something that consumers have responded very well to. So we'll continue our strong focus on listening to consumers and innovating for the Indian consumer.

Apart from brands, the next focus area has been around investing in people. We have a few leadership changes that we've seen. We have Yatish who has joined us as Chief Business Officer, and comes with 17 years of experience across Unilever and Flipkart, go od offline/online exposure, joins us to lead the business teams across online and offline systems.

We've also seen elevation of two of our leaders who have been with us for more than 3 years. Avinash and Kar

an taken over as Chief Supply Chain and Chief Human Resource Officer. Apart from this, we've also launched a milestone -based ESOP plan for our leadership cohort. This is a plan which is whereby everyone's goals are aligned now to certain organizational EBITDA and revenue milestones.

And the plan gets unlocked and everyone creates value when as an organization we hit those milestones, and bringing a certain cohesiveness amongst the leadership group in driving organizational level goals, as well as excitement and retention in the talent pool that we're building. Apart from this, our work on purpose in giving back to community continues strongly. Mamaearth is now very close to its goal of planting 1 million trees. The Derma Co has provided science education to more than 30,000 kids. Aqualogica has provided clean water plants to more than 900 households. BBlunt has provided salon certifications to more than 15,000 women. And Dr. Sheth's vehicles which do health checkups in multiple villages have now completed 32,000 -plus health checkups. So as our brands grow, our contribution to communities also continues to grow.

Thank you so much for listening in. I would love to answer the questions that you have.

Modera tor: Thank you very much. We will now begin with the question and answer session. O ur first question comes from the line of Dhiraj Mistry from ICICI Securities.

Dhiraj Mistry: First of all, congrats on decent performance for the quarter. So the first question is regarding young brands, so which was growing at 30% plus earlier. Now that growth has come to the 20% plus growth. I understand that the base is now getting a bit bigger . But how do you see the competitive intensity in this segment?

So because we have seen that some of the large players have repositioned their flagship brands with active ingredient plays plus some of the science -based products also. So how is the competitive intensity in those segments and how you are planning to miti gate that?

Varun Alagh: Thank you for asking the question. I think, firstly, I would agree with the fact that the size of this cohort has actually become large. It's actually more than 50% contribution now. So as a group, it's actually bigger than Mamaearth for us now, and which is where the base effect does come into play. But within that environment, a 20% plus continuous, sort of, growth will make sure that it is a share gain play that we continue to do.

Now, also specifically referring to what I talked about, the sunscreen impact is also higher within this cohort itself because this is the cohort where we have brands which have almost 70% contribution coming from sunscreen as a category. So there is a bit of that early monsoon impact as well.

Competitive intensity, I would say, is high and has been increasing. But I think that's a reality that we are fairly tuned into. And we just need to ensure that be it our formulations, propositions or our communications remain ahead of the curve so that co nsumers choose our brands. So I'm not as worried about that. That's an edge that we need to sort of internally develop. But yes, I mean, that's my view on that.

Dhiraj Mistry: Yes. And so if you can help us the growth, excluding of sunscreen impact, what would be the growth for the full -- for this quarter?
Varun Alagh: So honestly, there is -- at a company level, I would say the impact of sunscreen growth is about 200 basis points. I mean, of course, –the rest of the math can be done. But at a company level, the impact is about 200 basis points.
Dhiraj Mistry: Yes, I completely understand that. And second question is regarding the profitability front. So we have seen decent increase in our profitability during the quarter. So what percentage of this contribution would be because of the lower A&P spend for th ese young brands now that has been becoming

big. And also, in a way, it will help us to see what is the profitability of th ese younger brand s. And if you can break up between The Derma Co and other younger brands?
Varun Alagh: Yes. So I mean, like we have talked about in the past, right, I mean, brand profitabilities are a journey of their age and scale. Derma Co became profitable. Last year it became a single digit, now is a high single -digit level of profitability. Rest of the brands, of course, are still in invest zone and hence, are not profitable, expected to become profitable in next couple of fiscal years basically. And that's the journey which they are all tracking on is how adds up.
Dhiraj Mistry: Okay. Okay. And third and last question from my end. So now the base would be catching up or let's say, the low base of Mamaearth would be catching up because of the general trade reset

that we have done. For the remaining part of the year, is it safe to assume that we can aim for double -digit top line growth and with improvement in profitability also?
Varun Alagh: Yes. We do believe that for the remaining part of the year, we'll have good double -digit value growth. And from a profitability perspective, we should be in this zone of 7% for the rest of the year as well.
Moderator: Our next question comes from the line of Sucrit D Patil from Eyesight Fintrade Private Limited.
Sucrit Patil: I have a specific question for Mr. Varun Alagh. This is Sucrit Patil here. Sir, my question is, as Honasa grows across brands and offline stores, what are the key bets you are making that you believe will drive the next phase of growth? And if some of thes e bets like new formats or markets don't work out, what is your backup plan to protect margins and keep the momentum going?
Varun Alagh: Thank you. I think like we have discussed today as well as in the past, there are 7 focus categories that we have chosen, which have been carefully chosen, keeping in mind the kind of growth, right to win, gross margin profiles, et cetera, that we have see n for these categories. And these are the categories in which our ambition is to, over time, become market leaders as a company. And I think that's the strategy that we would continue to implement.
Now within that, whatever consumer needs, innovations, price points need to be serviced, we will continuously listen and provide those products to the consumers. But overarching, that will be the category strategy, followed by a strategy of ensuring that w e win across distribution channels, be it in online or in offline, by doing right data based investments in online and right infrastructural investments in offline. Combination of these two, we are confident will lead to market -leading growth for our bran ds in the medium term.
Sucrit Patil: Okay. So just to close the loop, as the competition rises, are there any long -term levers like tech or supply chain or brand partnerships that Honasa is planning in the coming days? And if you are planning some partnerships, can you discuss it with which f irm are you planning?
Varun Alagh: No, I think the long -term levers for us would continue to be -- they have been in the past, data and technology. That continues to be a very strong part of all decisioning that we do even within the company today, which is based on data and now based on a lot of LLMs that we have been internally instituting.
Apart from that, the right media mix model ling, the right distribution partnerships with -- be it the offline or with the online players, be it e -commerce or QC players as well as strong partnerships with digital ecosystem partners like Google and Meta are what we are relying on and building strong ly to deliver on our plans.
Moderator: Our next question comes from the line of Mehul Desai from JM.
Mehul Desai: So my first question is, obviously, on the younger brands. If ex of TDC

, if you can give some flavor on Aqualogica, Dr. Sheth, BBlunt, Staze, how these have done in the quarter? And is any of the brand where you are seeing results which are better than your expectations? And any of the brands where you think more work needs to be done? That's the first question.

And the second question is on the margin side. Obviously, you did guide that 7% is something that can be sustained in FY '26. On that, I just wanted to double click. One, on the staff cost, do we see the INR60 crore s run rate sustaining? And also the other expenditure this quarter, I mean, there has been a 10% de-growth. So it's a decent control that has been done on other expenses as well as the A&P spend side. So how do you see these cost line items also, whether that can sustain, especially on the A&P side? These are my two questions ?

Varun Alagh: Thanks, Mehul. So on the younger brand side, I mean, we've been talking of them as a portfolio. We will continue to talk about them as a portfolio because comparatively, nobody else just gives brand level growth. That said, I think from a quarter 1 only performance perspective, like I said, the brands which have much higher sunscreen reliance like Dr. Sheth's and Aqua logica were relatively behind plan, but we are very confident that over the yea r. They will catch up to their plans and the balan ced brands actually do ahead of plan. But overall, that's the picture that we saw. They're all in their journeys. They're all building other categories also which becomes important to diversify. And in those other categories, we are seeing high double -digit growth for most of these brands. So we are confident that over time, that will al so get built up and the diversification risk will also get reduced.

Apart from that, on your point of margins, I think finally, we have -- these are the large cost heads for us, Mehul, the A&P and the opex cost head. Gross margin, like I said, we have been continuously focusing on, and we have seen slight improvement as well. But these are the 2 places from which we expect efficiencies to be effective , not just in this year, but also in the coming years to go. And hence, these are the 2 focus areas where we continue our control.

And of course, because of the ESOP plan, we d o expect some higher impact on opex side. But overall, because of the effectiveness in A&P, et cetera, we'll still be able to manage and deliver the 7% that we have talked about. I hope that answers.

Moderator: Our next question comes from the line of Jitendra Arora from ICICI Prudential Life Insurance Company Limited.

Jitendra Arora: Congratulations on a good set of numbers. I just want to understand from you since we talked about the journey of margins and how they are a factor of scale and the age of particular brands.

So just from your vantage point, as and when these brands, let's say, achieve a certain scale of, let's say, INR1,000 crores or INR1,500 crores, what kind of milestones do you have in mind as an organization that you would want these brands to see at?

So would it be, let's say, a mid -teens kind of things, high teens or maybe in early 20s where we see some of the more mature organizations having their margins?

Varun Alagh: So to answer your question, again, we are very early in this journey. We do believe from a next 4 to 5 -year view that some of our larger brands will surely be in the mid -teen kind of EBITDA range. And from there on, we will need to further see the journey of next 5 years, how it shapes.

The other difference that we also see is the online versus offline kind of brand presence and creation, which is there between us versus some of the other FMCGs, where their online contribution is supposed to go up, our offline contribution is supposed to go up, but y

es, from next 4 to 5 years perspective, we can still see that mid -teen in our top brands to be surely happening. And beyond that, I think in a few years, we'll be able to give you a healthier version of where do we see it from the next 7 to 8 y ears.

Jitendra Arora: To put it differently, in terms of what kind of improvements do we expect to see, let's say, year -on-year? Like earlier, we had, I think, said that we will see 100 to 150 basis improvement on an annual basis for at least a few years till we reach. So do yo u think we are there on that journey that from here, let's say, if we are around 7%, we'll see 100 basis kind of improvement at least for next 2, 3 years, i f not more and then obviously?

Varun Alagh: Very much. Not just 2, 3, right, but probably for the next 5 to 6 years, we want to ensure that that's the journey of improvement that we continue to be on.

Jitendra Arora: And just one last question on how are we tracking in terms of market share in quick commerce versus, let's say, the GT channel?

Varun Alagh: So actually, the right question in comparison will not be QC versus GT. So quick commerce versus GT, our market shares are far higher in quick commerce compared to our market shares in GT. Actually, our internal benchmark has been quick commerce versus e -commerce shares.

And in almost all of our focus categories, our quick commerce shares are higher than our e -commerce shares, which is where it's a very healthy sign that any transition that happens from any other channel towards quick commerce is actually going to be healthier for us.

Jitendra Arora: Can we say the same about the margins, as in so if the shifts happen from e -commerce to quick

commerce?
Varun Alagh: From a margin perspective -- compared to e -commerce, the margins are better.
Moderator: Our next question comes from the line of Pratik from HSBC.
Pratik : This is Pratik from HSBC. I have a couple of questions. You did highlight it in the presentation, but I'd appreciate it if you can elaborate more on how the core brand Mamaearth is doing across your focus and non -focus categories, plea se. And my second question is on A&P expenses. So they are running at about 35% of sales as of now, of course, with different levels for different brands. Can you elaborate on what kind of levels does a mature brand need? And what are we basically heading towards for the mature brands, say, Mamaearth a nd The Derma Co in a few years? Some color on that would be helpful ?
Varun Alagh: Yes. I think the first question, like I said, right, we had recognized a few clear interventions needed in Mamaearth around October, November of last year. We took some time and worked on building a plan as well as content and strategy to execute these int erventions, which we started executing from February onwards.

In Q4 FY25 itself, we could see some green shoots of these interventions in e -com and modern trade channels, where the focus categories, which contribute about , at that time, about 65% to the brand had started to grow in double digits in these channels . In Q1, the focus categories now contribute to close to 70% plus of the brand and are growing double digit in e -com and MT and across all channels in single digits.
So again, showing green shoots in the right direction on the strategy that we have adopted. Like I said, if we continue to see these gains, we are confident that over the year, the brand overall should also be back to growth profile and then from there onw ards to a stronger growth profile over years is how we see that shaping. In terms of A&P expenses, especially for larger, more mature brands -- we think -- and this is something --
Pratik : On the second question.
Varun Alagh: Yes, I was just taking that up. Yes. Can you hear us? Am I audible?
Moderator: Yes, sir, you're audible.
Varun Alagh: Okay. So I

'll continue. On the A&P trajectory, we believe over the majority of brands, this number should settle around 27%, 28% for brands, right, as they sort of grow over the next few years.
Moderator: Pratik sir, does that answer your question?
Pratik: Yes. So you're saying 27%, 28% is for mature brands and will probably be higher for different brands depending on the journey?
Varun Alagh: Yes, absolutely.
Moderator: Thank you. O ur next question comes from the line of Ne el Doshi from PL Capital. As there is no response from the line of the current participant, we'll move on to the next question. We have the next follow -up question coming from the line of Pratik from HSBC.
Pratik : A quick bookkeeping question, please. Your stand -alone number seem to have been restated. Can you please elaborate on that, please?
Ramanp reet Sohi: Yes. I think that's because of the approval of the merger of our two entities, which are our wholly owned subsidiaries, Fusion, which houses our brand Dr. S heth's and there was another entity called Just4Kids. Those two got approved for merger and hence, they have been -- our standalone financials have been restated to that accoun t.
Moderator: Our next question comes from the line of Aditi Parmar from I -Wealth Fund .
Aditi Parmar: Congratulations on a good set of numbers. Just wanted to ask that there is a significant amount of cash in the balance sheet. So are you looking for any acquisitions in the future? How are you going to utilize this cash?

Varun Alagh: Thanks for asking the question. Yes, we do have a healthy balance on our cash balance on the balance sheet and continues to grow with the negative working capital and profitable profile of the company. We continue to look at potential acquisition opportuni ties, which could be portfolio additive in nature in the areas which we feel are strong growth hypothesis areas for the category.
I mean, we currently don't have anything which is in the stage that we can share with you. But that's a continuous exercise. We continue to do that. And we'll also look at figuring out younger opportunities that we can participate in the future to utilize this capital to drive growth from a

long-term perspective. And outside of that, in the medium term, we'll also look at dividend as a strategy for cash utilization.

Moderator: Our next follow -up question comes from the line of Mehul Desai from JM.

Mehul Desai: Just one question again on the profitability side. Varun, obviously, you had guided for 150 bps kind of improvement going ahead. Now obviously, this year itself, we are at 7 -odd percent. Would you still maintain that guidance of 150 bps expansion year -on-year continuing over medium term or you would say that, obviously, this year, obviously, you have got it ahead of your expectation?

Varun Alagh: I mean exact math would be difficult to share, but like we have mentioned the attempt is to improve profitability by 100 to 150 basis points each year. So if you look at from a CAGR perspective, years might vary, some will be higher, some will be lower. But overall, that's the trend line that we'll fol low in the coming 4 to 5 years.

Mehul Desai: Got it. And lastly, from a regional performance perspective, is there any underlying trend that you would like to highlight? I mean, whether in the North, South , East, West, is there something different on a regional performance perspective?

Varun Alagh: Honestly, no significant differential in performance. But what I would say is, honestly, being a North -based company, we believe that we haven't leveraged on the South opportunity as well and as we should have. And that's an internal focus area for us on h ow to get our vernacular communications as well as our insighting right to better serve the South markets and make sure that our shares are fairly indexed across the regio

ns.

Moderator: Our next question comes from the line of Kimberly Paes from Envision Capital.

Kimberly Paes: I just wanted to know that there were a few articles about us getting to the beauty device, beauty tech sort of market. Is this an area of interest for us? And how big would it be if it is?

Varun Alagh: No, currently, no strategic interest in that area. The article did not have any backing from the company and its spokesperson.

Moderator: Our next question comes from the line of Vismaya Agarwal from Citigroup.

Vismaya Agarwal: Varun, if you could share an update on Project Neev , how are things trending now that it's been, what, almost 8 to 10 months of that project? And any updates on the distributors that you appointed? Is there any churn or how stable that bit is? Yes, that's the big question for me?

Varun Alagh: Thanks, Vismaya. So I think the like I mentioned, all our efforts on stabilizing and building an infrastructure, which can service our plans over the next 5 years, right . I think it's going in the right direction, right . The direct distribution metrics, like I said, has -- are 50% up and our inventory levels are very well under control now, less than 30 days on ou r direct distributors. We have zero overdues in terms of credit and a very healthy credit profile also.

We continue to improve the quality of our partners one geographical cell at a time. That's an ongoing work in terms of improving our infrastructure. But I would say, of course, the worst is behind us, right , But the best is still ahead of us. We still need to continue to work in terms of improving infrastructure quality across cells, which is an effort both in terms of people, capability and partners that our teams continue to engage.

Moderator: Mr. Agarwal, does that answer your question?

Vismaya Agarwal: Yes. Sorry, the line broke in between. Yes, got the answer. Varun, just one more bit is on the statement that is there in the presentation where you say the secondary sales are growing on a healthy rate. Now -- but when I look at the Mamaearth overall bran d performance, it's probably a slight decline, whatever that quantum be.

And then I would assume the general trade part of it is where there's still some bit of rationalization in the non -focus part , the ex -of focus part rather, which we are doing. So from that aspect, is there still a difference between the primary and secondary sales the way the brand is trending or not so much?

Varun Alagh: So very slight difference in case of Mamaearth, where we still continue to be very sort of sharp about correcting assortment and driving the right portfolio. But then there is also the positive delta that the channel is getting from The Derma Co scale -up and introduction, a combination of which is leading to positive sort of growth at the channel level.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Varun Alagh for closing comments.

Varun Alagh: Thank you so much, everyone, for patiently listening in and asking your valuable questions. We look forward to meeting you again in the next quarter. Thank you.

Moderator: Thank you. On behalf of Honasa Consumer Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Nov 2025

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| CIN: L74999DL2016PLC306016 |
November 18, 202 5

To,
Listing Department
National Stock Exchange of India Limited
Symbol : HONASA
To,
Listing Department
BSE Limited
Scrip Code : 544014

Sub: Transcript of Earnings Conference Call held on November 12, 2025

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed a copy of transcript of Earnings Conference Call, held on November 12, 2025, on the unaudited standalone and consolidated financial results of the Company for the quarter and half year ended September 30, 2025.

This disclosure will also be hosted on Company’s website viz. www.honasa.in .

Kindly take the same on record.

Thanking you,

Yours truly,
For Honasa Consumer Limited

Gaurav Pandit
Company Secretary and Compliance Officer

“Honasa Consumer Limited
Q2 FY26 Earnings Conference Call ”
November 12 , 202 5ss

MANAGEMENT : MR. VARUN ALAGH – CO-FOUNDER – CHAIRMAN AND

CHIEF EXECUTIVE OFFICER – HONASA CONSUMER LIMITED
MS. GHAZAL ALAGH – CO-FOUNDER AND CHIEF INNOVATION OFFICER – HONASA CONSUMER LIMITED
MR. RAMAN PREET SOHI – CHIEF FINANCIAL OFFICER – HONASA CONSUMER LIMITED

MODERATOR : MS. POOJA KUBADIA – JM FINANCIAL

Moderator: Ladies and gentlemen, good day and welcome to Honasa Consumer Q2 FY 6 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Pooja Kubadia from JM Financial. Thank you, and over to you, ma'am.
Pooja Kubadia: Good evening, everybody. Welcome to the 2Q FY26 Earnings Conference Call of Honasa Consumer Limited. Today on call, we have Mr. Varun Alagh, Co -Founder, Chairman, and Chief Executive Officer; Ms. Ghazal Alagh, Co -Founder and Chief Innovation Officer and Mr . Raman Preet Sohi, Chief Financial Officer. I'll now hand over the call to Mr. Varun for his opening remarks. Over to you, sir.
Varun Alagh: Welcome, everybody, to the call for quarter 2 and H1 FY '26. We're going to take you through a few core agendas today. So starting with, again, crystal gazing the future of Indian beauty. We've been talking about different categories and today, we will tal k about a very different category, which till now isn't considered exactly as beauty. But as we see the developed markets, we are seeing the rise of oral beauty that is happening.
And over the next decade, we expect this to shape in India as well. There is a lot of premiumization potential in this category. And if you look at the bathroom shelves today, almost all categories from skin care to hair care to fragrances have premiumized significantly, but oral has not seen the same level of premiumization.
And while this category started with functional hygiene as Stage 1 of growth, which is what almost 50 years of this category was all about. And it moved on to targeted wellness, which is wher e sensitivity and freshness etcetera as propositions got created. And we believe over the next couple of decades, one of the strong partitions which will get created in this category is aesthetics and aesthetic expression, where your smile will be a core part of your beauty and how you take care of your smile through or al.
And it will be a play that can happen in beauty and personal care. And it's not a small market, we believe this to be a $700 million opportunity by 2030 with the premiumization and rise in aesthetic consciousness. So that's a point of view that we wanted to bring to the table from a I - Beauty perspective.
Moving on to the financial snapshot, we have done well in quarter 2 with a 22.5% growth in revenues. Our gross profits are at all -time high, at about 71.9%. EBITDA continues to be stable at 8.4%, INR48 crores EBITDA leading to a PAT of INR39 crores. Strong UVG at 16.7% and we continue to be in the negative working capital zone.
And while this is the like -for-like comparison in terms of what we have been showing you over the last 6 -odd quarters, there is one change in our financial reporting that has happened in this

quarter, which is on account of a change from one of our key customers, which is the Flipkart Group.
At a group level, Flipkart Group has changed its settlement process with vendors and sellers, right, we operate as a marketplace seller with the Flipkart Group. And earlier, the way it used to operate was that we as sellers used to have a certain revenue a nd we used to remove our discount tax and costs to arrive at our gross margins. And Flipkart as a marketplace used to share with us a invoi ce for the logistics and fulfil ment costs, which is what used to go in our costs.
Now the change that they have made since last quarter is that they are not sharing this cost with us as an invoice, they are ac

tually reducing that from the revenue itself. And hence, in a way,
charging that to the consumer, which is why the revenue recogn ition, the cost that used to be there. So if you see the calculation that we've shown, for INR100 product, there used to be INR32 of logistics and fulfil ment cost.

Now that INR32 is being reduced from the revenue itself, while rest of the things remain same. So sales commission cost, COG S, etcetera remain same. So while in value terms the net contrib ution margin or EBITDA from the channel remains same, but the revenue recognition denominator has reduced.

In terms of actual financial impact, this has had a INR28 crores revenue recognition impact in the quarter to us, but it has no effect on absolute profitability for the company. If you were to see from a like -to-like basis, which is what we have been showing as our results in the past, right, our base is INR462 crores, our delivery is INR566 crores, which is a 22.5% growth.

And if we were to see this after Flipkart adjustment, our reported for Q2 FY '26 becomes INR538 crores while the like -for-like also for the last year same quarter becomes INR440 crores for comparison purposes. And then we do view a similar growth of about 22.4% and the profitability is being same in terms of actual revenue terms.

But, of course, if you look at in terms of percentage, because the denominator goes down slightly and the percentage EBITDA looks slightly higher. And this is something that Flipkart has taken call on for all sellers that sell in Flipkart, right, and hence is something that is an impact on us as well. But we'll continue to share like -for-like based numbers for better understanding and correct comparisons in future as well.

In our H1 level, we've delivered 14.5% growth. Gross profit has also improved Y -o-Y by 112 basis points, EBITDA margin of about 8%, and INR93 crores EBITDA and PAT at about 7% is what we have. From a highlights perspective, I think the good thing is that the core of strategies that we had talked about at the beginning of the year have continued to deliver well for us.

And I think the first core strategy was to focus on a few core categories and actually gain strongly in those categories. The growth in those core categories is actually much better than the overall growth of the company. And the growth now in focus catego ries is across channels, right? So e - commerce also is 20% plus, modern trade also is 20% plus, and GT also is double digit secondary sales growth in the core category that we've seen.

And from a 70% contribution last year, the core categories are already contributing 75%. And that was of the plan that over the next 4 to 6 quarters, we intend to take this number itself to 84% to 85%, which will lead to strong share ownerships within thes e categories as well. So that continues to do well.

The second thing that we had talked about and was a strong focus area for us was turning around Mamaearth. I'm happy to share that Mamaearth is back in green in terms of growth. With Neev and without Neev , both are strong sort of growth from Mamaearth now across channels again, earlier e -commerce and modern trade has started showing good growth profiles. General trade is also on a growth trajectory in terms of secondary sales Y -o-Y. And this is also visibl e in the share gain that we are seeing based on where we continue to gain Y -o-Y share.

And we've also been able to build another hero SKU, an ingredient for us in rice face wash, which is our third face wash for the brand to enter the INR100 crore s plus club and continues to grow fairly strongly. So that's something which is heartening for us. We are very confident that now moving forward, this growth in Mamaearth will actually only get better and towards the goal of double -digit growth that we want to get in to.

Young brands again continue

to deliver well 20% Y -o-Y growth is what we are seeing on the
young brands portfolio. And we continue to do the right kind of core category activation and innovation across BBlunt, Aqualogica, Dr. Sheth's, and Staze. And Derma Co, which is the larger brand after Mamaearth is again touching newer heights. The brand has delivered a INR750 crores net sales ARR in the quarter with high single -digit EBITDA profile.

And basis Euromonitor, it has become the number one sunscreen brand in the country for 2024, and we are quite happy to see that. While we continue to strengthen our position in the core categories of face wash, face serum, and sunscreen, the brand is now looking to build moisturizer and shampoo as categori es as it gets in the stage to get to INR1,000 crores plus kind of a brand over the next 1, 2 years, which is how we see the brand shaping up as we move forward.

We continue to strengthen our general trade distribution. This is another focus area that we have. And we have seen sequentially growing secondary sales rate growth and 35% Y -o-Y increase in terms of direct outlet billings. And based on Nielsen, now the br and is available in 250,000 -plus retail outlets. And very importantly, last year, we had taken an initiative to move away from super -stockists to direct distributors.

And last year same time, our super -stockists contribution was two-third and direct distribution

contribution was one-third . And happy to say that now, as we stand today, 80% of the business is actually coming from direct distributor contribution. And that's a change which has been hard, but necessary, and forms a foundation of our growth of multiple brands in the future. So I think we're quite happy with the progress that we've made in this quarter.
R&D and product superiority is another area where we continue to develop new technologies and formulations. We developed deep penetration formula in Derma Co where we have found the right kind of actives and encapsulation technologies to enhance penetratio n of our active

serums. In Aqualogica, we have developed the first in vivo tested sunscreen with anti -pollution factor.
The kind of pollution there is nowadays, consumers not only want sun protection, but something that can also provide protection to them from pollution. And this is a formulation which is clinically tested to do that. So we're happy that we've been able to crack such a technology, which is relevant for India. Premiumization is another area where we continue to work and we have collaborated with a lot of influencers, creators to launch more premium ranges.
In BBlunt, we collaborated with Tarini. In Mamaearth, we've collaborated with a dermatologist couple Dr. Sarins to develop a Dermasoft range, which is developed by them in line with what they think is right for baby skin and launched together with them . And we also continue to strengthen our prestige play within brands.
In Dr Sheth's, we've launched multiple prestige serums now with new to India ingredients like Argireline, PDRN, et cetera, and we'll continue to do that in future as well. And then overall, we continue to focus on core categories to find avenues to use inn ovation to gain share within those categories. And across the core categories, we've had relevant innovations, which are helping us gain share within those categories.
Now that we are feeling confident about the new playbooks, media mix development that we have been working on, we've also been now actively looking at further engines of growth from a long -term perspective as well, and hence, actively looking at new brand or category opportunities.
The first one that we' ve been working on for almost 1 year 1/2 years now and we have finally launched last week is a brand called Lumineve. This is almost, in fact, in the morning, we were just searching and asking ChatGPT if

there is any brand in the world that focuses only on night
care, and the only brand it ta lked about was Lumineve.
So we generally believe that this is probably a first to world innovation in terms of brand propositions where a brand that specifically focuses on night care is what we have developed. And beauty sleep as a concept is a very relevant concept amongst consu mers. But there is actually deep science behind that concept as well.
When you're sleeping, the cellular regeneration and skin repair is at its peak. And this is the time when you -- if you take the right kind of night care regimes, you can make the maximum impact on your skin health. And that's the underlying science behind this brand. And we've launched this for 6 different skin types by working with Indian and global dermats.
And this has currently been launched exclusively with Nykaa that happened to collaboratively work and capture the prestige market . And we believe this is not just a brand which will take India sort of by surprise, but also probably help us in global expansion as well in the future. But this is our first entry into prestige skin care, which is priced almost 2.5x of what our current products and categories are priced at.

Apart from this, we've also made an investment in the future of oral beauty. Like we said, there is rise of oral beauty that we expect over the next decade. And one of the things that we have been thinking about is the only inorganic play that we were acti vely doing was by participating with majority acquisitions.
And we realized that that while is great for categories and portfolios which we want to get involved in high capacity right now, but that also -- this allows us to participate in Horizon 2 kind of categories, which could be additive to our business, but wh ere the founders might not be looking to give away strategic control right now.
And that's the opportunity that we are looking at participating in by funding brands like Fang, which are at early stage level and taking a significant minority, helping the founders build the brand into something extremely meaningful. And we see Fang to be clearly one of those brands

which can become a prestige leader in the country from a oral care perspective.
It's a beautiful set of products and a set of founders which come with extremely relevant experience. And this is a team that we would like to back and we would like to support them with the playbooks that we have to build this brand into something larger. And, of course, on our goodness initiatives, as our brands grow, our contribution to community continues to grow and Mamaearth has hit its goal of planting 1 million trees, which we had till 2025.
And we have taken a goal to plant another 1 million trees over the next 5 years and which we are very confident that we'll achieve. And this happens as the brand grows and as more consumers engage with us and all the other brands also continue to be on the ir journey of making the community impacts as they grow. Thank you so much for your patient hearing, would love to answer questions that you have. Thank you.
Moderator: Thank you very much. We will now begin with the question and answer session. The f irst question come s from the line of Videesha Sheth from AMBIT Capital.
Videesha Sheth: So my first question was on Mamaearth as a brand that while you've mentioned it's back in the green, that seems to be alluding to the secondary sales. So from the primary growth or primary sales perspective, when do you expect growth to be back in the gree n?
Varun Alagh: Primary also is back in green.
Videesha Sheth: And so going forward, if we were to talk about the next 2 years, the outlook is more of a mid - single -digit growth, high single -digit growth. And if you can also double down on the initiatives that you've undertaken a little bit more on the

elaborate side ?
Varun Alagh: Yes. So from a going forward, I think the first objective is that a high single -digit growth in next quarter and the objective to touch, getting to double -digit growth by Q4 and then try to maintain that as we get into next year. And from our perspective o f strategies, I think it's actually been simplification, which is focusing on core categories, sufficiently funding them rather than diversifying our investments too broadly into multiple different sort of categories.

Even within those categories, identifying certain new SKUs and actually building them deeper rather than again spreading ourselves still across categories. So I think focus is the one big change . And second has been media mix model ling based learnings that we did on the brand as to what is the best combination of media which works for the brand, which is the testing that we did over the 4 to 5 months and then deployed it this year, and we are clearly seeing the results of that. I thi nk we will continue exec uting those strategies going forward.
Videesha Sheth: And second was on the margin side that, given that first half has been better than expectations, are you looking to increase the guidance from the 7% range?
Varun Alagh: We believe that we will now stay at least at this range even in the coming quarters.
Moderator: Our next question comes from the line of Nitin from Emkay.
Nitin : My question -- first question pertains to like like -to-like growth is at around 22%. And when we talk about Mamaearth, it has moved into the growth path and your younger brands have grown 20%. So somewhere I am unable to get to this 22.5% like -to-like grow th. Can you please help?
Varun Alagh: Yes, I think we've been also cognizant that last year same quarter, we had the Neev piece. So actually, if you look at just on pure like -to-like basis, Mamaearth growth will be high double digits. But that's on account of the fact that there is a Neev retu rn base, which is all allocated to Mamaearth.
But even if we were to take that base into account, it's still a positive growth for the brand, and which is why we have kept the commentary more in line with the adjusted sort of base. But yes, you're right. If we were to sort of purely look at mathematically, then Mamaearth growth for the quarter is actually in strong range.
Nitin : With respect to like our actions in terms of getting into the premium segments in the personal care side plus oral care, any thoughts you guys have around wellness as a category? Because some of the brands are sort of getting into wellness along with the p ersonal care and that's to work as a regime. So any thoughts you can offer here?
Varun Alagh: Actually a very interesting area of conversation. I think I will park that for probably more one - on-one conversation sometimes. So honestly, you're right. We are observing the trend of wellness adoption, nutraceutical adoptions within the market, and we ar e also observing the regimen trend happening within consumers. How we want to take on that -- do we want to take on that opportunity in the medium term?
Yes, we would like to. How we want to take on that opportunity, will it be as part of our extension of current brands or do we need to sort of take it as a separate sort of play? So , it's not something that we have a strategic view on, as we speak. And as soon as we have a crafted view on the same, we will surely share with you. But it's a space which we're very closely watching, understanding, and building hypothesis around.

Nitin : And lastly, around this oral care, again, like we have taken a 25% stake in this brand. So like would you like to keep your exposure in oral care like this or like you can -- you are open for any further M&A in the oral care space?
Varun Alagh: Id

eally, I don't think we would like to have multiple sort of brands of play in this space. And we genuinely believe there are a few partition spaces, especially clean label and whitening, which are the core partition spaces which we believe will get built over the next decade. And this brand already plays in that partition space.
So we would rather build this into a stronger outcome than get into multiple sort of entries, because it's not like we are seeing multiple partitions actually take shape. So this is in line with the hypothesis that we have. And hence, we would rather focus and build this into a much stronger outcome for the brand.
Nitin : So just a follow -up like as for the contract, is there any options we have down the line 3 or 5 years, we can increase our stake in this?
Varun Alagh: Yes, we have the right, but not an obligation. And we would honestly love that if the brand does well and we're able to further partner with the brand by gaining more sort of ownership and investing into the company for it to grow stronger. And I think tha t will be the ideal scenario.
Moderator: Our next question comes from the line of Sucrit D Patil from Eyesight Fintrade Private Limited.
Sucrit D Patil : I have two specific questions. The first question is to Ms. Ghazal. Just looking beyond the quarter's numbers, what are the long -term plan for Honasa from an innovation point of view as consumers' preferences shift towards more science -backed sustainable and premium products? How are you shaping the innovation pipeline to stay ahead of your competitors? Beyond just new launches, is there a deeper approach that you are building or you will be building in the future, which will make the brand stronger and hard for your competitors to copy you? This is my first question. I' ll ask my second question later?
Ghazal Alagh: So I think on innovation, we've been talking about the focus that we have as a company on two, three areas. One is product superiority. So ensuring that across all of our focus categories, we have products measured through blind test to be superior than the competition out there.
That is something that we have showed in the past, we'll continue to show as we move forward.
The second area of focus for us is to bring in new concepts, newer ingredients which are first to India. I think Varun also spoke about it briefly. For example, premium serums and Dr. Sheth's has brought in ingredients like PDRN or Argireline, which are first to India kind of ingredients and concepts.
We're also working on technologies like deep penetration technology, which is our own trademark technology, which ensures the efficacy of the product, its uses, and also something new which no other competitor has. I think on the third tranche, our focus i s also on building a prestige portfolio, which you can see in Derma Co, in Dr. Sheth's, and now with the launch of Lumineve, that also is something that Honasa will continue to enhance.

Sucrit D Patil : My second question is to Mr. Raman Preet. Again, a forward -looking one. When cost rise, whether it's in marketing, distribution or raw materials, how do you make sure the margins stay steady without the growth hampering? Is there any system you have built that may be like price discipline or smarter sourcing, that is helping you stay -- keep the profits in line whenever things are getting -- whenever certain unforeseen conditions may arise? Just want to hear your point o f view on this partic ular point?
Raman Sohi: Sure. Thank you so much for that. I think two , three things. Firstly, if you see our gross margin profile, like Varun mentioned, I think we're now averaging 71% plus gross margin consistently.
A couple of factors are playing in our favour as we've scaled our business. Of course, given the scale we are buying better, our procurement efficiencies are s

howing.
Our product mix, especially led by face categories and also with the entry into prestige categories is helping pump up our gross margin profile. And as we move along and our younger brands, especially Derma Co, Aqualogica, Dr. Sheth's, all of them are face -driven skin care brands.
And hence our gross margin profile has been moving in the right direction, given the mix of those brands and as the scale improve s, we continue to move in the right direction. And of course, as we've showcased this in the first half, as the business continues to scale, we also

continue to see operating leverage play out and a big lever for that has b een our marketing
efficiencies. And as our younger brands continue to scale more, we will continue to see
efficiencies across our marketing investments. And we' ve indicated that every year, we target to
unlock 50 to 100 bps of operating margin profile, which will be a mix of all these initiatives.
Moderator: The next question comes from the line of Nihal Mahesh Jham from HSBC.
Nihal Mahesh Jham : Yes, I had three questions. First was on Mamaearth. Would it be fair to say that the primary sales are similar to what we would have reported in Q2 FY '24 that now the brand is back to what it was, say, delivering 2 years back, leaving apart the impact of last year?
Varun Alagh: Yes. We will need to sort of look at that number and come back to you. But over the last year base, it's now in the single -digit growth in primary, even adjusting for the Flipkart impact .
Nihal Mahesh Jham : Sure. I'll check that separately. The second is, Varun, when you commented that you're looking at high single -digit growth for Mamaearth in the coming quarters, that adjusts for the Flipkart impact that will ensue in Q3 and Q4 also, that's the organic grow th ex of the Flipkart impact?
Varun Alagh: So honestly, the Flipkart impact cannot be seen without adjusting the Flipkart impact in base, right? If you will only take the Flipkart impact in your numerator, but not take it in denominator, things will look suppressed. And which is why the financial s ort of results will always sort of indicate that suppression given in the bas e, there will be no correction, but in future quarters, in general, there will be correction.
So I don't th ink we can say what will happen after correction and including correction but if you look at that with base correction, yes, we're looking at sort of single -digits, high single -digit growt h.

Nihal Mahesh Jham: Where I was coming from is that I think you're implying that the organic growth for Mamaearth should be high single digit. Just that maybe on a reported basis for Mamaearth, it may optically look over because of the fact that that adjustment right now doesn't sit in the base. So just wanted to clarify that ?
Varun Alagh: Yes, and which is why I think we will continue to release sort of the comparable numbers and then see how it is based on the comparable numbers in future as -- next three quarters till the space is sort of getting that.
Nihal Mahesh Jham: One final question. When we speak of the focus categories, which is now at 75, what is the thought process of the other categories that Mamaearth has sort of entered over the last 7 years? Are they status quo or is it that gradually we plan to sort of exit them and keep Mamaearth in these 6, 7 core categories and just three , four more ancillary categories? Like how do we think of Mamaearth over the next 2 to 3 years from the non -core categories that -- non-focus categories?
Varun Alagh: So from a next few years, which is next 2 to 3 years perspective, the focus will be just to sort of completely focus on the 6 core categories and strongly grow them. And of course, the non -focus categories are declining, right, and their contribution hence will continue to go down. And once the brand reaches even s

tronger scale, let's say, the next milestone is INR1,500 crores, then there is INR2,000 crores and even the profitability further significantly improves.
And hence, brand has more money to optimally invest in another focus category and then we will probably look to open one more and say, okay, let's open one more and optimally invest and build that category also. But for now, these 6 are the core engines of growth for the next 3 years.
Nihal Mahesh Jham : Just a final follow -up then, beyond the 6th category, which will be the 7th biggest category right now for Mamaearth in case you plan to activate just for our awareness?
Varun Alagh: I would say body is the next biggest one, which is the body lotion , body wash kind of a category from a size perspective.
Moderator: Our next question comes from the line of Akshat Jain from Sixth Sense Ventures.
Akshat Jain: So I had a couple of questions. Firstly, in oral care, we mentioned that we project the market to touch around $700 million in the next 6 years. But my question is that somehow in the past 10, 15 years, even though social media usage has gone through the r oof and other forms of beauty have done very well, oral care somewhat has been left behind. And so how do you look at that going forward? And like will this continue to be like a very niche concept or will achieve that kind of scale?
Varun Alagh: So honestly, every category and trend has its time. I think the last decade, there was a lot of skin and hair premiumization, which is already happening and which has taken shape very well, as well as the larger disruption from a channel perspective that h appened was e -commerce. Now e-commerce did great for categories where the AOVs were 200 and above.

But for categories which were 200 and less AOV, it did not make that much impact. Now quick commerce coming in and scaling and has actually created the right playground for categories which are sub -100 or sub -200 price points also to get disrupted with qui ck commerce.
And also clearly, if you look at the developed markets also like U.S., et cetera, oral care disruption has lagged by 10 to 12 years compared to skin disruption in those markets. But now there are multi $100 million to $300 million brands in single partition spaces, which have been built over the last 5 to 7 years. And we've been watching that spa ce and we think it's now the right time to get in and build the brand in the space.
Akshat Jain: And my second question is on Lumineve. What's our revenue projection or plan for the next 1 or 2 years?
Varun Alagh: No projections. It's a young brand. It is right now in a build phase. We will build it slowly, we'll build it right, and prestige brands need very strong foundations. And they are not about explosive growth but foundationally strong bonfire type conversati ons. And of course, the opportunity size in prestige is very large.
We believe over the next decade, prestige skin care itself will be like a $4 billion opportunity. And as an organization, it's important that we participate in it as well as build capability in taking share in that market. And otherwise, that sort of oppor tunity will get missed out. So that's the core objective. I think it's a decadal opportunity that we see.
Moderator: The next question comes from the line of Mudit Minocha from M3 Investment.
Mudit Minocha: Great set of numbers. Congrats for that. I wanted to understand what is the next level of growth going to come for Derma Co given now it has reached to a stage where Mamaearth had become mature. So are you thinking to take it offline and how is the growth projection for that particular piece?
Varun Alagh: Thank you for asking. I think there is a lot of potential areas for growth for that brand. Firstly, even in the core categories, like, for example, it has got low single -digit share in face wash as

a
category. And hence, there is a lot of potential to grow in face washes. We also sort of are continuing to gain share in sunscreen , serum.
So there is potential to grow through that. And we talked about building two new categories, which is moisturizer and hair, which in themselves are almost INR10,000 crores as a category opportunity. So there is opportunity to add delta by participating in those core categories. And like you rightly said, there is expansion to offline that is already starting to happen. And offline for Derm a Co is more than INR100 crore s run rate business now and continues to grow well. So that's another area where we will continue to sort of double down and engage.
Mudit Minocha: The second question for me would be, what's the economics that's finally getting set for quick commerce business? And follow -on to that would be, what's the percentage of sales that you ballpark or qualitative color on what's our share for quick commerce? And which categories do you think are poised for quick comm in our portfolio?

Varun Alagh: So I think let me go reverse, right? From a categories perspective, I think quick commerce has clearly surprised everyone. And it is -- it sells all our focus categories, right? From serums to lipsticks, everything is sort of selling on quick commerce, fro m small packs to large packs, everything sort of is there. So I think the category opportunity exists for all categories.
Of course, it's skewed towards certain categories like gifting, et cetera, which do even better. But otherwise, all our core categories sell well on quick commerce. Quick commerce is now about 10% of our revenues already and is the fastest -growing channel for us as we speak. And from an economics perspective, it's got healthy economics. And for us compared to our marketplace business, it's actually relati vely healthier economics. So it's actually a good delta addition that is happening in the business.
Mudit Minocha: Could you also give us some update on that Project Neev that we were conducting? And what's the distributor reach and you were to reach out to 1 lakh distribution points. Could you give some color on what went in last 1 year to turn around Mamaearth and ho w are things now looking going forward?
Varun Alagh: Yes. Like we mentioned, I think that's been one of the strong focus areas, right? It's a combination of what we have done on brand p ull and on our offline distribution execution, which has helped us a lot. Specifically on GT perspective, it was all about transitioning from a three layer distribution system, which involved us selling through super -stockist to a two-layered distribution system where at least in the top 100 cities, we wanted completely direct distribution.
Now in the top 100 cities, we have completely moved direct.
And I think I would say about 85% of the clusters where we needed the right distributor and for

the 15% clusters, we're still, as we speak, building that strength and that should also happen over the next 3 to 6 months across the top cities that we talked about. And that has, of course, helped us improve direct distribution. We talked about increase in our secondary distribution by 35%. And we also talked about how our direct distribution is now 80% of our billing that is happening through direct distribut ors. So I think that effort is clearly visible in our numbers.

Mudit Minocha: If I could ask one more, operator, if that's okay. So I want to understand your thesis around getting into new brands. Even you said in, say, Mamaearth, you want to restrict it only in 6 categories, because that brings focus and right amount of investments for each category. Now when it comes to new brands, we have seen that you have come out with two new brands. So what's your approach to getting into new brands like if there are like INR150 crore s brands,

what's the continuum that you want to maintain in business? Because I remember there was one Forest Essentials kind of a brand that you had cultivated and which was then discontinued. So how is the management focus or bandwidth distributed for this new category?

Varun Alagh: Yes. So I think the -- firstly, we always look at new opportunities from the lens of consumer white spaces. And when we look at that, I think we look at this category on 3 axis, right? One is the axis of category. For example, skin care is a category and e ven within skin care, there could be moisturizer, sun care, and there are other categories.

Hair care is a category, fragrance is a category, oral care is a category. Even then the second axis is actually propositions, which is naturals is a proposition, actives is a proposition, hydration is a proposition, salon professionals is a proposition. And the third axis is actually price. You could be a mass pr ice brand, mass premium priced brand, prestige price, luxury priced.

If you look at some of the global beauty companies like L'Oreal, Estee Lauder, and if you look at their portfolio, right, you would clearly see how this combination of axes comes to life, right? They would have in the same category, brands which are varied on price, in the same proposition brands which are varied on price or in the same price brands which vary on proposition to capture the maximum share of wallet of the cons umer.

And that's the strategy that we deploy when we think about new brand creation, which is when we see clearly a white space and where we think that the current brand cannot capture that fully and it needs a separate brand chassis to get captured, which is wh at we felt, be it on the overall opportunity or be it the night care expert proposition opportunity, we will look at answering that with a new brand.

And if we can answer that same opportunity of white space under the current brand, that is, of course, a preferred route that we follow. And then from a management bandwidth perspective, one, internally, we have a function which is called brand factory where we specifically cultivate these brands and build them.

And that's a separate function solely focuses on the 0 to 1 journeys of th ese brand s and as well as where we accept that internal bandwidth might not be enough and is where we choose routes like what we have done with Fang, which is participation or what we do with M&A where we acquire, but then we have 3 years of founders who are working and scaling that brand. And honestly, we believe this is a genuine strength that we have as a company.

And there are rarely FMCGs out there which have been able to demonstrate building their own brands and scaling them. It's largely been acquisition with strategy and we have demonstrated how we can actually craft and scale our own brands as well, which in the long term is far more capital efficient . And we will continue to look for opportunities to serve consumers by building new brands in India. Next decade is going to be a mega brand creation opportunities in this country, because a new generation of consumers is clearly looking fo r brands which delight them.

Moderator: Next question comes from the line of Jitendra Arora from ICICI Prudential Life Insurance Company.

Jitendra Arora: Congratulations for a good set of numbers. I just have one question on your coloured beauty brand , Staze, that how is it progressing? If you can throw some light on that, please?

Varun Alagh: So mostly the progression has been good, right, I think from a brand searches perspective, PMF perspective, and the brand is growing triple digits over last year. So I think that has been a good sign. It's a category which has been a learning for us. It's a complex supply chain that we have taken time to learn on. It's a shade -based supply chain.

It's also a supply chain where there is some reliance on China supply chain for packaging and in some cases, conversion perspective. So that's been a learning curve in itself. But now we are feeling far more confident in terms of being on the better end of that learning curve where we can deploy consistently and the brand grows strongly.

Jitendra Arora: Thank you, Varun.

Moderator: Thank you. As there are no further questions from the participants, that concludes the conference for today. On behalf of Honasa Consumer, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Feb 2026

Honasa Consumer Limited
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| CIN: L74999DL2016PLC306016 |
February 18, 202 6

To,
Listing Department
National Stock Exchange of India Limited
Symbol : HONASA
To,
Listing Department
BSE Limited
Scrip Code : 544014

Sub: Transcript of Earnings Conference Call held on February 12, 202 6

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed a copy of transcript of Earnings Conference Call held on February 12, 202 6, on the unaudited standalone and consolidated financial results of the Company for the quarter and nine months ended December 31, 2025.

This disclosure will also be hosted on Company's website viz. www.honasa.in .

Kindly take the same on record.

Thanking you,

Yours truly,
For Honasa Consumer Limited

Gaurav Pandit
Company Secretary and Compliance Officer

"Honasa Consumer Limited Q3 FY '26 Earnings
Conference Call"

February 12, 2026

MANAGEMENT : MR. VARUN ALAGH – CHAIRMAN AND CHIEF EXECUTIVE OFFICER , HONASA CONSUMER LIMITED
MS. GHAZAL ALAGH – CO-FOUNDER AND CHIEF INNOVATION OFFICER , HONASA CONSUMER LIMITED
MR. RAMAN PREET SOHI – CHIEF FINANCIAL OFFICER , HONASA CONSUMER LIMITED
MODERATORS : MR. RAJAT GUPTA – JM FINANCIAL INSTITUTIONAL SECURITIES LIMITED

Moderator : Ladies and gentlemen, good day and welcome to H onasa Consumer Q3 FY ' 26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajat Gupta from JM Financial. Thank you and over to you.

Rajat Gupta : Good evening , everybody. Welcome to the 3Q FY '26 Earnings Conference Call of H onasa Consumer Limited.

Today on call we have Mr. Varun Ala gh - Co-Founder, Chairman and Chief Executive Officer ; Ms. G hazal Ala gh - Co-Founder and Chief Innovation Officer, and Mr. Raman Preet Sohi - Chief Financial Officer.

I now hand over the call to Mr. Varun for his opening remarks. Over to you, sir.

Varun Alagh : Hi. Thank you so much and thanks everyone for joining. Welcome to the Q3 FY '26 update for Honasa Consumer Limited.

As is customary, we will start by sharing a key trend that we have been witnessing in the beauty and personal care industry, which is the trend in men's skin care. We believe men's skin care is at an inflection driven by evolving consumer preferences. Men's grooming has been talked about for quite a long time, but we saw, at least in the last decade, largely action on the shaving or beard care side. In the last 2 years, we have specifically been noticing a strong inclination towards skin care, which is specifically designed for men. We have seen these specifically in the search data that we track. In a Sunscreen category, consumers are specifically searching for sunscreen for men. In a face cleanser category, they are searching for face wash for men. In this form, men call out has been increasing multi -fold over the last 2-3 years. We have also seen significant increase in male skin care influencers almost 6 times in the last 5 years. All of this is happening because of rapid premiu mization, awareness, and evolving self -care mindset. And this makes us feel that this is an interesting space, which will get shaped and will grow very well. This is also a space where Honasa has made an acquisition that we will talk about during the course of the p resentation, which is Reginald Men.

Over to this quarter's financial snapshot :

I am delighted to share that we have delivered our highest ever quarterly revenue. The company has grown by 21.7% in terms of revenue growth. This is also led by volume , our UVG at 30% growth. It is our highest ever EBITDA, which h as also substantially grown. We ha ve almost doubled our PAT, which is again our highest ever PAT. We continue to be negative on our working capital cycle. The core engines that we have been talking about for the last 3 quarters, the flywheel around making our core stronger, which is Mamaearth that is back into teen Y -o-Y my growth and c ontinuing strength of our young brands, which are now growing at 25% plus in terms of growth, has led to us delivering this competitive market -leading growth for us. And also in line with the scale, as well as the effectiveness coming in our marketing, we have consistently seen improving EBITDA margin trajectory for the compan y, which we have been

talking about and have been able to deliver.
If we sort of again call out, we had mentioned this in the last quarterly meeting as well that there is a revenue recognition impact, which has happened on account of Flipkart Group changing their revenue recognition norms, because of which there is Rs. 28 crore s impact that we have seen. But if you also correct our bases , then

the growth continues to be at 21% level and like -to-
like, it is 21.7%. If you were to see hence reported numbers, we have delivered Rs. 602 crores in terms of reported revenue. EBITD A is at 10.9%, the same Rs. 66 crores. This revenue recognition impact has not led to any impact on bottom line. It is just a recognition impact that we see in our revenues.
Double -clicking on the business, I think from a channel perspective, what is heartening to see now is that all the channels are actually doing quite well. E -commerce is at a 20% plus growth. Modern Trade and GT now is also delivering 25% plus growth. These are off -take growths and secondary growths, which is a great sign of the brand traction. Our strategy of focusing on our focus categories has also clearly paid off. Our focus categories continue to grow ahead of the company's overall growth number at +25%. And these are the categories which are getting 90% plus of our investments. And we continue to focus on strengthening our shar es in these categories.
Mamaearth which is back to teens growth, it has taken some time but focus on fundamentals has really helped us deliver this. Started with superior market -leading formulations, we have consistently been talking about how we have been increasing and improving our formulations to deliver blind test winning formulations across our prod ucts. We hav e also worked a lot on our communications to make them more aspirational to the new Gen Z consumer. And we have focused our investments in the 6 focus categories that we have identified for Ma maearth . And a combination of this is that we are now back to double -digit growth. And we are winning in our value share as well as share among st handlers . Share among st handlers actually has moved ahead of our value share, which means that now we have more catch -up job to do on our distribution front. And if you do that, that will give further growth in the offline ecosystem as well. And as we do that, we are also building other categories like moisturizers in offline.

Our young brands, of course, continue to sustain their momentum. We have learned to focus on Hair Color, Aqual ogica, with Moisturizers and th ese being new categories , Dr. Sheth's with premium serums, which we are sh aping, Staze , which has now crossed Rs. 50 crores ARR and continues to grow well. And of course, the star in this portfolio continues to be Derma Co, which is continuing to not only deliver strong growth, but has also achieved a double -digit EBITDA profile now in this quarter . It continues to dri ve innovation across categories. We have entered Hair Care with Peptides -Stem Cell actives . Our Sunscreen formulation has become even better with new generation filters like Tinosorb M. And consumer interest, of course, continues to be strong in our core categories, which is demonstrated with the searches and the share gain that we are seeing on the brand. So continued successful momentum on Derma Co.
Another area of focus in the last 4 quarters, of course, has been offline execution, where clearly our shift to direct distribution has started to pay off strongly. Our out let reach has expanded. Our direct distribution contribution has expanded to almost 80% revenue contribution now. Our weighted distributions are healthy. And our inventory holding days are now optimized at about 30 days, which is fairly healthy for a complex inventory system like ours. In monitoring also, we continue to build reach and ou tlet presence. This is on account of the offtake for the brand s and the share gain that the brand is seeing. So all in all, offline is in healthy shape and ready to service the brands and growth trajectory in the future as well.
We continue to invest in product renovation and innovation. Again, we have got multiple new formulations which have delivered blind test winnin

g performance with international leading
brands and their core partitions. And we are very happy to see the perfo rmance that these products continue to deliver and what our R&D team continues to deliver. This is a continuous process, not a one -time activity. It is a muscle that we have built and we keep deploying these muscles to make our products even better for our consumers as we move forward. From a future perspective, what we talked about, we keep looking at white spaces in the landscape and keep building hypotheses around those white spaces. Sometimes we come across brands which completely fit into those hypotheses.
I think Reginald Men has been one of those brands which completely fit into our male skincare boom hypothesis. And the brand has done extremely well in the last 2 years of its existence and become the most searched men's sunscreen brand based on a multi -benefit proposition which men like. They don't want to get into multi -regime but products which can do multiple things at

once. And also helps us enhance our presence in South India. Since we have not only acquired a brand but acquired a talent and a team which is out of Hyderabad and continues to understand which will help us strengthen our understanding of the region as well as find ways to stren gthen our brands in that region , us being a North Indian company get that slight disadvantage in terms of the talent that we are able to get here. But now having presence in Hyderabad, we will actually be able to hire and attract more talent which can help us strengthen our presence in South India. And it also of course is additive to Honasa's portfolio.

We did not have any brand that was focusing on men's skincare. So all in all, I am pretty excited about this acquisition. And I think overall, we have been focusing on refreshing our playbook s or flywheel so to say. And we are feeling quite confident that now the principles that we have come up with will start by focusing on identifying the right partition, building a product which is a blind test winner in that partition and f ocusing then on investing sufficiently behind that hero product through the right content and media mixes and providing it a distribution supercharge across both e -commerce, quick commerce, as well as offline landscape. Followed by again, keeping an eye open for future growth engines where we can deploy the same cycle. It is giving us strong confidence that we will be able to sustainably use the cycle to deliver market -beating growth and gain share across categories of our interests as we move forward. Of course, we continue to build purposeful brands which not only grow but also contri bute to the society. Mama earth has now planted over a million trees on its birthday. This year, we ran anti -smog guns across NCR to help reduce pollution. Derma Co continues to educate children through science classes and science labs that we set up. We have touched almost 40,000 students' lives. BBlunt continues to certify women in hair styling touching over 15,000. Aqualogica is providing fresh water to rural households by deploying plants where they can get access to fresh water. Dr. Sheth 's is running h ealth checkup camps and now almost 45,000 plus individuals touched by this.
So all in all, as our brands grow, the contribution to community also grows and that is what we would like to sign off with. We are more than happy to answer questions that you have. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. We will take our first question from the line of Abneesh Roy from Nuv ama. Please go ahead.
Abneesh Roy : Thanks. My first question is on Sunscreen. We have seen the market leader become a bit more aggressive past few months. How has been the market share? And I am asking about the real market share in your s

ense, not the official third party market share data, because that may not give the true picture many times. What is the sense on how is the market share shaping up in Sunscreen?
Varun Alagh : Hi. So honestly, there is no other indicator of market share that we get for online. The only place that we get is from Nielsen, which is offline. And honestly, we believe 60 %-70% of the market lies in online. We did get a Euromonitor indication last year, which has declared that Derma Co is now the number one Sunscreen brand in the country, ahea d of the legacy brands. So that is one external piece of data, which is based on external interviews that we have. Otherwise, our brands continue to be strong. Our bran ds continue to be bestseller s across our few platforms and are focused on using multiple brands to win in the Sunscreen portfolio, where we have something in Actives, in Derma Co, in Hydration, in Aqualogica, in Naturals with Mama earth continues to be an area which is delivering well.

Abneesh Roy : So thanks. My last question is, it was a strong quarter for you. And even your core brand of Mama earth has seen good growth come back. Your distribution expansion also has been quite decent. So my question is, how do you see coming quarters, this kind of a good uptrend will continue or there was some kind of a one -off, any GST kind of a positive impact you saw overall in the quarter?
Varun Alagh : So we are feeling quite confident that our flywheel and our fundamentals have started to clearly deliver in terms of strong outcomes for the company, both in terms of topline and bottom -line. We are very confident that this trend of delivering strong growth and continuing to improve on our margin profile year-on-year is something that will continue. And we don't think it is a one of GST impact. It is actually share g ain that we have seen that we have also shared. So if it was not share -gain driven, then one could have said, everyone is riding the tide now. But we have seen strong share gains in our core categories, which clearly points to the fact that we have done significantly better than other brands, which is why this has happened. And the playbook and

investment playbook that we have built around media and content continues to become even better. So I think we are feeling quite confident on being able to continue this trajectory .
Abneesh Roy : So thanks. That is all from my side. Thank you.
Varun Alagh : Thank you.
Moderator : Thank you. Next question is from the line of Vivek Maheshwari from Jeff eries. Please go ahead.
Vivek Maheshwari : Hi, good evening , Varun and team. A few questions. So first, continuing with the earlier one. So teens growth in case of Mamae arth, basically you are saying this is something that let us say , we can build for the next, let us say for the next 5 quarters until FY '27 end?
Varun Alagh : Vivek that is going to be our plan. And we a re feeling confident that we should be able to deliver the same. There is so much opportunity, like I said, in terms of just the gap between share amongst handlers and market share and hence the potential d istribution gain that we can do a s well as the brand now strengthening and multiple other categories available where we can gain share. So I think we are feeling confident that we should be able to continue with this maintenance.
Vivek Maheshwari : Got it. Interesting. And for the last few quarters and more specifically this quarter, you have been highlighting and talking a lot about distribution, right? Now, Varun, historically, there has been a curve that you have followed. And again, I am just putting some, let us say rando m numbers, so to speak. But let u s say if at Rs. 500 crores, you started going online, and you thought that you will go online, do you think that milestone or that threshold comes down because your di

stribution network is far more robust? So therefore, you don't necessarily have

to wait for Rs. 500 crores, you can start early. And if so, what does that imply for the growth brands?
Varun Alagh : Vivek, to be honest, I don't think that milestone has changed significantly. What can it qualify is that it is not a brand size milestone, but more of a category X brand milestone, right . So if you are in a category, and you become sizable share within that category, even if you are not Rs. 500 crores, but let us say , if you are in Sunscreen, and you become Rs. 200 crores just in Sunscreen online, then also you have the right to go into offline. But the offline play for brands, in our mind is not just about distribution, it is also about pull. And only when you reach a certain scale in online, that you see that natural pull in offline, because of which you are able to then execute better. Now, when Derma Co was taken offline, actually, our retail margins in Derma Co are lower than what the retail margins in Mama earth are, becaus e it has gone offline when we have already established Mama earth . And the Derma Co pull was also established. So it allows you to build the brand more effectively as well as it allows you to build more confidence amongst retailers. So in my mind, those benchmarks haven't changed. In fact, in future, those benchmarks might go up because the online market itself is expanding. And what you can achieve in online in terms of benchmarks, every 3-5 years that benchmark itself will keep increasing.
Vivek Maheshwari : That is interesting, Varun, because I thought the entire thing about traditional FMCG companies always was that there is a massive pull, let us say , for their hero brands and products, which is significant to the overall revenues. And then they will push or the new brands will ride on the pull factor. So there is a pull, and then you have a push. I would imagine with Mama earth also having so much pull, you could have probably accelerated that migration or that duality, but you don't think that is going to be the case. Because just sheerly because your distributio n quality and scale has gone up?
Varun Alagh : Yes. If we want, we can put it in stores. But that doesn't really help. Just today's consumer has got multiple sort of choices in every category. 10-15 years ago, also that phenomena wasn't as diverse. And they largely know what they want to buy. So just because the brand is available in stores, doesn't give the brand a right to win in offline. In our view, brands will win, then they can create a traction and pull. And that takes its own journey. And if you have not been able to establish it in online, then ideal ly, one shouldn't extend it on offline, because you will just create high STRs for the brand. And in general, your retailers and distributors capital will get stuck in wrong kind of inventory, which is not moving, which will not allow you to put the right kind of inventory, which can move faster. So we are being very choice ful and we are taking care of the fact that there should be high velocity S KUs, which should be put into GT. Even in D erma Co, it is only set of 20 SKUs that we have taken into offline, which are the highest velocity SKUs. And so I think that is our philosophy, we will continue to execute like that.
Vivek Maheshwari : Got it. And last question, which has two parts, both from a top-line and margin perspective. And I am sure you will say that market has always been competitive. But Varun, when we talk to the

traditional legacy FMCG companies, I think there is a renewed focus and impetus to drive growth in online, because e -commerce and whatever is happening on the landscape. So two parts, one is, how do you think about the entire competitive intensity from your gro

wth
perspective, as well as from a margin standpoint, because a lot of companies are happy to spend much more to drive growth ? So can you just talk about both these aspects?

Varun Alagh : I am happy to address that, Vi vek. Honestly, this focus change and aggression has been there for now, 6 plus quarters, I think, where it was clearly recognized and a lot of folks restructured and clearly announced their focus to build this and also have used multiple levers, including deep discounting, etc ., in these channels to drive sales. And in spite of that, we have seen our trajectories only improving . As we also build the organization, I think our DNA, the fact that we are digital first, our understanding of Gen -Z content engines, and the way the organization is tuned towards that, will always provide an edge in terms of us being able to be faster, in te rms of winning in that environment. And we ar e feeling confident that if we could ride the aggression, which has been there in the last one year, even if it goes up, I don't th ink anything is going to stop our plans of performance, we will continue to find ways to ensure that we are ahead of the curve.

Vivek Maheshwari : Super. Thank you. Wishing you and your team all the very best.

Varun Alagh : Thank you.

Moderator : Thank you. Next question is from the line of Percy from IIFL. Please go ahead.

Percy : Hi, Varun and team, congrats on a great set of numbers. I just wanted to sort of zoom in into the margin delivery. So the margin has come at the cost of some cut in the ad spend, and even other expenditure is on the lower side. Just wanted to understand, is there any quarterly phasing issue or whatever reductions that we have seen are sort of structural in nature and likely to continue?

Varun Alagh : Hi, Percy. So I think I ha ve always called out that there are three key buckets from which the company will see EBITDA expansion happening, both in short and in long term. So those buckets are A&P leverage, those buckets are payroll leverage and other OPEX leverage. And the combination and contribution from these three might vary in different years. But these are the three key buckets that we know, our leverage will come from. Even this quarter, if you look at just the A&P part, actually value A&P sequentially has gone up. And hence, it is not a reduction. We continue to be strong, continue to be fully funding our brand ed marketing plans. But we have become more effective. The same plans focused on certain core categories consistently and focused on sharper media and messaging are now delivering much better outcomes because of which the percentage is going down. Of course, there are quarter -to-quarter phasing pieces also which continue to sort of exist, but I wouldn't honestly worry about them because if there is phasing in one, in the other buckets, you can see that sort of benefit that can

come in. But all in all, I think that trajectory of A&P in value actually increasing everywhere, but still giving us leverage benefits in percentage is something that we are confident will keep happening as well as the combination of payroll and other OPEX , sometimes because of others and sometimes because of payroll, will continue to give us that benefit year-on-year is how we see that.

Percy : Why don't we look at margins going forward, like in FY '27 on a full year basis, should we look at 100 basis points, Y-o-Y expansion every year for next 2 -3 years, is that a fair expectation for us to have?

Varun Alagh : Yes, Percy, that is a fair expectation. That is the plan that we have talked about in the past as well, that every year our goal will be to improve the margin profile by 100 basis points.

Percy : Got it. Second question is on the newer brands. So we know that Derma Co is doing very well. Can you give some information on Aqualogica? Is th

at doing equally well? Are the growth rates
similar, lower, higher, etc.? And also related question is now that we have the ME portfolio back on track on growth, what could be the next Derma Co or Aqualogica? We have now 3 brands which probably constitute 90 %-95% of our sales and while there is still scope for growth in Derma Co and Aqualogica, we obviously have to build ahead of time. So what can be the fourth pillar apart from these 3 brands where you can see some initial signs of success or which you think can become big or drive growth over the next 2 -3 years where you have confidence?

Varun Alagh : Percy, on the first part of the question, I think we always talk about our young brands together. So the young brands have delivered 25% plus growth and we continue to be very bullish on the future of our younger brands. From a perspective of what could be the next rising star, honestly, it is a race to be the next rising star. Reginald can itself be Rs. 500 crore brand in the next 4 -5 years that we acquire d. Dr. Sheth has a very strong right to win with tailwinds and act ives as well. BBlunt in professional Hair Care can become a sizable opportunity. Staze, it is a young

brand but it is playing in the color cosmetics business which itself is a very large category. It could also be a shining star. So I think in our view, there is a race to become the next Rs. 500 crores and we would like to see that happen.
Percy : Very clear, Varun. So if I can just ask one follow up on this.
Moderator : Percy , sorry you are sounding muffled.
Percy : Yes, am I better now? Is it better now?
Varun Alagh : Yes.

Percy : So Varun, while I can understand you don't want to give the numbers separately for Aqualogica, Derma Co etc. , and I am not asking for that. Just want some kind of reassurance that Aqualogica is also performing sort of well and is in line with whatever targets that you had put in or is it sort of falling short of them?
Varun Alagh : It's on plan.
Percy : Got it. That is all from me. Thanks and all the best.
Moderator : Thank you. Next question is from the line of Videesha Sheth from Ambit Capital. Please go ahead.
Videesha Sheth : Yes, hi. A couple of questions have been answered. Just one more in case of Mama earth. You have spoken on product superiority and sharpened investments driving back growth from mid - teens. But to understand the impact from these interventions, is it also possible to share any further color on as to how has the cohort retention or repeat rates or say productivity at distributor level changed for whichever channel available?
Varun Alagh : Yes, I think when you see this kind of growth, which is happening across channels, and it is not just happening in primaries, but in offtakes , in modern trade , in AC Nielsen captured share , in secondaries , in general trade , across e -commerce. It just points to the overall consumer franchise becoming stronger for the brand. I don't think we are at this size and scale, we are looking at numbers like repeat rate or cohort, etc ., because that becomes too small. And at young PMF level, it makes sense to sort of do that. But overall, brand love, affinity, consumer feedback data, NPS, everything is moving in the positive direction. Our respond TOM on the brand is also moving in the positive direction. So all of that is put together, making us feel confident that the actions that we have taken and which we continue to apply on the brand are in the right direction.
Videesha S heth : And the second bit was in continuation to the earlier participants question on the other brands. So do you think that there are further interventions in terms of either innovation or brand repositioning, which are required for upcoming brands like A qualogica, Dr. Sheth or BBlunt?
Varun Alagh : So honestly , every 3-4 years, we look at our brands, r

ight and we relook at the positioning from the future TG perspective. We have done that on Mamaearth twice now in terms of packaging and communication we launch. We have done that on Derma Co once already in its life of 6 years. And similarly, A qualogica, actually, we ha ve already done a lot of work to make it more appealing to Gen Z and Gen Alpha and there is a new refresh, which is coming up in the summer season. Similarly, Dr. Sheth 's will also see that journey. Honestly, that i s a continuous exercise that we will do on our brands to make them more relevant and exciting to the new generation. So I think you would see continuous action across brands.

Videesha Sheth : Sure. Got it. Thanks. That is all for now.
Moderator : Thank you. Next question is from the line of Nihal Mahesh Jham from HSBC. Please go ahead.
Nihal Mahesh Jham : Yes. Hi Varun. Hi, am I audible?
Moderator : Yes. Can you speak a bit louder, please? Yes, Nihal, please go ahead. We can hear you now. Please go ahead.
Nihal Mahesh Jham : Sorry for that. Hi , Varun. My first question was just again asking on the margin bit. I do understand you mentioned about three levers of optimization and on the advertising bit, it is absolutely clear in t erms of the focus playbook that you ha ve been mentioning. If you could just dive down on the other expenses, but just for an understanding perspective that what are the initiatives you are taking? And also on the gross margin side, I am not sure if I've adjusted for the reporting change of last year, but I do see that this quarter there has been a bit of a contraction. If Raman could just highlight that, what may be the reason why the gross margins have adjusted and what are the initiatives you are taking on the ex of advertising side to keep margins improving?
Raman Preet Sohi : Yes. So actually, if you look at on a li ke for li ke basis, our gross margin is year-on-year flat. And I think this is in line with our gross margin guidance that we will continue to sort of look at 70% and 70% plus range. And of course, there are other factors in gross margin, which are

category mix, seasonal category mix, brand mixes. And of course , so that is one piece on the gross margin side. And on to other question on other expenses, I think largely other expenses are broken into two parts. One is large part of it is our supply chain distribution expenses. And then there are of course, typical fixed overheads, admin and infrastructure related expenses. So when we say other expenses as a percentage is improving, there are two levers there. One, of course, given the scale of the business, eventually year-on-year has increased. I think that is leading to leverage in our fixed overheads. And of course, as we become larger and also as certain channels like B2B offline channels become larger, our supply chain mix is also improving. That is also leading to better other expenses as a percentage. So I think those are the two large levers. And as Varun mentioned, as we c ontinue to sort of scale, I think we continue to drive some efficiencies across some of these levers.

Nihal Mahesh Jham : Got that. And this improvement of 100 bps that you are targeting, most of it will be driven by the optimization and advertising spend. Is that the better way to think about it or just other comments around it?

Varun Alagh : Well, actually, it is a mix, right. Some years it might be skewed towards A&P , another year it might be skewed towards OPEX. But the combination of that should help us achieve the goals that we have set for ourselves.

Nihal Mahesh Jham : Got that. One of my last questions was that over the course of the last few months wit h the two acquisitions that you ha ve done, potentially we are now having a business which has 8 brands

. I
know there is a big skew of how much Mama earth and Derma Co contribute. But just as an organization, somewhere the thought would also come in that how do you then give the focus to each of these brands so that they all scale up? There is obviously a discussion about how the brands ex of Mama earth and Derma are also scaling up. But how do then we keep our focus to see to it that all these brands get the right element of growth and given the fact that when Mama earth at this point in time is in the midst of a transition where you are more or less done with the offline strategy, but still there is an effort that is required to get that in place. So how are we sort of aligning to get the focus right given we now have such a wide portfolio of brands already in place?

Varun Alagh : I think we would want to keep our goal in front of us and make sure that we construct and structure the organization to achieve that goal, rather than keeping our current situation in place and set our goals accordingly. So I think that is our thinking. And in line with that, if we want to make sure we reach our long -term goals o f becoming the largest and most loved FMCG in India, we will need to make sure every category, every proposition, we have a brand that is actually a market leader. And to get to tha t, whatever organization structure will help us serve that is what we will build. And which is where there is separate ownership of each brand side of each channel which exists within the company, where someone is losing their sleep over their own part and partitions. And that is what we would like to sort of focus on because our long - term goals are pretty hefty and we wouldn't want to shortchange them based on where we are.

Nihal Mahesh Jham : Thank you.

Moderator : Thank you. Next question is from the line of Prateek from Bandhan AMC. Please go ahead.

Prateek : Yes, I have three questions. One is, just on Ma maearth , could you confirm that the 10% growth is also coming from, let us say, the same distributors also growing? And the penetration led growth is an addition to that. Is that a fair understanding?

Varun Alagh : Yes, actually, 90% plus of the growth is from all current distributors only. It is not because of new distributor appointment. And it is all on the back of the top 100 cities where we have our distributors, especially in GT. And then of course, in modern trade, it is on account of the same large customers like Reliance, DMart , and Apollo , which continue to exist. And we are getting share s within those customers. And same as with e -commerce, it is not in new channels, the same customers which have existed.

Prateek : It's all repeats, right, Varun? That is a fair understanding, right? Most of it, 90% of it is repeat ?

Varun Alagh : Repeats in the sense that I wouldn't say, of course, we are getting new consumers to buy us.

Prateek : Yes. The second question was, look, on a sequential basis, the employee cost, although you talked about employee cost being a leverage item on a sequential basis, and maybe short term, employee cost has risen very sharply. Any one -offs to call out for or that is the steady state run rate?

Raman Preet Sohi : Yes, hi Prateek. Raman this side. So I think it is higher sequentially primarily because we had to do ESOP provisioning. And there is a larger leadership ESOP pool and there is certain milestones aligned. And we had to pre -pone a milestone this year and the allocation of that is actually done in H2, rather than H1, given the visibility of a certain milestone internally. So that is why it is showing on the higher side. It will be broadly similar in H2 and then of course, after that, it will move back to the normal levels.

Prateek : So the entire delta is coming from ESOP cost, is it?

Raman Preet Sohi : About close to 100.

Varun Alagh : Entire delt

a, since some part of it is because of the ESOP cost, some part of it again, because of the better t han planned performance of the enhanced variable also that we will see happening, because people have done better. And we could see the visibility of that only towards now. So we have taken that in Q3 and Q4.

Prateek : And last question, if I see your focus brands, they have grown at 25% whereas overall sales have been slightly lower, right? What is the share of non -focus categories, sorry, not brands, non - focus categories now as a percentage of sales?

Varun Alagh : It is still at 25% for the company. So 75% is focus categories and 25% is non -focus categories.

Prateek : So despite being non -focus, it looks like they are still maintaining space with the overall growth, is it? That is why the share is not moving a lot?

Varun Alagh : In the sense, it has gone up from a contribution perspective. But yes, the non -focus categories are growing much lower relatively compared to the focus categories. And we see that to be the phenomenon. The contribution over the year has come down by 500 basis points for the non - focus categories, which is something that we expect every year to continue .

Prateek : And in the next 2 -3 years, does this become quite immaterial for the company in the sense, is it a fair understanding that in the next 3 years, focus categories can kind of become like 90 %-95% of the business?

Varun Alagh : Honestly, with the current pace of contribution increase, we expect it to get to about 85 %-87% over the next 3 years.

Raman Preet Sohi : And even within focus categories, hero SKU contribution continues to increase. So that is also healthy.

Prateek : Yes, that is good. Thanks.

Varun Alagh : Thank you.

Moderator : Thank you. The next question is from the line of Suc rit D Patil from EyeSight FinTrade. Please go ahead.

Sucrit D Patil : Good evening to the team. I have two questions. My first question to Mr. Varun is, as Hona sa continues to expand across categories and geographies, what will be the key priorities under your long -term and short -term goals? How do you see the balance between scaling new brands, deepening distribution, and sustaining profitability evolving over the next few qua rters? That is my first question? I will ask my second question after this. Thank you.

Varun Alagh : I think, Sucrit , you have just elucidated on my business plan. Those are the three priorities that we continue to have, which is continue to make sure our core Mamaearth grows in double digits, continue to make sure our young brands deliver market -leading performance and build new categories, which can be future engines of growth for them, and continue to make sure our distribution, be it online or offline, is excellent an d builds base for our brands to grow. I think we will need to balance all three together to make sure that growth and profitability bo th fall in line for the company a nd we are quite confident in our team's ability to do so.

Sucrit D Patil : My second question to Mr. Sohi is, as the company plans forward, what financial guardrails will guide your decision on cost discipline, capital allocation, and margin protection? How will this particular set of guidance influence the long -term and short -term earning stability and create shareholder value? I want to understand your plan of action on this particular thing ? Thank you.

Raman Preet Sohi : Yes, sure. Thank you. So I think, like Varun mentioned, I think the focus is to ensure that we continue to deliver a market -leading growth. And given our gross margin profile that we have, as we continue to scale the business, improve our distribution metrics, and deliver that, I think every year we will continue to unlock certain margins in the business, which you spoke about. I think our end eavor is to unlock at least 100 bp

s every year with a mix of both A &P and overheads. I think that will ensure that we continue to improve and deliver the right value to our stakeholders and deliver the right profit growth as we move along in building this business.

Sucrit D Patil : Thank you, and best wishes.

Moderator : Thank you. Next question is from the line of Akshay Krishnan from ICICI Securities. Please go ahead.

Akshay Krishnan : Hi, team. Good performance and great set of numbers. So I just wanted to understand on the competitive intensity. So over the last 2-3 years, we have been seeing that the science -led and the active -based positioning has become more of a mainstream among the peers and the large FMCG peers. So as you scale deeper into an offline and become more an omnichannel brand, how do you see the competit ive gain shifting on an agility -led disruption to scale and a distribution -led competition? So I just want to understand how is your strategy evolving in this context?
Varun Alagh : I am so sorry, I did not understand the question.
Akshay Krishnan : I just wanted to understand like , now you a re scaling more into an offline, and I just want to understand how the competitive intensity is shifting on the agility -led distribution to scale and the distribution -led competition. So what is your strategy on this context on this?
Varun Alagh : So I think firstly, our offline and online both continue to grow strongly and deliver 20% plus growth for us. So it is not one or the other, but both are channels that we want to win in. In one case, which is online and strong, we need to continue to hold and gain shares. In another case, there is an opportunity to just build distribution and be present in more outlets, which we are doubling down on. And hence, we are largely looking at the opportunity and not the challenges as much. Because the opportunity seems to be so b ig that is what energizes and excites us.
Akshay Krishnan : I just wanted to double click on this because you have this early mover advantage and it is a little more towards on a margin or a volume profile. So that is why I just wanted to double click on it.
Varun Alagh : Of course, in general, as a system, our margins are better than the legacy competition and our pull is better than the younger legacy brands and I think that combination is helping us grow fast and gain share in offline , both general trade and modern trade. And we will continue to use that to our advantage to deliver competitive.
Akshay Krishnan : Perfect. The second thing is on the other brands. Now, with Mam aearth also stabilizing and Derma Co also scaling up strongly, the younger brands are growing up and with new initiatives like Prestige and Oral Beauty. Now, how are you internally practicing the capital and the management bandwidth to ensure that the focus doesn't get diluted across much? And you have the growth levers of the engine coming up?
Varun Alagh : I think firstly, it is important to structure yourself right, where there are clear accountabilities. And that is an area where we continue to work on. Every year , we have new learnings around how can we structure better to give focus and impetus to our areas of growth. So management bandwidth actually goes firstly into the right organization design. Because if you can design right and put the right people into that design, then the design takes care of the outcome. And

that is what we spend a lot of our management bandwidth on. Investment allocation is more based on the chessboard. There are years where there might be tailwinds in a certain category or a certain type of proposition or a brand and where you would want to use those tailwinds and gain disproportionately. So that is the decision that you would take. So that depends more on some of tho

se externalities as well. And based on which we take active decisions on allocation.
Akshay Krishnan : And one final question if I can squeeze in . So now with Mam aearth expanding deeper into the GT and also the Chemist channel, how do you preserve the brand premium? So while you scale up on a long -term perspective, do you intend to be a mass penetrated brand or structurally move up on the value chain? So I just wanted to understand the unit economics into this ?
Varun Alagh : So we ha ve maintained and will continue to maintain brand premium versus mass brands. That brand premium is visible in the PTML of our pricing in the market. And it is also visible in the fact that we do not participate in the FMCG defined LUP spaces, which is les s than 20 LUP price point kind of spaces. Access into Mama earth really starts from Rs. 100 onwards, which is why there is that aspirationality maintained. It might limit th e expansion opportunity that we will have from a general trade perspective. But our long -term view is that premiumization is going to be a mega trend in the country a nd brands which are able to hold aspiration will be able to gain much better share in the long -term.
Akshay Krishnan : Perfect. And good luck and all the best . Thank you.
Varun Alagh : Thank you.
Moderator : Thank you. Next question is from the line of Jay Prakash from Ax xela Advisory Services LLP. Please go ahead.
Jay Prakash: Hello. Congratulations on the good set of numbers. So I wanted to understand in increasingly competitive categories like Sunscreen, some brands rely on indirect or ecosystem -driven narratives rather than direct branded communication. How does the company ensure that any extended marketing ecosystem agencies affiliates or influences operates within a defined

compliance and reputational risk frameworks?
Varun Alagh : I think there are clear guidelines, briefs, which are in line with the ASCI guidelines. That at least our company works on, whereby every brief that we issue has clear guidelines which are provided. Everyone who we work with is aware of those guidelines. And we haven't been flagged by the agency also on any such violations. So I think the content that we are at least doing must be in line with those guidelines, which is why we continue to absolutely follow.
Jay Prakash : So there are oversight mechanisms within the company to monitor that, right?

Varun Alagh : Absolutely.
Jay Prakash : Just another question. Can you break down what percentage of Sunscreen growth is organic repeat versus influencer -driven first -time conversion?
Varun Alagh : We don't track that.
Jay Prakash : So HUL is acquiring new age companies like O Ziva and Minimalist. So does that possess a threat for the business going forward?
Varun Alagh : On their business or our business?
Jay Prakash : On your business, as those traditional businesses are modernizing very rapidly and they have all the guns out there to play it right ?
Varun Alagh : No, honestly, we have always had a competitive threat in the past as well. We were born in a category where there were much large competitors than ours when we launched Mamaearth . And hence, competition is not new to us. But we have always also taken a stand that it doesn't give you any joy or delta by focusing on competition. The real value gets created when you focus on the consumer and where the consumer is moving in terms of their preferences, be it product preferences , be it communication preferences, be it media preferences or distribution preferences. And I think for us, that has been a core focus area. And I think we will continue to focus on that. And we will rely on the f act that if you focus on that, consumers will reward us with choosing our brands.
Jay Prakash : Thank you.
Moderator : Thank you. As there are no further questions from the participants, I now

hand over the call to
the management for closing comments. Over to you.
Varun Alagh : Thank you. Thank you so much for asking these questions. It is always refreshing to hear you. We continue to, as a team, execute our strategies to the help. We are very confident that we will continue to delight you as we get into this year as well. Thank you so much.
Moderator : Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Jun 2026

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| CIN: L74999DL2016PLC306016 | May 28, 202 6

To,
Listing Department
National Stock Exchange of India Limited
Symbol : HONASA
To,
Listing Department
BSE Limited
Scrip Code : 544014

Sub: Transcript of Earnings Conference Call held on May 21, 202 6

Dear Sir / Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed a copy of transcript of Earnings Conference Call held on May 21, 202 6, on the audited standalone and consolidated financial results of the Company for the quarter and financial year ended March 31, 2026 .

This disclosure will also be hosted on Company's website viz. www.honasa.in .
Kindly take the same on record.
Thanking you,

Yours truly,
For Honasa Consumer Limited

Gaurav Pandit
Company Secretary and Compliance Officer

"Honasa Consumer Limited
Q4 & FY26 Earnings Conference Call "
May 21, 202 6

MANAGEMENT : MR. VARUN ALAGH – CO-FOUNDER – CHAIRMAN AND CHIEF EXECUTIVE OFFICER – HONASA CONSUMER LIMITED
MS. GHAZAL ALAGH – CO-FOUNDER AND CHIEF INNOVATION OFFICER – HONASA CONSUMER LIMITED
MR. RAMAN PREET SOHI – CHIEF FINANCIAL OFFICER – HONASA CONSUMER LIMITED

MODERATOR : MR. RAJAT GUPTA – JM FINANCIAL INSTITUTIONAL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Honasa Consumer Q4 and FY '26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being record ed.

I now hand the conference over to Mr. Rajat Gupta from JM Financial. Thank you, and over to you.

Rajat Gupta: Good evening, everybody. Welcome to the 4Q FY '26 Earnings Conference Call of Honasa Consumer Limited. Today on call, we have Mr. Varun Alagh , Co-Founder, Chairman and Chief Executive Officer; Ms. Ghazal Alagh, Co -Founder and Chief Innovation Officer; and Mr. Raman Preet Sohi, Chief Financial Officer.

I now hand over the call to Mr. Varun for his opening remarks. Over to you, sir.

Varun Alagh: Thank you. Welcome, everyone to the quarterly results call for Honasa Consumer of Q4 and FY '26. I'm here joined with Ghazal and Raman and our team. We're going to start by just quickly taking you through the presentation that we have also uploaded along w ith the results and then open the house for questions that you have for us. Starting with the presentation -- the first section, as we always have been covering in our previous calls is the future of Indian beauty and personal care space. And today, the insights that we are talking about is the inside -out beauty. We believe there is a new trend that has been actively shaping both globally and in India, where consumers are looking for comprehensive solutions to their beauty problems, be it problems like hair fall, acne, etcetera and to address these problems apart f rom topical solutions, ingestible vitamins and supplements, which aid in correcting some of these problems at the core is something that consumers have been seeking as a stronger solution to some of these problems. We are seeing this shape very well in In dia. We are watching this space, and we would also like to participate in the space over time. But that's an interesting insight that we wanted to present to you.

Coming on to the financial snapshot, the update on Q4 and full year for the business. I'm delighted to inform that Q4 FY '26 has been a great quarter, I would say, another great quarter because this is the third consecutive quarter of 20% plus growth for t he company. We've delivered 28% Y -o-Y growth with EBITDA scaling almost 2.5x over last year same quarter. Overall, INR682 crores in quarterly revenue, 71.4% gross margin, which has expanded by 70 basis points Y -o-Y. EBITDA at INR 77 crores, which is 11.3%. Our PAT at INR 69 crores, which is 10.2%.

Underlying volume growth has been strong, so this growth has actually been driven by volume and not just price. And we continue to be negative working capital. So a call out that this growth includes our recent acquisition of BTM Ventures as well. And this is a like -for-like growth. The reported growth, of course, contains the Flipkart adjustment that we have been talking about

over the last few quarters, where revenue recognition gets impacted, but not the bottom line and we have shared those numbers as well

So if you correct for the base, actually the growth remains same but because just the delivery gets changed but the base doesn't , the reported growth looks relatively low, that is the like -for-like growth of the business is at 28%. We are also delighted to inform that this is the first main year for the company where the Board has decided to reward shareholders with a dividend straig ht off with INR 3 per equity share. This is about 50% of the PAT that the comp

any has generated for the full year, which is in excess of INR 200 crores, And the total cash payout will be about INR 98 crores as a part of this dividend.

This signals strengthen our belief on the ongoing cash generation capability of the company and even after deploying what we feel are relevant opportunities in inorganic, given we are a negative working capital company, we will continue to generate excess cash, and we would like to reward shareholders by distributing in the form of dividends.

Coming to the core business highlights. And I'm again delighted to inform that the focus categories that we have chosen to double down on continue to drive growth for the company.

They have grown by 35% Y -o-Y. Contribution of focus categories has increased by 500 basis points in 1 year and all the channels are growing strongly in our focus categories, So this strategy clearly has paid off.

And I'm also delighted to tell you that Mamaearth continues to become stronger in terms of the consumer love it's getting which is visible in the growth as well. The brand has grown at mid-teens this quarter. The brand health is at multi- quarter high. The value market share across the core categories and SAH has gone consistently up. And even in terms of Brand Power Index, which is measured through Kantar, over the last 3 years it's actually consistently gone up.

And the hero product strategy has been working for us where our hero products are actually growing 2x faster than the brand, pointing to all our inputs coming together to fundamentally shape a better trajectory for the brand that we are far more confident of the future as well. The younger brands, of course, continue to dominate growth, growing at almost 40% with now the inclusion of Reginald Men as well which we acquired.

All the brands with strong focus on product superiority, innovation and sharp consumer cohorts and targeting have shown very strong results, and we continue to back them to help us win in the focus categories that we have defined.

The Derma Co, of course, has been continuous star performer for us, right? It has delivered strong growth again, maintaining double -digit EBITDA and the face cleanser business has almost doubled for the brand in terms of growth and it's also now visible in GT market shares , in Nielsen almost 1% market share for Derma Co face wash is visible now. We've been consistently working on formulations where all the core formulations are winning in blind test for us. And hero product contribution is already more than 50% of the brand and continues to grow. So, all-in-all, a pretty phenomenal performance on Derma Co as well.

And this is first quarter of consolidation Reginald, the brand that we acquired, we've actually been able to integrate it fairly well and continue the strong momentum on the brand. And the brand has actually grown by 100% plus and doubled its revenue Y -o-Y. It has also crossed INR100 crore s ARR mark becoming the sixth brand in Honasa's portfolio to do so.

Honasa now has more than 6 brands with INR 100-plus crores ARR trajectories. We've also been able to unlock newer geographies like Maharashtra. We are strengthening the brand across other e-commerce channels, and we are doubling down on aspiration al content for the brand as necessary.

Looking back at overall FY '26, and this is a year where we have delivered 20% Y -o-Y growth, and this was our internal agenda and the team has come together and has been able to deliver it. And this is where we have tripled our EBITDA, taking the full year EBITDA to about 9.3% EBITDA margin, keeping in line with the promise that we will continue to improve our EBITDA by the tune of about 100 basis points every year. Our gross profit margin continues to be healthy for the overall year. Our growth has been volume driven, which is reflected in our UVG and we've delivered IN

R 200 crores PAT for the full year this year.

And all of this is basically combination of the fundamental levers that we have talked about in the past as well, and on focus categories strategy, focus on product superiority in all our core partitions and our hero products scaling especially in focused brands that were in GT and MT channel, sharpening our content to generate much more diverse wider as well as GenZ relevant content with a much more stabilized, offline systems.

All the hard work that the team has done and the pain that we have gone through in this transition is paying off now with a very strong and satisfied distribution ecosystem in the Top-100 cities. Our Direct Distributors stocks are also optimized between 25 to 30 days. And this distribution system is helping us drive our other brands like The Derma Co also in GT.

And, of course, our core DNA of being more innovative in all that we do across categories continues to drive this agenda and continues to drive our brands to be more relevant with our consumers. So these six pillars have been core to how we have been able to deliver better than planned outcome for ourselves.

And in line with our confidence as well as our confidence in our ability to take share and craft brands, we've also been strengthening the talent within the organization for us to be able to focus on and build more businesses in the decade to come. And we have recently made a few new appointments, which includes Saahil, who's been CEO at multiple cosmetic and makeup companies; Dheeraj, who has been a founder of nutraceuticals brand; Madhur who has worked across new age companies to build businesses and sha pe the other businesses. And we welcome them to the team, and we will work with them on shaping the next horizon of businesses for Honasa as well.

We continue to contribute to our communities as our brands scale up with the initiatives that each brand have. And apart from what our brands do, right, which is outside the domain of our CSR, all of these actually contributions are part of our marketing s pend. And our CSR agenda

has also continued to shape strongly. Our focus has been on clean air, urban greenery and education for tomorrow and we are continuously focusing on shaping initiatives in the communities where we operate around these three focus areas.

And with that, I would like to thank you for listening in on the update that we had to share and would love to answer the questions that you have for us.

Moderator: Thank you very much. We will now begin the question-and -answer session. We take our first question from the line of Vivek from Jefferies India.
Vivek: My first question is on the Mamaearth brand. So -- if I have to look into FY '27 and medium term, both...
Moderator: I'm sorry, you are sounding muffled .
Vivek: Is it better now?
Moderator: Yes, please go ahead.
Vivek: So just to repeat, Varun, Mamaearth brand, FY -- the recent quarter has done well. FY '27 and medium term, given the size of the brand as well as the penetration -led opportunity in the offline side, how do you think about this brand growing into the next year as well as from a 3 -year perspective?
Varun Alagh: Thanks for asking that. So, we're fairly confident of delivering a double -digit CAGR on the brand from the next 5 years perspective. And we see a lot of share gain opportunity across the focus categories that the brand has in face wash, shampoo and other categories which are of interest to us on the brand, and we are investing in them
We also see distribution gain opportunities given the brand is only 200,000 outlets and potentially can get to 0.5 million outlets over the next 3 to 5 years. And I think combination of those two makes us fairly pretty confident that over the next 5 years, the brand should continue to grow at double -digit CAGR.
Vivek: Okay. Got it. That

's very interesting. The second...
Moderator: Sorry, muffled again. Can you repeat the question, please?
Vivek: Is it better now?
Moderator: Yes. Please repeat your question.
Vivek: Apologies for this. So Varun, the second question is on the focus categories. You have had highlighted these 6 or 7 categories that you will go after and then you entered into men's category as well as you have spoken about nutraceuticals. Do you think tha t, again, these two initiatives will create a bit of a complexity or the organization is robust enough to handle beyond what you have already articulated as the focused parts of the portfolio?

Varun Alagh: I think I can say two things. Firstly, the men's skin care is a proposition. The categories continue to be skincare, face wash which are the core categories that are focus for us led by sunscreens in the Reginald specifically. So it's the same category, fo r example, sunscreen. But now we have another way to capture some of that TAM , which men are looking for within that same category. So I would see that engine like this.
To answer the second question, honestly, I think I would like to state and probably I'll take a minute to answer that question. I think you will need to understand that philosophically, we're a team and I'm a person who believes in keeping my goals and dreams on the top and changing the circumstances and constraints to achieve those goals.
And I heard this very young in my career from a leader called Miles Barber Hilton , who is a blind man of 70 years and has run marathons across deserts and has not let his blindness come in his way of achieving the dreams that he had set for himself. And the one thing that he stated in that conference 15 years ago was the fact that the only limits that exist for us are the ones that we choose to accept.
And I think I was fairly moved by that and that has been my operating philosophy. And hence, if I believe there is a dream that we have as an organization, there's an opportunity that we want to go after as an organization, we would want to put that upfront, and we would want to shape our organization to go after those opportunities
And which is why if there are right manpower, right talent, which is required to go after some of these new categories, I would rather build that out. And if there is probably worry of profitability in the way, then I would want to build all of those profi tably very early on itself.
But I would want to make sure that the opportunities that we see and that we believe we can capture, we would want to continue to go after them. And we are building a robust organization and the right kind of playbooks to ensur e we are able to execute on the same.
Vivek: Got it. And genuinely, like the growth mindset. The last question is, and apologies if it's direct or fair -- unfair question, but I mean, over the quarter that I have seen your commentary and the presentation deck for TDC versus Aqualogica, I mean, this i s my feeling and correct me if I'm wrong or if you want to add anything, but it looks like TDC has actually performed far better than probably what we would have thought, and Aqualogica has been a bit under. One, is that observation correct? And if yes or no, can you give your reasons and some backdrop to especially the Aqualogica brand?
Varun Alagh: So Vivek, I think on TDC specifically, that's the second brand that we started after Mamaearth. And that is the

brand where we want to take it to INR 1,000 crores and become probably the only company in the last couple of decades with crafted INR2,000 crore -plus brands in this country, right, from scratch. And hence, we have been actively sharing a lot more detailed progress on Derma Co. as a brand.

It is also, of course, benefited from being in the active segment that we recog

nized at the right time, whereby by executing it right and by finding the right kind of fundamentals, whatever we had learned on Mamaearth, executing that, we've actually been a ble to scale that brand very strongly and which is why we specifically doubled down and talked about that because that's where we want to show our replicability of our playbooks and our ability to build another INR1,000 crore s brand.
Rest all the brands are actually much younger, Aqualogica is 2 years later than Derma Co., actually 2.5 in terms of its birth year and month. And hence, they are actually years apart in terms of their progression as well. So on the rest of the brands, we provide a combined view. Each of the brands have their own trajectories. Every year, we have new learnings around how to make them sharper. And the overall strategy of the company has been to have horses for courses, right, different brands which have and stand for different kind of sharp propositions. And depending upon how consumer sentiments change, either it's naturals or it's towards pop hydration or it's towards actives, we will change our investment gears and make sure we are able to leverage on those consumer sentiments using the right brand chas sis. If it is right now a strong tailwind on actives, we are doubling down on Derma Co. and sort of gaining a strong share with that. As and when Aqualogica becomes also then material enough and we would want to share more around that, we will keep bringi ng those updates to you as well.
Moderator: Vivek, does that answer your question? Since there is no response, we'll move on to the next question. Next question is from the line of Manoj Menon from ICICI Securities.
Manoj Menon: I have only one small clarification, which is exactly in the overall growth, which has been, obviously, top of the line and very, very impressive, how much is the growth driven by the core businesses and the newer, let's say, SKUs or products which you've launched? Let's say -- put it this way, right? So let's say, how much of the growth is driven by the products which you have launched in the last 1 year versus which existed previously?
Varun Alagh: So if we look at just the products launched in last 1 year, Manoj, that growth would be to the tune of about 7% to 8%. I mean, now we've also started to look at our innovations more from a 3-year horizon than 1 -year horizon because it's unfair to see and l eave innovations in just 1 year because most of the innovations that we are sort of focusing on, especially since last 1 year, are innovations where we want to enter a certain partition and actually structurally take share over time in that pa rtition.
So I think -- and we could probably from next time share a slightly medium -term number around innovation trend line as well.
Manoj Menon: Sure. That's loud and clear. Secondly, Varun, just about Reginald Men, whatever you can talk in a public platform about -- let's say, it's been a few months, maybe 5 months now, right, already.
Let's say, what's your initial take? And where do you think the brand could be -- not necessarily numbers, right? And what are the qualitative aspects?

The reason I'm asking because just as a consumer, when I was searching to buy the brand, for example, I couldn't find the brand, let's say, in a platform like Nykaa. So there is a common observation that probably there are a lot of low -hanging fruits to be executed here. So just a bit of Reginald Men and your medium -term aspirations in the brand.
Varun Alagh: Yes, sure. So honestly, I agree with your observation. I agree with your observation that we know that the brand has multiple axes to actually grow and which is what we feel -- made us sort of attracted towards the brand itself. One axis of growth is distr ibution, which like you rightly pointed out and we also mentioned, we are just about furth

er extending distributions on the brand this quarter.
So probably by next time when we meet, you will be able to find the brand on the platforms that you're looking for. We have done all of that basic work, and now it's just about replication and then scale-up of that distribution, right? So that is one axis on which we see the brand growing.
The second axis of brand growth is just category expansion. It was largely a sunscreen brand,

98%, when we bought it. We are further unlocking newer categories based on our R&D and formulation as well as consumer insight understanding. So we see categories like face washes, , serums to also become categories of future for the brand. So that's the other axis on which the brand will grow, right.
And the third axis is the geography axis. The brand, like we mentioned, was largely a South India -focused brand. And now slowly, we are coming up on that map with opening up of Maharashtra and then focusing on other states in the future. So we've been pret ty confident that with those 3 axes and potentials of growth, the brand should continue to grow well over the next 3 to 5 years for sure.
Manoj Menon: And one last thing, if I may. I know it's very granular, but still let me attempt. So the growth in Mamaearth is very impressive in field. Is online also growing very well, or it's largely heavily being done by offline?
Varun Alagh: Yes. Online is also showing double -digit growth.
Moderator: We'll take our next question from the line of Umang Shah from Banyan Tree Advisors PMS.
Umang Shah: Just had one observation. Our advertising expenses had grown at 6%-odd for the full year, while other expenses actually declined. I just wanted to understand what led to the two. And going forward, how do we balance between margins and sales growth? Just w anted to understand in terms of reinvesting in the brand or in terms of expanding distribution.
Varun Alagh: In general, advertising as a value spend is something that we have talked about, will go up. But as percentage, it comes down. And hence, that's the A&P leverage that we see getting generated in the business. And we have seen that unlocking value for us and EBITDA for us last year as
well. There are 3 key sort of buckets for us from a leverage generation perspective, one, our channel spend and performance spend. Second is our brand spend. And third is our OpEx spend.

And a combination of leverage from these 3 is what will help us generate that 100 basis points improvement in EBITDA profile that we have talked about from a year -on-year over the next 5 years' perspective. Our internal plan is to make sure, even from here in 5 years, we are able to improve 500 basis points on our bottom line. And the combination of these 3 levers will help us do that.
The weightage between those might vary between years. Some year, we might focus on channel spend, some year on brand spend, some year on OpEx spend to get to that expansion. But we
are fairly confident of delivering our high- teens CAGR over the next 5 year s that we've talked about and along with this 500 basis points EBITDA expansion in the same period.
Umang Shah: Great, sir. And sir, any reason for decline in the other expenses for full year and for Q4?
Raman Preet Sohi Yes, hi, Umang. Raman this side. So I think when you look at Q4, and of course, even year -on-year, there is , like what we mentioned during the initial part of our conversation and presentation, it's not like -for-like because the reported numbers are taking the impact of Flipkart settlement and the GT charges that have reduced our realization and also the expenses or distribution expenses that it charges have also gone out of our P&L.
So the other expenses that you see around 15% for Q4 are actually around 18%. And last year, it was about 22% same quarter. So the 300,400 bps reduction is largely d

ue to the leverage and
the scale benefits and everything, but the bottom line is more for l ike-for-like.
Moderator: Next question is from the line of Nitin from HDFC Securities.
Nitin: Congrats on the recovery. My -- so first question is around like how are you placed with the inflation and thoughts around price hikes?
Varun Alagh: Could you repeat that question, thoughts around? Did not understand the last part of that question.
Nitin: Hello?
Varun Alagh: Yeah, we can you hear you better now.
Nitin: Yeah. So I was asking like how are we placed with inflation and plans for price hikes?
Varun Alagh: So we did foresee the crude impact and war scenario to impact some of the PM and RM prices for our portfolio. And in line with that, we have already executed some calibrated price increases in line with where we've also seen competition taking the price in crease the same, and our RPI is still remaining fairly competitive at that premium that we want to maintain.
And those have already been sort of executed as we speak in Q1. So we don't impact at least at this point of time with where crude is at this point of time. We don't expect any further price increases. But what we have already done should take care of the COGS inflation that is coming in.
Nitin: Would you be able to quantify the quantum of price hikes?

Varun Alagh: Not really.
Nitin: Sure, no problem. And with respect to actives, I just wanted to check how we are placed compared to a bigger competition like HUL, so which is placing Minimalist aggressively in the offline channel?
Varun Alagh: I would just say that The Derma Co. continues to grow really fast. In our view, it's a larger brand. And in fact, even according to Euromonitor data, it is the largest actives brand in the country.
And even according to Nielsen, Derma Co. shares are the hi ghest amongst any other active brands in the country. So I think we are well positioned.
Nitin: And how is the ARR now for the TDC brand.
Varun Alagh: Yes. As we disclosed, it was at INR 750 crores -plus. It continues to grow on from there.
Nitin: Okay. And the last question pertains to -- I just wanted to have a sense on how big is the GT sort of revenue for us for FY '26. And any thoughts around how we want to grow this channel because lots of action we have taken, and it has started sort of helpi ng us grow faster? So that's the last question.
Varun Alagh: Yes. So this channel continues to be one of our fastest -growing channels now. And fundamental inputs, including right manpower, right distribution partners, covering the right kind of stores, tracking execution at store level and ensuring quality of distri bution and automatic ordering sort of systems and high visibility on distribution management system, so a combination of all of those levers is what we have deployed, which makes us feel confident and that we'll continue to win in the current outlets that we are present in and also continue to add newer outlets, which has been our active agenda.
Moderator: Next question is from the line of Mehul Desai from JM Financial.
Mehul Desai: Yes. I just wanted to know the like -for-like growth if you remove Reginald from sales as well as EBITDA. I mean how would the core business growth look on that -- on sales and EBITDA for the quarter?
Varun Alagh: So, from a growth perspective, 21% will be the like -for-like growth. And from an EBITDA perspective, the impact will be just about 30 basis points. Rest of all EBITDA is of the core business.
Mehul Desai: Okay. And this 21% you are removing the Flipkart impact also, right?
Varun Alagh: No. Flipkart impact, we'll need to further remove, which is why I mentioned it's like -for-like. If you remove Flipkart impact, then it's not like -for-like.
Mehul Desai: Okay. And when you say this 40% growth for your younger brands, obviously, this inc

ludes Reginald also. I mean excluding Reginald also , the newer brands would have seen an acceleration, the younger brands in this quarter?

Varun Alagh: Yes, they are at 28% -plus.
Mehul Desai: 28%-plus. And lastly, I mean while you did allude to Mamaearth's growth for the quarter, can you give some flavor on what was the Mamaearth growth for the full year FY '26?
Varun Alagh: So for the full year also, it's in double -digit range.
Moderator: We'll take our next question from the line of Yogeeta from Aditya Birla Capital.
Yogeeta : Congratulations on your good set of numbers.
Moderator: Can you use your handset mode, please. Yogeeta, please use your handset mode. Your audio is not clear.
Yogeeta : Am I audible?
Moderator: Yes.
Yogeeta: Congratulations on the good set of numbers. So can you give some strategy, your strategy on driving premiumization in skincare and haircare? And how are we expecting this to impact growth in margins going forward?
Varun Alagh: So honestly, our underlying hypothesis around all our brands has been premiumization. We exist because we felt that the emerging middle class of the country was not being served with differentiated, more aspirational brand propositions, which makes them fe el like they're moving forward in life and upward in life. And hence, all the business that we have built has been by tapping on the premiumization trend. And we expect this premiumization trend to continue for decades to come.
Yogeeta: Okay. Understood. Another question, can you give some color on margin performance across a few brands, core brands, Mamaearth, Derma Co. and others, their performance in FY '26 and maybe some guidance for FY '27?
Varun Alagh: So, from a margin standpoint, Mamaearth and Derma Co., both are double- digit EBITDA -positive now. And we foresee them to continue improving their margin trajectory in future, as they have done in the past, along with growth. And from a forward -looking outcome , we -- like we said, I mean, from the next 5 years' perspective, the company plans to grow at high-teens

CAGR.
There will be years where we'll do a few points better than that and years where we'll do a few points lower. But overall, we'll grow at a high-teens CAGR from the next 5 years' perspective.
Effort would be to, of course, even do better than that. And from an EBITDA profile perspective, over the next 5 years, we want to get 500 basis points better.

And again, there might be years where we'll do better than that in terms of the 100 basis points or depending upon the strategy that we take. Last year was a strategy where we delivered higher than that sort of a benchmark. But overall, the plan will be, o ver 5 years, increasing at least 500 basis points in bottom line.
Yogeeta: Okay, got it. Just one more question. The young brand and focus categories, how you've seen the growth for this year and quarter? So do we expect to -- should we expect it to continue driving at similar levels in FY '27?
Varun Alagh: We expect the young brands to continue to grow strongly and drive growth for the company in the next year as well. And the levels, et cetera, will keep changing. Like I said, we are more aligned to the broader goals and numbers that we talked about. But ye s, some of young brands will continue to drive stronger growth for the company and drive growth for the organization.
Yogeeta: And about focus categories?
Varun Alagh: Again, yes, focus categories are getting more than 90% of our investment and focus. And hence, we expect them to continue to be growth drivers for the organization.
Moderator: Next question is from the line of Aditya Ladhad from Stallion Asset.
Aditya Ladhad : My questions have been answered.
Moderator: Ladies and gentlemen, we'll take that as a last question for today. I no

w hand the conference over to management for closing comments. Over to you.
Varun Alagh: Thank you so much for asking those questions. It was a pleasure speaking to all of you. We will see you in the next quarter with, hopefully, even better set of results. Thank you.
Moderator: On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.